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GNB 12e Practice Exam – Chapter 1

Print these pages. Answer each of the following questions, explaining your answers or showing your work, as appropriate, and then compare your solutions to those provided at the end of the practice exam.

1. For each of the following, indicate whether the description more closely relates to managerial accounting or financial accounting:

	Managerial Accounting	Financial Accounting
Focuses on external uses of information		
Is typically bound by the requirements of GAAP		
Is generally more detailed information produced frequently		
Typically focuses on segments of the organization		
Often uses estimation in order to meet needs for timeliness		
Focuses on the historical performance of the company		
Objectivity and reliability of information foremost		
GAAP not mandatory		
Oriented toward future decision making		
Often mandatory information		
Prepared primarily for internal users		

2. Indicate beside each statement below whether it is True (T) or False (F):
- _____ Informal as well as formal relationships within an organization are usually depicted on an organization chart.
 - _____ ♦ If an organization delegates decision making authority throughout the organization, it is said to be a centralized organization.
 - _____ Persons who directly make decisions are said to have line positions, while persons indirectly providing support toward the organization's objectives are in staff positions.
 - _____ In today's organizations, the CFO (Chief Financial Officer) is often a key person in top management whose role is considered critical in providing accounting and financial leadership and information for the organization.
 - _____ The CFO may have both the accounting (controller) and the treasury/cash functions reporting to him or her.

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3. For each of the following, indicate whether the description most closely relates to the concepts of Lean Thinking Model (LTM), Six Sigma (SS), or the Theory of Constraints (TOC):

	(LTM)	(SS)	(TOC)
A method one might describe as often trying to improve (rather than remove) "the weakest link"			
Common framework is known as DMAIC, which stands for Define, Measure, Analyze, Improve, and Control			
Five-step management approach that organizes resources around the flow of business processes			
Management approach that emphasizes the importance of managing constraints			
Management of "bottlenecks" which might delay or stop progress			
Minimizes inventories			
Pulls units through the business processes in response to customer orders			
Process improvement method that relies on customer feedback and fact-based data gathering and analysis techniques to drive process improvement			
Strives to continuously pursue perfection in the business process			

4. Indicate beside each statement below whether it is True (T) or False (F):
- _____ It isn't really important that accountants behave ethically since what they do will always be specifically bound by accounting rules such as GAAP.
 - _____ Many accounting professional organizations, such as the IMA and the AICPA have standards of ethical behavior their members should follow.

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- c. _____ Being ethical and making ethical choices is part of the integrity of a person's character, which can be very important to CEOs hiring CFOs.
- d. _____ The IMA Code of Conduct consists of two major parts: general ethical guidelines and specific guidance for unethical situations.

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GNB 12e Practice Exam Solutions – Chapter 1

1. Solution (Learning Objective 1):

	Managerial Accounting	Financial Accounting
Focuses on external uses of information		X
Is typically bound by the requirements of GAAP		X
Is generally more detailed information produced frequently	X	
Typically focuses on segments of the organization	X	
Often uses estimation in order to meet needs for timeliness	X	
Focuses on the historical performance of the company		X
Objectivity and reliability of information foremost		X
GAAP not mandatory	X	
Oriented toward future decision making	X	
Often mandatory information		X
Prepared primarily for internal users	X	

2. Solution (Learning Objective 2):

- False; formal relationships only are typically included.
- False; delegation of authority would be considered a decentralized organization.
- True
- True
- True

3. Solution (Learning Objective 3):

	(LTM)	(SS)	(TOC)
A method one might describe as often trying to improve (rather than remove) "the weakest link"			X
Common framework is known as DMAIC, which stands for Define, Measure, Analyze, Improve, and Control		X	

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Five-step management approach that organizes resources around the flow of business processes	X		
Management approach that emphasizes the importance of managing constraints			X
Management of “bottlenecks” which might delay or stop progress			X
Minimizes inventories	X		
Pulls units through the business processes in response to customer orders	X		
Process improvement method that relies on customer feedback and fact-based data gathering and analysis techniques to drive process improvement		X	
Strives to continuously pursue perfection in the business process	X		

4. Solution (Learning Objective 4):

- False; accountants are often faced with pressure to ignore or otherwise “bend” the rules and must decide proactively to be ethical in such situations as well as in situations where clear-cut “rules” do not exist and judgment must be exercised heavily.
- True
- True
- True

GNB 12e Practice Exam – Chapter 2

Print these pages. Answer each of the following questions, explaining your answers or showing your work, as appropriate, and then compare your solutions to those provided at the end of the practice exam.

- The following data (in thousands of dollars) have been taken from the accounting records of Kovach Corporation for the just completed year.

Raw materials inventory, beginning	\$ 80
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Raw materials inventory, ending	140
Work in process inventory, beginning	140
Work in process inventory, ending	100
Finished goods inventory, beginning	240
Finished goods inventory, ending	320
Administrative expenses	300
Direct labor	400
Manufacturing overhead	460
Purchases of raw materials	240
Sales	1,980
Selling expenses	280

Part (a) What was the cost of the raw materials used in production during the year (in thousands of dollars)?

Part (b) What was the cost of goods manufactured (finished) for the year (in thousands of dollars)?

Part (c) What was the cost of goods sold for the year (in thousands of dollars)?

Part (d) What was the net income for the year (in thousands of dollars)?

2. For each of the following, indicate whether the cost would typically be variable or fixed.

	Variable	Fixed
Direct materials		
Direct labor		
Rent on building		
Supervisor salaries		
Sales commissions based on units sold		

3. For each of the following, indicate whether the cost would typically be considered direct or indirect cost for the cost object given.

	Direct	Indirect
The direct labor factory costs for the manufacturing division.		

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The factory supervisor's salary for the product produced.		
The factory supervisor's salary for the manufacturing division.		
The manufacturing overhead costs for the products produced.		
The manufacturing overhead costs for the manufacturing division.		

4. For each of the following, indicate whether the cost or example would typically be considered an example of a differential cost, an opportunity cost, or a sunk cost.

	Differential Cost	Opportunity Cost	Sunk Cost
The decision to go to graduate school to earn an MBA versus taking a second part-time job. (<i>The foregone profits from the part-time job wages not earned.</i>)			
The cost of accepting a special order from a customer at a reduced selling price due to reduced packaging and delivery services.			
The cost of equipment purchased five years ago which is no longer usable.			
The cost of making a part compared with the cost of buying the part from a supplier.			
The use of factory equipment to produce an item when it could be used to produce another item that sells for a profit. (<i>The foregone profits from the product that is not produced.</i>)			

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GNB 12e Practice Exam Solutions – Chapter 2

1. Part (a) Solution (Learning Objective 4):

The cost of the raw materials used in production during the year is determined as follows:

Raw materials inventory, beginning	\$ 80
Purchases of raw materials	240
Less raw materials inventory, ending	<u>(140)</u>
Raw materials used in production	<u>\$180</u>

Part (b) Solution (Learning Objective 4):

The cost of goods manufactured (finished) during the year is determined as follows:

Raw materials used in production (calculated in the previous question)	\$ 180
Direct labor	400
Manufacturing overhead	<u>460</u>
Total manufacturing costs	1,040
Work in process inventory, beginning	<u>140</u>
	1,180
Less: work in process inventory, ending	<u>(100)</u>
Cost of goods manufactured	<u>\$1,080</u>

Part (c) Solution (Learning Objective 3):

The cost of goods sold for the year is determined as follows:

Finished goods inventory, beginning	\$ 240
Cost of goods manufactured (calculated in the previous question)	1,080
Less finished goods inventory, ending	<u>(320)</u>
Cost of goods sold	<u>\$1,000</u>

Part (d) Solution (Learning Objective 3):

The net income for the year is determined as follows:

Sales		\$1,980
Cost of goods sold (calculated in the previous question)		<u>1,000</u>
Gross profit		980

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Operating expenses:		
Administrative expenses	\$300	
Selling expenses	280	(580)
Net income		\$ 400

2. Solution (Learning Objective 5):

	Variable	Fixed
Direct labor	X	
Direct materials	X	
Rent on building		X
Supervisor salaries		X
Sales commissions based on units sold	X	

3. Solution (Learning Objective 6):

	Direct	Indirect
The direct labor factory costs for the manufacturing division.	X	
The factory supervisor's salary for the product produced.		X
The factory supervisor's salary for the manufacturing division.	X	
The manufacturing overhead costs for the products produced.		X
The manufacturing overhead costs for the manufacturing division.	X	

4. Solution (Learning Objective 7):

	Differential Cost	Opportunity Cost	Sunk Cost
The decision to go to graduate school to earn an MBA versus taking a second part-time job. (The foregone profits from the part-time job wages not earned.)		X	
The cost of accepting a special order from a customer at a reduced	X		

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selling price due to reduced packaging and delivery services.			
The cost of equipment purchased five years ago which is no longer usable.			X
The cost of making a part compared with the cost of buying the part from a supplier.	X		
The use of factory equipment to produce an item when it could be used to produce another item that sells for a profit. (The foregone profits from the product that is not produced.)		X	

GNB 12e Practice Exam – Chapter 3

Print these pages. Answer each of the following questions, explaining your answers or showing your work, as appropriate, and then compare your solutions to those provided at the end of the practice exam.

1. When is job-order costing typically used by a company? How does it differ from process costing? What documents are typically used in a job-order system?
2. Stephens, Inc. had the following estimated costs for next year:

Advertising expense	\$ 88,000
Direct materials	120,000
Direct labor	440,000
Indirect materials	40,000
Rent on factory equipment	128,000
Sales commissions	600,000
Salary of production	280,000

The company estimates that 80,000 direct labor hours will be worked and 64,000 machine hours will be incurred during the year. If overhead is applied on the basis of machine hours, what will be the overhead rate per hour?

3. Scotch Company uses a predetermined overhead rate based on direct labor hours to

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apply manufacturing overhead to jobs. At the beginning of the year, the company estimated manufacturing overhead would be \$400,000 and direct labor hours would be 40,000. The actual figures for the year were \$430,000 for manufacturing overhead and 42,000 direct labor hours. Is manufacturing overhead underapplied or overapplied for the year? By how much?

4. VirtualTech Company's predetermined overhead rate is based on direct labor hours. At the beginning of the current year, the company estimated that its manufacturing overhead would total \$440,000 during the year. During the year, the company incurred \$400,000 in actual manufacturing overhead costs. The Manufacturing Overhead account showed that overhead was underapplied by \$16,000 during the year. If the predetermined overhead rate was \$40.00 per direct labor hour, how many hours were worked during the year?
5. Wagner Company's job-order costing system, manufacturing overhead is applied to Work in Process inventory using a predetermined overhead rate. Wagner had no beginning or ending inventories in April. During April, the company's transactions included the following:

Direct materials issued to production	\$ 720,000
Indirect materials issued to production	64,000
Direct labor cost incurred	856,000
Manufacturing overhead cost applied	904,000
Manufacturing overhead cost incurred	1,000,000

Part (a) What was the cost of goods manufactured for April?

Part (b) What was the amount of cost of goods sold for April?

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GNB 12e Practice Exam Solutions – Chapter 3

1. Solution (Learning Objectives 1 and 2):

A job-order costing system is used in situations where many different products are produced each period. A process costing system is used in situations where the company produces many units for a single product for long periods.

When job-order costing is used, the costs for each job (or production order) are captured and the documents used to record each job's costs typically include a bill of materials, production order, materials requisition form, job cost sheets, and time tickets (or other source of information on the direct and indirect labor related to the job). Manufacturing overhead is allocated to the job using predetermined overhead rates which are entered on the job cost sheet.

2. Solution (Learning Objective 3):

If overhead is applied on the basis of machine hours, the overhead rate per hour would be determined as follows:

Indirect materials	\$ 40,000
Rent on factory equipment	128,000
Salary of production supervisor	<u>280,000</u>
Estimated manufacturing overhead costs	448,000
Estimated machine hours	<u>÷ 64,000</u>
Predetermined overhead rate	<u>\$7.00/MH</u>

Note that direct materials and direct labor are product costs, but are not a part of manufacturing overhead costs, which only include indirect factory costs. Sales commissions and advertising expenses would be considered a part of selling and administrative expenses, and are thus period rather than product costs.

3. Solution (Learning Objectives 3, 5 and 8):

First, calculate the predetermined overhead rate (based on direct labor hours here):

Estimated overhead costs ÷ Estimated direct labor hours = Predetermined rate

\$400,000 ÷ 40,000 direct labor hours = \$10.00/direct labor hour

Then, determine the amount of manufacturing overhead applied during the period:

Predetermined overhead rate x Actual direct labor hours = Overhead applied

\$10.00/direct labor hour x 42,000 direct labor hours = \$420,000

Finally, compare the actual manufacturing overhead costs to the amount applied, and decide whether it is underapplied or overapplied:

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Actual	\$430,000
Applied	<u>420,000</u>
Balance (underapplied)	\$ <u>10,000</u>

4. Solution (Learning Objectives 5 and 8):

First, determine the amount of overhead applied to production by reference to the information about the Manufacturing Overhead account:

Actual overhead – Amount applied to production = Amount underapplied

\$400,000 – Amount applied to production = \$16,000

Amount applied to production = \$384,000

Then, solve for the direct labor hours here (the activity base for the overhead rate):

Predetermined overhead rate x Direct labor hours = Manufacturing overhead applied

\$40.00 per direct labor hour x Actual direct labor hours = \$384,000 (from above)

Actual direct labor hours = 9,600

5. Solution (Learning Objective 6):

Part (a) The cost of goods manufactured for the month would be determined as follows:

Work in process, beginning of period	\$ 0
Direct materials issued to production	720,000
Direct labor cost incurred	856,000
Manufacturing overhead cost applied	<u>904,000</u>
Total manufacturing costs	2,480,000
Less: work in process, end of period	<u>(0)</u>
Cost of goods manufactured	<u>\$2,480,000</u> <u>0</u>

Part (b) First, determine whether overhead was underapplied or overapplied as follows:

Actual overhead costs	\$1,000,000
Overhead costs applied to production	<u>904,000</u>
Amount of underapplied overhead	\$ <u>96,000</u>

Then, since there are no beginning or ending inventories, the cost of goods sold would be the cost of goods manufactured \$2,480,000 plus the underapplied overhead costs of \$96,000 for a total of \$2,576,000.

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GNB 12e Practice Exam – Chapter 4

Print these pages. Answer each of the following questions, explaining your answers or showing your work, as appropriate, and then compare your solutions to those provided at the end of the practice exam.

1. Golob Company uses the weighted-average method in its process costing system. There is only one processing department. The following data were taken from the company's accounting records. At the beginning of the month, there were no units in the work in process inventory and 150,000 units in the finished goods inventory. The company sold 500,000 units during the month. There were 32,000 units, which were 75% complete as to conversion costs, in the work in process inventory and 120,000 units in the finished goods inventory at the end of the month.

Part (a) How many units were transferred from the processing department to the finished goods department during the month?

Part (b) What were the equivalent units of production for conversion costs for the month?

2. Clarke Company uses the weighted-average method in its process costing system. The following data were taken from the company's accounting records. The company's beginning work in process inventory, which was 100% complete as to materials and 70% complete as to conversion, was comprised of 120,000 units. 360,000 units were started in process during the period. The company's ending work in process inventory, which was 100% complete as to materials and 60% complete as to conversion, was comprised of 80,000 units.

Part (a) How many units were transferred out during the month?

Part (b) What were the equivalent units of production for conversion costs for the month?

3. Hood Company uses the weighted-average method in its process costing system. All materials are added at the beginning of the process. The following information pertains to its third processing department for the current month:

	Number of units	Cost of materials
Beginning work in process	120,000	\$ 40,000
Started during month	320,000	\$108,000
Units completed	340,000	
Ending work in process	100,000	

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Part (a) What were the equivalent units of production for materials for the current month?

Part (b) What is the cost per equivalent unit for materials for the current month?

4. The Carroll Company uses the weighted-average method in its process costing system. The company has only a single processing department. The company's ending work in process inventory consisted of 36,000 units. The units in the ending work in process inventory were 100% complete with respect to materials and 60% complete with respect to labor and overhead. If the cost per equivalent unit for November was \$11.00 for materials and \$17.00 for labor and overhead, what was the total cost assigned to the ending work in process inventory?

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GNB 12e Practice Exam Solutions – Chapter 4

1. Part (a) Solution (Learning Objective 2):

The number of units transferred out during the month would be determined as follows. Account for all units in the finished goods department in order to compute the number of units that were transferred from the processing department to finished goods during the month.

Beginning finished goods inventory	150,000 (given)	Sold (transferred out of finished goods inventory)	500,000 (given)
Started (transferred in from processing dept.)	<u>470,000</u> (C)	Ending inventory	<u>120,000</u> (given)
Total units to be accounted for	<u>620,000</u> (B)	Total units accounted for	<u>620,000</u> (A)

Calculations:

(A) Units sold + Units in ending inventory = Total units accounted for
 $500,000 + 120,000 = 620,000$ (A)

(B) Total units to be accounted for = Total units accounted for
 $620,000 = 620,000$ (from A)

(C) Units in beginning inventory + Units transferred in = Units to be accounted for
 $150,000 + \text{Units transferred in} = 620,000$
Units transferred in from processing department = 470,000 (C)

Part (b) Solution (Learning Objective 2):

The equivalent units of production for conversion costs in the processing department would be determined as follows:

Units completed and transferred out	470,000
Units in ending inventory (32,000 x .75)	<u>24,000</u>
Equivalent units for conversion costs	<u>494,000</u>

2. Part (a) Solution (Learning Objective 2):

The units were transferred out during the month would be determined as follows. First, account for all units in the processing department in order to determine the units in ending inventory (which is required in order to compute the equivalent units).

Beginning inventory	120,000 (given)	Completed (transferred out)	400,000 (C)
Started (transferred in)	<u>360,000</u> (given)	Ending inventory	<u>80,000</u> (given)

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Total units to be accounted for	<u>480,000</u> (A)	Total units accounted for	<u>480,000</u> (B)
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Calculations:

(A) Units in beginning inventory + Units started = Total units to be accounted for
 $120,000 + 360,000 = 480,000$

(B) Units to be accounted for = Total units accounted for
 $480,000 \text{ (from A)} = 480,000 \text{ (B)}$

(C) Units completed + Units in ending inventory = Total units accounted for
 $\text{Units completed} + 80,000 = 480,000$
 $\text{Units completed (and transferred out)} = 400,000 \text{ (C)}$

Part (b) Solution (Learning Objective 2):

The equivalent units of production for conversion costs would be determined as follows.

Units completed and transferred out	400,000
Units in ending inventory (80,000 x .6)	<u>48,000</u>
Equivalent units for conversion costs	<u>448,000</u>

3. Part (a) Solution (Learning Objective 2):

Recall that materials are added at the beginning of the process; as such, the ending inventory would be 100% complete as to materials. The equivalent units of production for materials for the current month would be determined as follows.

Units completed	340,000
Units in ending inventory (100,000 x 100%)	<u>100,000</u>
Equivalent units	<u>440,000</u>

Part (b) Solution (Learning Objective 3):

The cost per equivalent unit for materials for the current month would be determined as follows.

Beginning inventory	\$ 40,000
Started (materials transferred in)	<u>108,000</u>
Total costs	148,000
Divided by equivalent units	<u>440,000</u>
Cost per equivalent unit (rounded)	<u>\$ 0.34</u>

4 Solution (Learning Objective 4):

The total cost assigned to the ending work in process would be determined as follows:

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Materials (36,000 units x 100% x \$11.00 per unit)	\$396,000
Labor and overhead (36,000 units x 60% x \$17.00 per unit)	<u>367,200</u>
Total cost of ending work in process	<u>\$763,200</u>

GNB 12e Practice Exam – Chapter 5

Print these pages. Answer each of the following questions, explaining your answers or showing your work, as appropriate, and then compare your solutions to those provided at the end of the practice exam.

1. The following information has been provided by the Pond, Inc. for the third quarter of the year:

Sales	\$1,400,000
Cost of goods sold	640,000
Fixed administrative expenses	220,000
Variable administrative expenses	60,000
Fixed selling expenses	100,000
Variable selling expense	140,000

What was the company's contribution margin for the quarter?

2. Lexington Company has provided the following data for the fourth quarter of the most recent year:

Sales	1,200,000
Direct labor	\$ 290,000
Direct materials	206,000
Variable manufacturing overhead	164,000
Fixed selling expense	185,000
Fixed administrative expense	178,000
Variable administrative expense	192,000
Fixed manufacturing overhead	22,000
Variable selling expense	199,000

Assume that direct labor is a variable cost and that there were no beginning or ending inventories. What was the company's total contribution margin for the quarter?

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3. An analysis of past janitorial costs indicates that janitorial cost is an average of \$0.80 per machine-hour at an activity level of 80,000 machine-hours and \$1.00 per machine-hour at an activity level of 64,000 machine-hours. Assuming that this activity is within the relevant range, what is the total expected janitorial cost if the activity level is 74,000 machine-hours?
4. The Burlington Company has recorded the following costs for factory utilities at various volumes of production:

Production Volume	Total Factory Utilities Costs
600,000	\$700,000
400,000	500,000
200,000	300,000

Using a scattergraph plot, estimate the cost function for utilities costs.

5. Shipping expense is \$20,000 for 2,000 pounds shipped and \$27,500 for 3,000 pounds shipped. Assuming that this activity is within the relevant range, if the company ships 2,500 pounds, what is its expected shipping expense?

GNB 12e Practice Exam Solutions – Chapter 5

1. Solution (Learning Objective 4):

The company's contribution margin for the quarter would be determined as follows:

Sales		\$1,400,000
Variable expenses:		
Variable selling expense	\$140,000	
Cost of goods sold	640,000	
Variable administrative expenses	<u>60,000</u>	
Total variable expenses		<u>840,000</u>
Contribution margin		<u>\$560,000</u>

2. Solution (Learning Objective 4):

The company's total contribution margin for the quarter would be determined as follows:

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Sales		\$1,200,000
Variable expenses:		
Direct labor	\$ 290,000	
Direct materials	206,000	
Variable administrative expenses	192,000	
Variable manufacturing overhead	164,000	
Variable selling expense	<u>199,000</u>	
Total variable expenses		<u>1,051,000</u>
Contribution margin		<u>\$ 149,000</u>

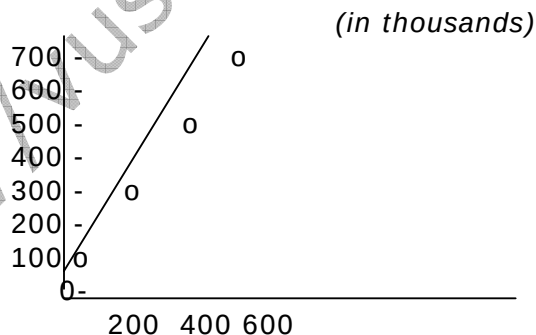
3. Solution (Learning Objective 1):

Janitorial costs are fixed (rather than variable or mixed) in nature; that is, they total \$64,000 at both 80,000 and 64,000 machine hours (MHs) as shown below.

MHs	Average Cost per MH	Total Cost
80,000	\$0.80	\$64,000
64,000	\$1.00	\$64,000

Accordingly, janitorial costs would be expected to be \$64,000 at 74,000 machine hours (or at any other level of machine hours within the relevant range).

4. Solution (Learning Objective 2):



Based on the scattergraph above, the fixed cost portion of utilities cost is equal to the intercept, \$100,000. The variable cost portion appears to be \$1 per unit (that is, for every 200,000 units costs increase \$200,000, so variable costs appear to be \$1 per unit).

5. Solution (Learning Objective 3):

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Using the high-low method, the company's variable cost per unit for shipping costs can be calculated as follows:

Variable cost per unit = Change in costs ÷ Change in units

Variable cost per unit = (\$27,500 – \$20,000) ÷ (3,000 – 2,000)

Variable cost per unit = \$7,500 ÷ 1,000 = \$7.50 per pound shipped.

Then, the company's fixed shipping cost can be calculated as follows:

Total cost = Total variable cost + Total fixed cost or

Total fixed cost = Total cost – Total variable cost

Total fixed cost = \$20,000 – (2,000 pounds x \$7.50 per pound)

Total fixed cost = \$20,000 – \$15,000 = \$5,000

Finally, if the company ships 2,500 pounds, its total shipping cost can be estimated as follows:

Total cost = Total variable cost + Total fixed cost

Total cost = (2,500 pounds x \$7.50 per pound) + \$5,000

Total cost = \$18,750 + \$5,000 = \$23,750

GNB 12e Practice Exam – Chapter 6

Print these pages. Answer each of the following questions, explaining your answers or showing your work, as appropriate, and then compare your solutions to those provided at the end of the practice exam.

1. The following is Shearer Corporation's contribution format income statement for last month:

Sales	\$4,000,000
Less variable expenses	<u>2,800,000</u>
Contribution margin	1,200,000
Less fixed expenses	<u>720,000</u>
Net income	<u>\$ 480,000</u>

A total of 80,000 units were produced and sold last month. The company has no beginning or ending inventories.

Part (a) What is the company's breakeven in sales dollars?

Part (b) How many units would the company have to sell to attain target profits of \$600,000?

Part (c) What is the company's margin of safety?

Part (d) What is the company's degree of operating leverage?

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2. Morris Company sells a single product. The product has a selling price of \$100 per unit and variable expenses of 80% of sales. If the company's fixed expenses total \$150,000 per year, what is its break-even point? (Give answer in dollars and in units.)

3. Garrett Company sells hand-crafted furniture. One item it sells is a small table that sells for \$30 per unit. The variable costs related to the table, including product and shipping costs, are \$18 per unit. Total fixed costs for the company are \$60,000. Assume the tables are the only product the company sells this year and draw a CVP graph to represent the company's sales and expenses. From this graph, compute the approximate breakeven point in dollars and units.

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GNB 12e Practice Exam Solutions – Chapter 6

1. Part (a) Solution (Learning Objectives 1 and 5):

Determine the contribution margin (CM) per unit as follows:

Total contribution margin ÷ Number of units sold = CM per unit

\$1,200,000 ÷ 80,000 units = \$15 per unit

So, breakeven in sales dollars are the fixed expenses (\$720,000) divided by the 30% contribution margin percentage (\$1,200,000 divided by \$4,000,000, which equals 30%), or a breakeven of \$2,400,000.

Part (b) Solution (Learning Objective 6):

Calculate the unit sales required to achieve the targeted profit as follows:

(Fixed expenses + Targeted profit) ÷ CM per unit = Required units

(\$720,000 + \$600,000) ÷ \$15 per unit = \$1,320,000 ÷ \$15 = 88,000 units

Part (c) Solution (Learning Objective 7):

Note that breakeven sales are \$2,400,000 (see part (a) above).

Margin of safety = Total sales – Breakeven sales

Margin of safety = \$4,000,000 - \$2,400,000 = \$1,600,000

Part (d) Solution (Learning Objective 8):

Degree of operating leverage = Contribution margin ÷ Net income

Degree of operating leverage = \$1,200,000 ÷ \$480,000 = 2.5

2. Solution (Learning Objectives 1 and 5):

The contribution margin (CM) percentage may be calculated as:

Sales percentage (100%) – Variable expenses percentage equals CM percentage

100% – 80% = 20%

Then, the break-even point may be calculated as:

Fixed costs divided by CM percentage equals break-even point (in sales dollars)

\$150,000 ÷ 20% = \$750,000.

In units, divide contribution margin per unit (\$20) into fixed costs (\$150,000) for breakeven in units of 7,500.

This also could be computed as breakeven in dollars (\$750,000) divided by sales price of \$100, which equals 7,500 units.

3. Solution (Learning Objective 1):

On a CVP graph, the vertical axis is typically dollars, and the horizontal axis shows

number of units. One line is drawn to represent fixed expenses (a flat line since fixed

costs do not increase as volume increases.) Another line is drawn to represent the

revenues (number of units times the selling price per unit) and another line is drawn to

represent expenses (number of units times the variable expenses per unit, plus total

fixed expenses). The amount of fixed expenses will be shown as the intercept on the

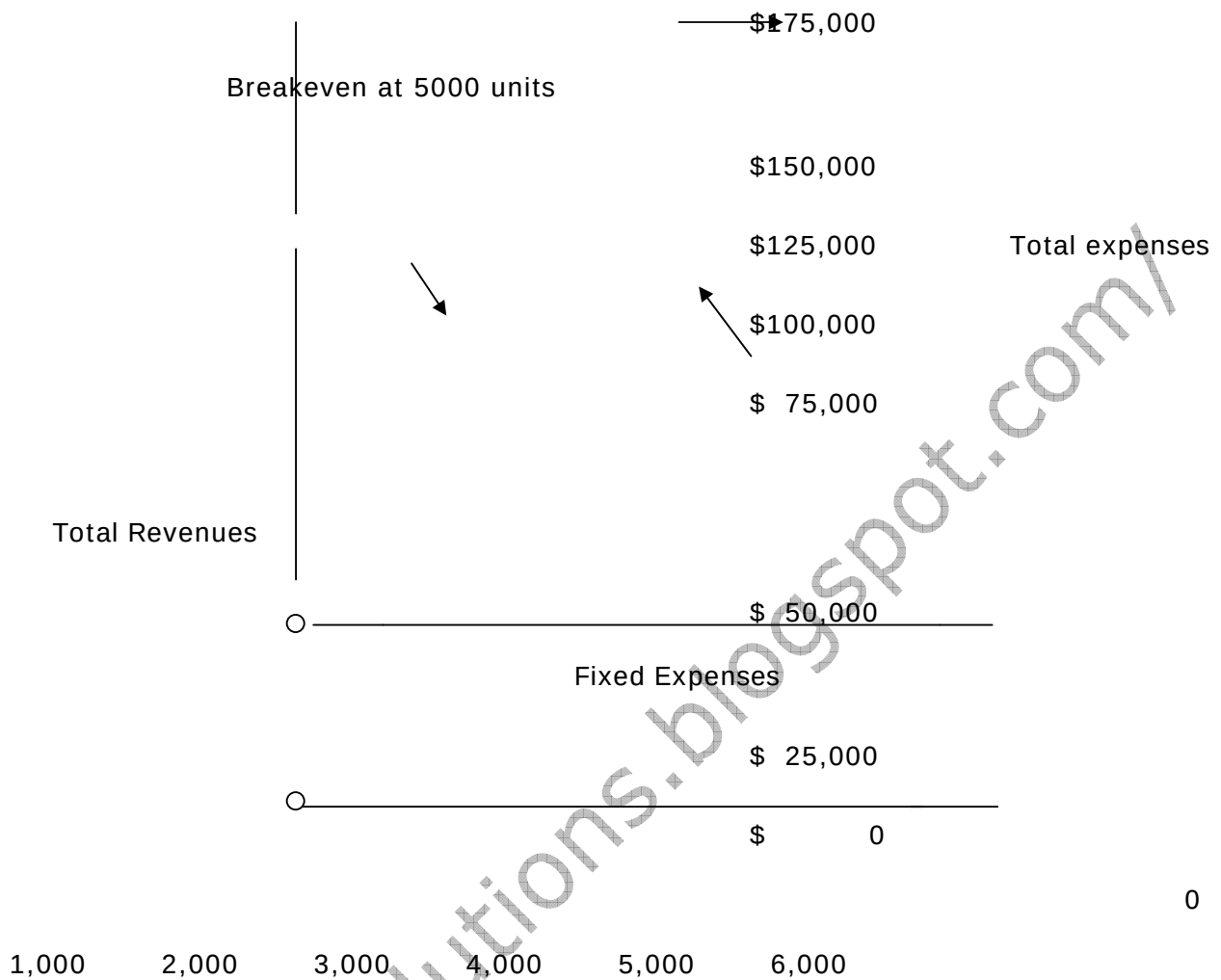
vertical axis. Thus, with a sales price of \$30/unit, variable costs of \$18/unit, and fixed

costs of \$60,000, the CVP graph would appear as follows:

\$200,000

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GNB 12e Practice Exam – Chapter 7

Print these pages. Answer each of the following questions, explaining your answers or showing your work, as appropriate, and then compare your solutions to those provided at the end of the practice exam.

1. Piscopo Company produces mint chocolate candies. The chocolates sell for \$12 per box. During its first year of operations, the company produced 10,000 boxes of chocolates and sold 9,000 boxes of the candies. The company's cost information includes the following:

Direct materials	\$ 2.00 per unit
Direct labor	\$ 3.00 per unit
Fixed manufacturing overhead	\$20,000
Fixed selling and administrative expenses	\$ 5,000
Variable manufacturing overhead	\$ 1.00 pr unit
Variable selling and administrative expenses	\$ 3.00 per unit

Part (a) Compute the unit product cost under absorption costing.

Part (b) Compute the unit product cost under variable costing.

Part (c) Prepare an income statement using absorption costing.

Part (d) Prepare an income statement using variable costing.

Part (e) Explain the difference of \$2,000 in the net operating income determined under the absorption and variable costing methods.

2. Describe the major advantages of the absorption costing method.
3. Describe the major advantages of the variable costing method.

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GNB 12e Practice Exam Solutions – Chapter 7

1. Part (a) Solution (Learning Objective 1):

Direct materials	\$2.00
Direct labor	3.00
Variable manufacturing overhead	1.00
Fixed manufacturing overhead (\$20,000 divided by 10,000 units)	<u>2.00</u>
Product cost using absorption costing	<u>\$8.00</u>

Part (b) Solution (Learning Objective 1):

Direct materials	\$2.00
Direct labor	\$3.00
Variable manufacturing overhead	\$1.00
Product cost using variable costing	<u>\$6.00</u>

Part (c) Solution (Learning Objective 2):

Sales (9,000 units @ \$12)		\$108,000
Cost of goods sold:		
Beginning inventory	\$ 0	
Cost of goods manufactured (10,000 @ \$8 per unit)	80,000	
Less: ending inventory (1,000 @ \$8 per unit)	<u>(8,000)</u>	<u>72,000</u>
Gross margin		36,000
Less fixed manufacturing overhead		
Less selling & administrative expenses (variable of 9,000 @ \$3 per unit + fixed of \$5,000)		<u>32,000</u>
Net operating income		<u>\$ 4,000</u>

Part (d) Solution (Learning Objective 2):

Sales (9,000 units @ \$12)		\$108,000
Variable cost of goods sold (9,000 @ \$6 per unit)		54,000
Less variable selling & administrative expenses (9,000 @ \$3 per unit)		<u>27,000</u>

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Contribution margin		27,000
Fixed manufacturing overhead	20,000	
Fixed selling & administrative expenses	5,000	25,000
Net operating income		\$ 2,000

Part (e) Solution (Learning Objective 2):

Note that there was no beginning inventory. As such, the difference in net operating income of \$2,000 can be explained by looking at the amount of ending inventory reported using the two methods. The difference is due to the fixed manufacturing overhead costs (1,000 units in ending inventory @ \$2 of fixed manufacturing overhead cost per unit = \$2,000) is included in inventory (rather than expensed) when absorption costing is used, but is expensed immediately (rather than being included in inventory) when variable costing is used.

2. Solution (Learning Objective 4):

Advantages of absorption costing include:

- Method is required by GAAP and tax authorities, and
- Method reflects the full costs of manufacturing a product.

3. Solution (Learning Objective 4):

Advantages of variable costing include:

- Method is compatible with CVP and TOC analysis,
- Method does not cause fluctuations in profit due to changing production and inventory levels, unlike the absorption method,
- Method show only variable product costs so it avoids the problem under absorption method where managers mistakenly think fixed manufacturing costs are variable product costs,
- Variable costing allows total fixed manufacturing overhead costs to be visible on the income statement, rather than being "buried" in the cost of goods sold and inventory figures,
- Variable costing avoids some of the problems with overhead costs allocations, and
- Variable costs are more easily used with standard costing and flexible budgeting.

GNB 12e Practice Exam – Chapter 8

Print these pages. Answer each of the following questions, explaining your answers or showing your work, as appropriate, and then compare your solutions to those provided at the end of the practice exam.

1. Sargent Company uses activity-based costing to determine the costs of its two products: A and B. The estimated total cost and expected activity for each of the company's three activity cost pools are as follows:

Activity Cost Pool	Estimated Cost	Expected Activity		
		Product A	Product B	Total
Activity 1	\$32,000	2,200	1,800	4,000

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Activity 2	\$28,000	400	300	700
Activity 3	\$37,600	800	300	1,100

Part (a) What is the activity rate under the activity-based costing system for Activity 2?

Part (b) How much total cost will be assigned to Products A and B for Activity 2?

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2. Fey Company has two products: A and B. The annual production and sales level of Product A is 18,188 units. The annual production and sales level of Product B is 31,652. The company uses activity-based costing and has prepared the following analysis showing the estimated total cost and expected activity for each of its three activity cost pools:

Activity Cost Pool	Estimated Cost	Expected Activity		
		Product A	Product B	Total
Activity 1	\$ 58,400	1,000	500	1,500
Activity 2	\$ 80,000	200	800	1,000
Activity 3	\$360,000	600	5,400	6,000

Part (a) What is the total overhead cost allocated to Product B under activity-based costing?

Part (b) What is the overhead cost per unit of Product B under activity-based costing?

3. Fey Company has two products: A and B. The annual production and sales level of Product A is 18,188 units. The annual production and sales level of Product B is 31,652. The company uses activity-based costing and has prepared the following analysis showing the estimated total cost and expected activity for each of its three activity cost pools:

Activity Cost Pool	Estimated Cost	Expected Activity		
		Product A	Product B	Total
Activity 1	\$ 58,400	1,000	500	1,500
Activity 2	\$ 80,000	200	800	1,000
Activity 3	\$360,000	600	5,400	6,000

(Note that this is the same information as provided for the previous question.) The following information is also available:

Sales price per unit	\$100.00
Direct material per unit	20.00
Direct labor per unit	10.00

Prepare a profit margin report for Product B from an activity view.

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GNB 12e Practice Exam Solutions – Chapter 8

1. Part (a) Solution (Learning Objective 3):

The activity rate for Activity 2 would be determined as follows:

$$\$28,000 \div 700 = \$40.00$$

Part (b) Solution (Learning Objective 4):

The product cost allocations for Activity 2 would be determined as follows:

Product A cost allocation for Activity 2: $400 \times \$40 = \$16,000$

Product B cost allocation for Activity 2: $300 \times \$40 = \$12,000$

2. Part (a) Solution (Learning Objective 2):

The total overhead cost allocations for Product #2 would be determined as follows:

Activity 1	$(\$58,400 \div 1,500) \times 500$	\$ 19,466.67
Activity 2	$(\$80,000 \div 1,000) \times 800$ 64,000.00	64,000.00
Activity 3	$(\$360,000 \div 6,000) \times 5,400$	<u>324,000.00</u>
Total overhead cost per unit for Product B		<u>\$407,466.67</u>

2. Part (b) Solution (Learning Objective 2):

The overhead cost per unit allocations for Product B would be determined as follows:

Total overhead cost per unit for Product B	\$407,466.67
Divided by number of units produced	$\div$ <u>31,652</u>
Overhead cost per unit of Product B	<u>\$ 12.87</u>

3. Solution (Learning Objective 3):

The profit margin report for Product B from an activity view would be as follows:

Sales Revenues ($\$100 \times 31,652$ units)		\$3,165,200
Direct Materials ($\$20 \times 31,652$ units)	\$ 633,040	
Direct Labor ($\$10 \times 31,652$ units)	316,520	
Activity 1 Overhead costs	19,467	
Activity 2 Overhead costs	64,000	
Activity 3 Overhead costs	<u>324,000</u>	<u>1,357,027</u>
Product margin		<u>\$1,808,173</u>

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GNB 12e Practice Exam – Chapter 9

Print these pages. Answer each of the following questions, explaining your answers or showing your work, as appropriate, and then compare your solutions to those provided at the end of the practice exam.

1. Frame-It Company produces and sells picture frames. To guard against out of stock situations, the company requires that 20% of the next month's sales be on hand at the end of each month. Budgeted sales of picture frames over the next three months are:

	January	February	March
Budgeted sales in units	320,000	480,000	400,000

What would budgeted production for February be?

2. Santypal Company has budgeted production for next year as follows:

	First Quarter	Second Quarter	Third Quarter	Fourth Quarter
Production in units	80,000	96,000	128,000	112,000

Ten pounds of raw materials are required for each unit produced. Raw materials on hand at the beginning of the year total 20,000 lbs. The raw materials inventory at the end of each quarter should equal 10% of the next quarter's production needs. What would budgeted purchases of raw materials in the second quarter be?

3. Daley Company plans to sell 96,000 units during the month of August. If the company has 20,000 units on hand at the start of the month, and plans to have 16,000 units on hand at the end of the month, how many units must be produced during the month?
4. Fifty percent of Java Company's sales are for cash; the rest are on credit. Seventy percent of the credit sales are collected in the month of sale, twenty percent in the month following sale, and five percent in the second month following sale. The remainder is expected to be uncollectible. The following are budgeted sales data:

	October	November	December
Total sales	\$280,000	\$240,000	\$320,000

- Part (a) How much of the December sales are expected to be collected during December?
Part (b) What is the budgeted amount of total cash receipts in December?

GNB 12e Practice Exam Solutions – Chapter 9

1 Solution (Learning Objective 3):

Budgeted production for February would be determined as follows:

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Sales	480,000
Plus planned ending inventory (400,000 x .20)	80,000
Less beginning inventory (480,000 x .20)	(96,000)
Units to be produced	<u>464,000</u>

2. Solution (Learning Objective 4):

Budgeted purchases of raw materials in the second quarter would be determined as follows:

Required for:	
Second quarter production (96,000 x 10 lbs.)	960,000
Planned ending inventory (128,000 x .10 x 10 lbs.)	128,000
Less planned beginning inventory (96,000 x .10 x 10 lbs.)	(96,000)
Budgeted purchases of pounds of raw materials	<u>992,000</u>

3. Solution (Learning Objective 3):

The number of units that must be produced during the month would be determined as follows:

Sales	96,000
Plus planned ending inventory	16,000
Less beginning inventory	(20,000)
Units to be produced	<u>92,000</u>

4. Part (a) Solution (Learning Objective 2):

The amount of December sales expected to be collected during December would be budgeted as follows:

Month of	Collected during December	Calculations

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Sale		
December:		
Credit	\$112,000	$(\$320,000 \times .50 \times .70)$
Cash	<u>160,000</u>	$(\$320,000 \times .50)$
Total	<u>\$272,000</u>	

Part (b) Solution (Learning Objective 2):

Total cash receipts in December would be budgeted as follows:

Month of Sale	Collected during December	Calculations
December	\$272,000	From part (a)
November	24,000	$(\$240,000 \times .50 \times .20)$
October	<u>7,000</u>	$(\$280,000 \times .50 \times .05)$
Total	<u>\$303,000</u>	

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GNB 12e Practice Exam – Chapter 10

Print these pages. Answer each of the following questions, explaining your answers or showing your work, as appropriate, and then compare your solutions to those provided at the end of the practice exam.

1. Prescott Company employs a standard cost system in which direct materials inventory is carried at standard cost. The company has established the following standards for the prime costs of one unit of product:

	Standard Quantity	Standard Price	Standard Cost
Direct labor	2.6 hours	\$44.00/hour	\$114.40
Direct materials	12.0 pounds	\$14.00/pound	168.00

During April, the company purchased 330,000 pounds of direct material at a total cost of \$4,686,000. The total factory wages for June were \$3,200,000, of which 90% was for direct labor. The company manufactured 25,000 units of product during April using 302,000 pounds of direct material and 64,000 direct labor hours.

Part (a) What is the price variance for the direct material acquired by the company during April?

Part (b) What is the direct material quantity variance for April?

Part (c) What is the direct labor rate variance for April?

Part (d) What is the direct labor efficiency variance for April?

2. Phoenix Company maintains warehouses that stock items carried by its e-retailer clients. When one of Phoenix' clients receives an order from an online customer, the order is forwarded to Phoenix. Phoenix then pulls the item from the warehouse, packs it and ships it to the customer. Phoenix uses a predetermined variable overhead rate based on direct labor-hours. According to the company's records, 0.04 direct labor-hours are required to fulfill an order for one item and the variable overhead rate is \$3.25 per direct-labor hour. During December, Phoenix shipped 120,000 orders using 4,600 direct labor-hours. The company incurred a total of \$14,720 in variable overhead costs.

Part (a) What is the variable overhead spending variance during December?

Part (b) What is the variable overhead efficiency variance during December?

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GNB 12e Practice Exam Solutions – Chapter 10

1. Part (a) Solution (Learning Objective 2):

First, calculate the actual price per unit of materials as follows.

Total cost of \$4,686,000 ÷ 330,000 lbs. = \$14.20 per pound

Then calculate the materials price variance as follows.

Materials price variance = AQ x (AP – SP) = 330,000 x (\$14.20 – \$14.00) = \$66,000 (U)

Part (b) Solution (Learning Objective 2):

First, calculate the standard quantity as follows.

25,000 units x 12.0 pounds per unit = 300,000 pounds

Then calculate the material quantity variance as follows.

Materials quantity variance = SP x (AQ – SQ) = \$14.00 x (302,000 – 300,000) = \$28,000(U)

Part (c) Solution (Learning Objective 3):

First, calculate the actual rate per hour of direct labor as follows:

(\$3,200,000 x .90) ÷ 64,000 hours = \$45.00 per hour

Then calculate the labor rate price variance as follows:

Labor rate variance = AH x (AR – SR)

Labor rate variance = 64,000 x (\$45.00 – \$44.00) = \$64,000 (U)

Part (d) Solution (Learning Objective 3):

First, calculate the standard hours as follows.

25,000 units x 2.6 hours per unit = 65,000 hours

Then calculate the direct labor efficiency variance as follows:

Direct labor efficiency variance = SR x (AH – SH) = \$44.00 x (64,000 – 65,000) = \$44,000 (F)

2. Part (a) Solution (Learning Objective 4):

The variable overhead spending variance during December is determined as follows:

Actual Hours of Input, at the Actual Rate (AH×AR)	Actual Hours of Input, at the Standard Rate (AH×SR)
4,600 hours (given) × \$3.20 per hour (or \$14,720 ÷ 4,600 hours)	4,600 hours (given) × \$3.25 per hour (given)
= \$14,720 (given)	= \$14,950
Variable overhead spending variance, \$230 F	

Alternatively, the variable overhead spending variance is determined as follows:

AH x (AR – SR) = 4,600 hours (\$3.20 per hour – \$3.25 per hour) = \$230 F

Part (b) Solution (Learning Objective 4):

The variable overhead spending variance during December is determined as follows:

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Actual Hours of Input, at the Standard Rate . (AH×SR)	Standard Hours Allowed for Output, at the Standard Rate . (SH×SR)
4,600 hours (given) × \$3.25 per hour (given)	4,800 hours (or 120,000 × 0.04 DLH) × \$3.25 per hour (given)
= \$14,950	= \$15,600
Variable overhead efficiency variance, \$650 F	

Alternatively, the variable overhead efficiency variance is determined as follows:
 $SR \times (AH - SH) = \$3.25 \text{ per hour } (4,600 \text{ hours} - 4,800 \text{ hours}) = \650 F

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GNB 12e Practice Exam – Chapter 11

Print these pages. Answer each of the following questions, explaining your answers or showing your work, as appropriate, and then compare your solutions to those provided at the end of the practice exam.

1. The Duvall Company applies manufacturing overhead costs to products on the basis of direct labor-hours. The standard cost card shows that 6 direct labor-hours are required per unit of product. The company estimated that it would work 180,000 direct labor-hours and incur the following manufacturing overhead costs for the month of March:

Total fixed overhead costs	\$237,600
Total variable overhead costs	\$198,000

During March, the company completed 28,000 units of product, worked 172,000 direct labor-hours, and incurred the following total manufacturing overhead costs:

Total fixed overhead costs	\$230,600
Total variable overhead costs	\$197,800

The denominator activity used to calculate its predetermined overhead rate was 180,000 direct labor-hours.

Part (a) What is the variable overhead (VOH) spending variance for March?

Part (b) What is the variable overhead (VOH) efficiency variance for March?

Part (c) What is the fixed overhead budget variance for March?

Part (d) What is the fixed overhead volume variance for March?

2. What are the major weaknesses of static budgets?

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GNB 12e Practice Exam Solutions – Chapter 11

1. Part (a) Solution (Learning Objective 3):

First, compute the variable overhead (VOH) rate as follows:

VOH rate = Budgeted variable overhead costs ÷ budgeted direct labor hours

VOH rate = \$198,000 ÷ 180,000 direct labor hours = \$1.10 per direct labor hour

Then, compute the variable overhead (VOH) spending variance as follows:

VOH spending variance = Actual VOH incurred – (Actual direct labor hours x VOH rate per direct labor hour) = \$197,800 – (172,000 hours x \$1.10 per hour) = \$8,600 U

The variance is unfavorable because the actual overhead costs were more than the benchmark (that is, how much should have been spent in total on variable overhead items during the period).

Part (b) Solution (Learning Objective 4):

First, compute the variable overhead (VOH) rate as follows:

VOH rate = Budgeted variable overhead costs ÷ budgeted direct labor hours

VOH rate = \$198,000 ÷ 180,000 direct labor hours = \$1.10 per direct labor hour

Then, compute the efficiency variance as follows:

VOH efficiency variance = (AH hours x VOH rate) - (SH hours x VOH rate) = (172,000 hours x \$1.10/DL hour) – ((28,000 units x 6 DL hours/unit) x \$1.10/hour) = \$4,400 U

More direct labor hours (172,000) were worked than were allowed at standard (168,000); as such, the overhead efficiency variance is unfavorable.

Part (c) Solution (Learning Objective 6):

The fixed overhead (FOH) budget variance is determined as follows:

FOH budget variance = Actual fixed overhead – Budgeted fixed overhead = \$230,600 – \$237,600 = \$7,000 F

Since actual fixed overhead was less than the amount budgeted for the period, the budget variance is favorable.

Part (d) Solution (Learning Objective 6):

First, compute the fixed overhead (FOH) rate as follows:

FOH rate = Budgeted fixed overhead costs ÷ budgeted direct labor hours = \$237,600 ÷ 180,000 direct labor hours = \$1.32 per direct labor hour

Then, the FOH volume variance is determined as follows:

FOH Volume variance = Budgeted fixed overhead – (Standard hours allowed x FOH rate) = \$237,600 – (((28,000 units x 6 DL hrs./unit) x \$1.32 per DL hour) = \$15,840 U

Since budgeted fixed overhead was more than the amount applied to work in process during the period, the volume variance is unfavorable.

2. Solution (Learning Objective 1):

The major weaknesses of static budgets include the following:

- Static budgets are geared only to a single level of activity.
- Static budgets cannot be used to assess whether variable costs are under control.
- Static budgets force the manager to compare actual costs at one level of activity to budgeted costs at a different level of activity.

GNB 12e Practice Exam – Chapter 12

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showing your work, as appropriate, and then compare your solutions to those provided at the end of the practice exam.

1. The following data are available for the Southwestern Division of Evans, Inc. and the single product it makes.

Annual fixed costs	\$560,000
Average operating assets	\$3,000,000
Unit selling price	\$40
Variable cost per unit	\$24

How many units must the division sell each year to have an ROI of 16%?

2. The Northeastern Division of Brillstein Inc. recorded operating data as follows for the past year.

Average operating assets	200,000
Net operating income	50,000
Residual income	26,000
Sales	\$400,000
Stockholders' equity	160,000

Part (a) What was the division's return on investment?

Part (b) What was the division's margin?

Part (c) What was the division's turnover?

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3. Cameron Company has recorded the following information about the results of its operations for the first quarter:

	Total Company	Southern Division	Northern Division
Sales revenues	\$200,000	\$ 80,000	\$120,000
Variable cost of sales	\$ 60,000	30,000	30,000
Fixed costs:			
Common	\$100,000	25,000	75,000
Traceable	\$ 50,000	20,000	30,000

Based on this information, prepare a segmented income statement for the quarter and comment on the results.

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GNB 12e Practice Exam Solutions – Chapter 12

1. Solution (Learning Objective 2):

First, calculate, the division's required operating income as follows:

Net operating income = Average operating assets x ROI = \$3,000,000 x .16 = \$480,000

Then, calculate the number of units that must be sold to generate that operating income as follows: Net operating income = Sales – Variable expenses – Fixed expenses

Let X represent the number of units

$\$480,000 = \$40X - \$24X - \$560,000$; $\$1,040,000 = \$16X$; $X = 65,000$

2. Part (a) Solution (Learning Objective 2):

The return on investment for the past year is determined as follows:

ROI = Net operating income ÷ Average operating assets = $\$50,000 \div \$200,000 = 25\%$

Part (b) Solution (Learning Objective 2):

The margin for the past year is determined as follows:

Margin = Net operating income ÷ Sales = $\$50,000 \div \$400,000 = 12.5\%$

Part (c) Solution (Learning Objective 2):

The turnover for the past year is determined as follows:

Turnover = Sales ÷ Average operating assets = $\$400,000 \div \$200,000 = 2$

3. Solution (Learning Objective 1):

	Total Company	Southern Division	Northern Division
Sales revenues	\$200,000	\$ 80,000	\$120,000
Variable cost of sales	<u>60,000</u>	<u>30,000</u>	<u>30,000</u>
Contribution margin	140,000	50,000	90,000
Less traceable fixed costs	<u>50,000</u>	<u>20,000</u>	<u>30,000</u>
Segment margin	90,000	<u>\$ 30,000</u>	<u>\$ 60,000</u>
Less common fixed costs	<u>100,000</u>		
Net operating loss	<u>(\$10,000)</u>		

Since common fixed costs are not traceable to the divisions, they should not be included in segment margins. As can be seen from the data, the company's divisions have performed with positive segment margins, but as a whole the company has a net operating loss for the quarter due to the significant amount of common fixed costs. If possible, the company needs to increase its revenues and/or decrease its costs (particularly fixed costs) to generate operating income instead of loss.

GNB 12e Practice Exam – Chapter 13

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1. Bazar Company is a small family business that produces wooden plaques and trophies:

	Plaques	Trophies
Selling price per unit	\$18	\$15
Variable cost per unit	<u>12</u>	<u>8</u>
Contribution margin per unit	<u>\$ 6</u>	<u>\$ 7</u>
Contribution margin ratio	<u>33%</u>	<u>47%</u>

In producing the items, the primary "bottleneck" is due to the fact the company only has one machine, a sander, to sand the wood that is used for the plaques or the trophies. Generally, the wood required for each plaque takes 0.25 hour to sand, while the wood required for each trophy takes 0.50 hour to sand. Based on the constraint related to the machine time, which product should be emphasized if only limited machine time is available?

2. A study has been conducted to determine if one of the departments of Sparrow Company should be discontinued. The contribution margin in the department is \$150,000 per year. Fixed expenses charged to the department are \$130,000 per year. It is estimated that \$120,000 of these fixed expenses could be eliminated if the department is discontinued.

Part (a) If the department is discontinued, what will be the impact on the company's overall net operating income?

Part (b) Which costs are irrelevant to this decision?

3. Lavender Company produces 2,000 parts per year, which are used in the assembly of one of its products. The unit product cost of these parts is:

Variable manufacturing cost	\$64
Fixed manufacturing cost	<u>36</u>
Unit product cost	<u>\$100</u>

The part can be purchased from an outside supplier at \$80 per unit. If the part is purchased from the outside supplier, two-thirds of the fixed manufacturing costs can be eliminated.

Part (a) What costs are irrelevant to this decision?

Part (b) What would the annual impact on the company's net operating income be as a result of buying the part from the outside supplier?

4. The following are Carly Company's unit costs of making and selling an item at a volume of 20,000 units per month (which represents the company's capacity):

Manufacturing:	
----------------	--

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Direct materials	\$2.00
Direct labor	4.00
Variable overhead	1.00
Fixed overhead	1.80
Selling and administrative:	
Variable	3.00
Fixed	1.200

Assume the company has 100 units left over from last year which have small defects and which will have to be sold at a reduced price as scrap. This would have no effect on the company's other sales. The variable selling and administrative costs would have to be incurred to sell the defective units. What cost is relevant as a guide for setting a minimum price on these defective units?

5. Golden Company sells its product for \$42 per unit. The company's unit product cost based on the full capacity of 400,000 units is as follows:

Direct materials	\$ 8
Direct labor	10
Manufacturing overhead	<u>12</u>
Unit product cost	<u>\$30</u>

A special order offering to buy 40,000 units has been received from a foreign distributor. The only selling costs that would be incurred on this order would be \$6 per unit for shipping. The company has sufficient idle capacity to manufacture the additional units. Two-thirds of the manufacturing overhead is fixed and would not be affected by this order. Assume that direct labor is an avoidable cost in this decision. In negotiating a price for the special order, what is the minimum acceptable selling price per unit?

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GNB 12e Practice Exam Solutions – Chapter 13

1. Solution (Learning Objective 5):

To evaluate a situation where there is a constrained resource (“bottleneck”), the contribution margin per unit of constrained resource should be calculated. While at first it appears the trophies should be emphasized based on the data given above, when the contribution margin per machine hour is computed, it appears the plaques should be emphasized, as follows:

	Plaques	Trophies
Contribution margin (CM) per unit	\$ 6	\$ 7
Machine hours per unit (MH)	.25	.50
CM per machine hour (CM ÷ MH)	\$ 24	\$ 14

In other words, for each hour of machine time, the wood for four plaques can be sanded with a CM of \$6 per plaque, for a total of \$24 CM per machine hour. Alternatively, for each hour of machine time, the wood for two trophies can be sanded with a CM of \$7 per trophy, for a total of \$14 CM per hour of machine time. So with limited machine time, the plaques should be emphasized since more CM per machine hour will be realized.

2. Part (a) Solution (Learning Objective 2):

CM that would be lost if department is discontinued	\$(150,000)
Less fixed costs that can be avoided if department is discontinued	<u>120,000</u>
Increase (decrease) in net operating income	<u>\$ (30,000)</u>

Part (b) Solution (Learning Objective 1):

Based on this information alone, because the company's net operating income would decrease by \$30,000 per year, they should not discontinue this department. The common fixed costs of \$10,000 (or \$130,000 - \$120,000) are irrelevant to this decision.

3. Part (a) Solution (Learning Objective 3):

The product costs related to making the parts that can be eliminated are the variable manufacturing costs (\$48 per unit) and two-thirds of the fixed manufacturing costs ($2/3 \times \$36 = \24) for a total of \$72 (or \$48 + \$24) per unit. Those are the costs that are relevant to the “make” decision. The cost that is relevant to the “buy” decision is the purchase price of \$80 per unit.

Since one-third of the fixed manufacturing costs cannot be eliminated, they are irrelevant to this decision.

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Part (b) Solution (Learning Objective 3):

The annual impact on the company's net operating income as a result of buying the part from the outside supplier is determined as follows:

	Production "Cost" per Unit	Per Unit Differential Costs		Total Differential Costs—2,000 Units	
		Make	Buy	Make	Buy
Variable manufacturing costs	\$ 64	\$64		\$128,000	
Fixed manufacturing costs	<u>36</u>				
Outside purchase price			\$80		\$160,000
Fixed manufacturing costs eliminated			<u>(24)</u>		<u>(48,000)</u>
Total cost	<u>\$100</u>	<u>\$64</u>	<u>\$56</u>	<u>\$128,000</u>	<u>\$112,000</u>
Difference in favor of purchasing			<u>\$8</u>		<u>\$16,000</u>

4. Solution (Learning Objective 3):

A relevant cost is a cost that differs between alternatives in a decision-making situation. Since the variable selling and administrative expenses of \$3.00 per unit would need to be incurred to sell the defective units, they are relevant to the decision and should be used as a guide for setting the minimum price on these defective units.

Note that none of the other per unit costs would be relevant as a guide for setting the minimum price on the defective units. The four types manufacturing costs listed above are sunk costs (i.e., a cost that has already been incurred and that cannot be changed by any decision made now or in the future) and, as such, are not relevant to this decision. The fixed selling and administrative expenses is a common fixed cost (i.e., a cost that supports the operations of more than one segment of an organization and is not avoidable in whole or in part by eliminating any one segment) and, as such, are not relevant to this decision.)

5. Solution (Learning Objective 4):

The minimum acceptable selling price per unit is determined as follows:

Direct materials	\$ 8
Direct labor	10
Variable manufacturing overhead (\$12 x 1/3)	4
Variable selling costs (shipping)	<u>6</u>
Minimum selling price	<u>\$28</u>

GNB 12e Practice Exam – Chapter 14

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showing your work, as appropriate, and then compare your solutions to those provided at the end of the practice exam.

1. The following data pertain to an investment that is being considered by the management of Newton Company:

Cost of the investment	\$56,865
Estimated salvage value	\$ 3,000
Annual cost savings	\$ 15,000
Life of the project	5 years
Discount rate	10%

Part (a) What is the net present value of the proposed investment?

Part (b) Should the project be accepted?

2. Touro Company has gathered the following data on a proposed investment project:

Cost of the investment	\$1,200,000
Estimated salvage value	\$0
Annual cost inflows	\$240,000
Life of the project	10 years
Discount rate	10%

Part (a) What is the payback period for the investment?

Part (b) What is the simple rate of return on the investment?

3. Touro Company has gathered the following data on a proposed investment project:

Cost of the investment	\$1,200,000
Estimated salvage value	\$0
Annual cost inflows	\$ 240,000
Life of the project	10 years
Discount rate	10%

Part (a) What is the net present value of this investment?

Part (b) Should the proposal be accepted? Why or why not?

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GNB 12e Practice Exam Solutions – Chapter 14

1. Parts (a) and (b) Solution (Learning Objective 1):

Since the NPV is positive, the project would be acceptable, as follows:

	<u>Years</u>	<u>Cash Flows</u>	<u>10 % Factor</u>	<u>Present Value</u>
Investment in equipment	Now	\$(56,865)	1.000	\$(56,865)
Annual net cash inflows	1-5	15,000	3.791	56,865
Salvage value of equipment	5	3,000	0.621	<u>1,863</u>
Net present value				<u>\$ 1,863</u>

2. Part (a) Solution (Learning Objective 5):

The payback period for the investment would be determined as follows:

Payback period = Required investment ÷ Annual cash inflows = \$1,200,000 ÷ \$240,000 = 5 years

Part (b) Solution (Learning Objective 5):

The simple rate of return on the investment would be determined as follows:

Incremental net operating income ÷ Investment required = Simple rate of return

\$240,000 ÷ \$1,200,000 = 20%

3. Parts (a) and (b) Solution (Learning Objective 1):

Since the NPV of the project is positive, the project would be acceptable, as follows:

	<u>Years</u>	<u>Cash Flows</u>	<u>10 % Factor</u>	<u>Present Value</u>
Investment in equipment	Now	\$(1,200,000)	1.000	\$(1,200,000)
Annual net cash inflows	1-10	240,000	6.145	<u>1,474,800</u>
Net present value				<u>\$ 274,800</u>

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GNB 12e Practice Exam – Chapter 15

Print these pages. Answer each of the following questions, explaining your answers or showing your work, as appropriate, and then compare your solutions to those provided at the end of the practice exam.

1. Charles Company recorded the following events for the year just ended:

Collection of a loan	\$165,000
Dividends paid to shareholders	270,000
Interest paid on notes payable	105,000
Payment of taxes	135,000
Retirement of preferred stock	150,000
Sale of bonds issued by other companies	225,000

Part (a) What was the net cash resulting from financing activities for the year?

Part (b) What was the net in cash resulting from investing activities for the year?

2. Tyler Company recorded the following activity for the year just ended:

Common stock issued	\$ 600,000
Dividends paid to stockholders	60,000
Dividends received from investments	90,000
Notes issued for long-term borrowings	240,000
Proceeds from sale of plant equipment	1,200,000
Purchase of plant equipment	360,000

Part (a) What was the net cash provided by financing activities for the year?

Part (b) What was the net cash provided by investing activities for the year?

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3. The Eagle Rock Company has the following information about its activities for the current year:

Beginning cash balance	\$40,000
Cash collections from customers	50,000
Net income	120,000
Depreciation expense	8,000
Cash paid to suppliers	10,000
Increase in accounts receivable	60,000
Decrease in accounts payable	28,000
Purchase of property, plant and equipment	15,000
Issuance of common stock	4,000

Part (a) Prepare a cash flows statement using the indirect method (Hint: You will not use all of the information provided above.)

Part (b) (Complete this part of the problem only if you are responsible for Appendix 15A)
Prepare a cash flows statement using the direct method (Hint: You will not use all of the information provided above.)

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GNB 12e Practice Exam Solutions – Chapter 15

1. Part (a) Solution (Learning Objective 1):

	Inflow (Outflow)
Retirement of preferred stock	\$ (150,000)
Dividends paid to shareholders	<u>(270,000)</u>
Net cash used by financing activities	<u><u>\$(420,000)</u></u>

Part (b) Solution (Learning Objective 2):

	Inflow (Outflow)
Sale of bonds issued by other companies	\$225,000
Collection of a loan	<u>165,000</u>
Net cash provided by investing activities	<u><u>\$390,000</u></u>

2. Solution (Learning Objective 3):

	Inflow (Outflow)
Common stock issued	\$600,000
Notes issued for long-term borrowings	240,000
Dividends paid to stockholders	<u>(60,000)</u>
Net cash provided by financing activities	<u><u>\$780,000</u></u>

Part (b) Solution (Learning Objective 3):

	Inflow (Outflow)
Proceeds from sale of plant equipment	\$1,200,000
Purchase of plant equipment	<u>(360,000)</u>
Net cash provided by investing activities	<u><u>\$ 840,000</u></u>

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3. Part (a) Solution (Learning Objective 3):

Statement of Cash Flows (Indirect Method):

Operating Activities:	
Net income	\$120,000
Add back noncash expense—depreciation	8,000
Less: Increase in accounts receivable	(60,000)
Decrease in accounts payable	(28,000)
Net cash provided by operating activities	40,000
Investing Activities:	
Purchase of property, plant and equipment	(15,000)
Financing Activities:	
Issuance of common stock	4,000
Net increase in cash over quarter	29,000
Beginning cash balance	40,000
Ending cash balance	\$69,000

Part (b) Solution (Learning Objective 4; Appendix 15A):

Statement of Cash Flows (Direct Method)

Operating Activities:	
Cash collected from customers	\$ 50,000
Cash paid to suppliers	(10,000)
Net cash provided by operating activities	40,000
Investing Activities:	
Purchase of property, plant and equipment	(15,000)
Financing Activities:	
Issuance of common stock	4,000
Net increase in cash over quarter	29,000
Beginning cash balance	40,000
Ending cash balance	\$69,000

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GNB 12e Practice Exam – Chapter 16

Print these pages. Answer each of the following questions, explaining your answers or showing your work, as appropriate, and then compare your solutions to those provided at the end of the practice exam.

1. The following information pertains to the Pointe Company:

	2009	2008
Revenues	\$100,000	\$80,000
Cost of sales	50,000	40,000
Selling and administrative expense	20,000	10,000
Interest expense	<u>5,000</u>	<u>3,000</u>
Net income	<u>\$ 25,000</u>	<u>\$27,000</u>

Based on this information, perform comparative and common-size analyses of the company's performance for the two years presented.

2. Robin Company had \$540,000 in sales on account last year. The accounts receivable balance increased from \$30,000 at the beginning of the year to \$54,000 at the end of the year. What was the company's average collection period (age of receivables)?
3. During the year, Gardenia Company paid dividends of \$30,000 on its preferred stock. The company's net income for the year was \$360,000. Other selected financial data for the company includes the following:

Account Balances	Beginning of Year	End of Year
Common stock	\$900,000	\$1,200,000
Preferred stock	375,000	375,000
Retained earnings	225,000	555,000

What is the company's return on common stockholders' equity for the year?

4. The total assets of Barrington Company were \$1,950,000 at the beginning of the year and \$1,830,000 at the end of the year. The company reported net income of \$225,000 and interest expense of \$30,000. The company's income tax rate was 30%. What was the company's return on total assets for the year?

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5. Simmons Company had no prepaid expenses and inventories remained unchanged during the year. Other selected year-end data for the company includes the following:

Current liabilities	\$1,800,000
Cost of goods sold	\$1,500,000
Acid-test ratio	2.5 to 1
Current ratio	3.0 to 1

What was the company's inventory turnover ratio for the year?

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GNB 12e Practice Exam Solutions – Chapter 16

1. Solution (Learning Objective 1):

Comparative (horizontal analysis) looks at how performance has been over time (e.g. year-to-year), while common size (vertical) analysis looks at the relative percentages of the items within a financial statement.

Pointe Company Comparative and Common-Size Analysis 2009 and 2008

	2009	%	2008	%	\$ Change	% Change
Revenues	\$100,000	100	\$80,000	100	\$20,000	+ 25%
Cost of sales	<u>50,000</u>	<u>50</u>	<u>40,000</u>	<u>50</u>	<u>10,000</u>	+ 25%
Gross margin	<u>50,000</u>	<u>50</u>	<u>40,000</u>	<u>50</u>	<u>10,000</u>	+ 25%
Selling & admin. expense	20,000	20	10,000	12	10,000	+100%
Interest expense	<u>5,000</u>	<u>5</u>	<u>3,000</u>	<u>4</u>	<u>2,000</u>	+ 67%
Net income	<u>\$ 25,000</u>	<u>25</u>	<u>\$27,000</u>	<u>(34)</u>	<u>\$(2,000)</u>	– 7%

Based on the analysis above, it appears that while the company's sales have increased significantly from 2008 to 2009 (25% increase, or \$20,000), the net income actually decreased slightly (7%) due to increased selling and administrative expenses (which increased 100% over the year) as well as higher interest expense. It would be wise for the management and employees to look for ways to reduce selling and administrative expenses so that future sales revenues will not be consumed by increased expenses.

2. Solution (Learning Objective 4):

The company's average collection period would be determined as follows:

First, calculate the accounts receivable turnover as follows:

$$\text{Accounts receivable turnover} = \text{Sales} \div \text{Average accounts receivable} = \$540,000 \div [(\$30,000 + \$54,000) \div 2] = 12.857$$

Then, calculate the average collection period as follows:

$$\text{Average collection period} = 365 \text{ days} \div \text{Accounts receivable turnover} = 365 \div 12.857 = 28.389 \text{ (or 28.4 days)}$$

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3. **Solution (Learning Objective 2):**

The company's return on common stockholders' equity would be determined as follows:

Return on common stockholders' equity = $(\text{Net income} - \text{Preferred dividends}) \div \text{Average common stockholders' equity}$

Return on common stockholders' equity = $(\$360,000 - \$30,000) \div [((\$1,200,000 + \$555,000) + (\$900,000 + \$225,000)) \div 2] = 22.92\%$

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4. Solution (Learning Objective 2):

The company's return on total assets would be determined as follows:

Return on total assets = $[\text{Net income} + (\text{Interest expense} \times (1 - \text{Tax rate}))] \div \text{Average total assets}$
 $= [\$225,000 + (\$30,000 \times (1 - .30))] \div [(\$1,950,000 + \$1,830,000) \div 2] = 13.0\%$

5. Solution (Learning Objective 3):

The company's inventory turnover ratio would be determined as follows:

First, determine the amount of current assets using the current ratio as follows:

Current ratio of 3.0 = Current assets $\div$ Current liabilities of \$1,800,000; Current assets = \$5,400,000

Next, determine the amount of quick assets using the acid-test (or quick) ratio as follows:

Acid-test ratio of 2.5 = Quick assets $\div$ Current liabilities of \$1,800,000; Quick assets = \$4,500,000

Since there are no prepaid expenses in this situation, estimated inventories would be the difference between current assets and quick assets as follows:

Inventory = Current assets of \$5,400,000 – Quick assets of \$4,500,000 = \$900,000

Finally, compute the inventory turnover ratio as follows:

Inventory turnover ratio = Cost of goods sold $\div$ Average inventories = $\$1,500,000 \div [(\$900,000 + \$900,000) \div 2] = 1.67 \text{ times}$

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MGT402 Short Notes Lecture 23 to 45

By

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Lec # 23

PROCESS COSTING SYSTEM

(Opening balance of work in process)

Two methods of cost allocation

- (1) The weighted average (or averaging) method
- (2) The FIFO method.

Weighted average method

In the weighted average method opening stock values are added to current costs

FIFO method

- It is more complicated to operate
- In process costing, it seems unrealistic to relate costs for the previous period to the current Period of activities

Choosing the valuation method in examinations

In order to use the weighted average or FIFO methods to account for opening work-in-process different information is needed, as follows:

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For weighted average An analysis of the opening work-in-process value
Into cost elements (i.e. materials, labor)

For FIFO The degree of completion of the opening work in process for
each cost element.

Lec # 25

COSTING/VALUATION OF JOINT AND BY PRODUCTS

Basis of Cost Allocation (For by products)

- (1) Physical Quantity Ratio
- (2) Selling Price Ratio
- (3) Hypothetical Market Value Ratio

Classification of by product

By product can be classified into two categories:

1. Requiring no further process
2. Requiring further processing

Accounting for By Products

- (1)** Income Approach
- (2)** Costing Approach

Lec#27

MARGINAL AND ABSORPTION COSTING

(Product costing systems)

Cost Elements

Direct Material, Direct Material
(Variable Cost)

Factory Overhead Cost
(Variable & Fixed Cost)

Marginal Costing

The cost of a cost unit is presented as the total of direct materials, direct labor, direct expenses and variable overheads (but not fixed overheads)

Marginal cost is the cost the variable cost that changes with the production of each next unit. <http://vustudents.ning.com>

(A key concept in marginal costing is that of contribution margin)

Absorption and marginal costing

In **absorption costing**, fixed manufacturing overheads **are absorbed into cost units**. Thus stock is valued at absorption cost and fixed manufacturing overheads are charged in the profit and loss account of the period in which the units are sold.

<http://vustudents.ning.com>

In **marginal costing**, fixed manufacturing overheads **are not absorbed into cost units**, Stock is valued at marginal (or variable) cost and fixed manufacturing overheads are treated as period costs and are charged in the profit and loss account of the period in which the overheads are incurred.

(**Under absorption costing** stock will include **variable and fixed overheads** whereas under **marginal costing** stock will only include **variable overheads**.)

Contribution Margin

Contribution margin = Sales - variable costs of sales

Contribution margin is short for “contribution to fixed costs and profits

Marginal costing: Profit calculation

Sales	Rs X
Less: variable costs	(X)

Contribution margin	X
Less: fixed costs	(X)

Profit	X

In short contribution margin **less** fixed cost is called profit

Absorption costing: profit calculation

In absorption costing this is effectively calculated in one stage as the cost of sales already includes fixed costs

Sales	X
Less: absorption cost	(X)

Profit	X

Marginal or absorption costing can be useful for internal management reporting

Lec# 28

If stock levels are rising from opening to closing balance

Absorption Costing profit > Margin Costing profit

(More profit)

(Less profit)

If stock levels are falling from opening to closing balance

Absorption Costing profit < Margin Costing profit

(Less profit)

(More profit)

(Fixed costs carried forward are charged in this period, under absorption costing)

If stock levels are the same

Absorption Costing profit = Margin Costing profit

(same profit)

(Same profit)

Reconciliation formula to learn

Rs.

Profit as per absorption costing system	xxx
Add Opening stock @ fixed FOH rate at opening date	xxx
Less Closing stock @ fixed FOH rate at closing date	xxx

Profit as per marginal costing system	xxx

(The only difference between using absorption costing and marginal costing as the basis of stock valuation is the treatment of fixed production costs.)

Arguments against absorption costing

In absorption costing the fixed costs do not change as a result of a change in the level of activity. Therefore such costs cannot be related to production and should not be included in the stock valuation

Lec# 29

COST – VOLUME – PROFIT ANALYSIS (Contribution Margin Approach)

__CVP stands for **COST – VOLUME – PROFIT**

CVP analysis may also be used to predict profit levels at different volumes of activity based upon the assumption that costs and revenues exhibit a linear relationship with the level of activity.

Cost-volume-profit analysis determines how costs and profit react to a change in the volume or level of activity, so that management can decide the 'best' activity level. <http://vustudents.ning.com>

Following are the assumptions which are used in CVP analysis.

1. Variable costs and selling price (and hence contribution) per unit are assumed to be unaffected by a change in activity level.
2. Fixed costs, whilst not affected in total by a change in the activity level, will change per unit as the activity level changes and there are more (or less) units over which to "share out" the fixed costs if fixed costs per unit change with the activity level, then profit per unit must also change.

CVP is a relationship of four variables

Sales	----->	Volume
Variable cost	----->	Cost
Fixed cost	----->	Cost
Net income	----->	Profit

Two approaches of CVP analysis

- (1) Contribution margin approach
- (2) Break even analysis approach

Contribution Margin Approach & CVP Analysis

Contribution margin contributes to meet the fixed cost. Once the fixed cost has been met the incremental contribution margin is the profit. <http://vustudents.ning.com>

(Income Statement as per the marginal costing system is used as a Standard format of Income Statement to analyze the Cost-Volume-Profit relationship.)

Sales	xxx
Variable Cost	(xxx)

Contribution Margin	xxx
Fixed Cost	(xxx)

- (1) **Physically increase in volume** causes an increase in contribution margin and if there is not increase in the fixed cost because of such change, the incremental contribution margin is added in the final profits
- (2) **Increase in sales price per unit** causes an increase in the contribution margin, as there is not change in the volume the fixed will remain unchanged. So the incremental change is contribution margin is included into the profit.
- (3) **Decrease in sales price per unit** causes a decrease in the contribution margin, as there is not change in the volume the **fixed will remain unchanged**. So the change in contribution margin is subtracted from the profits, which result into a **loss**

(Normally a decrease in sales price should case an increase in the sales volume).

- (4) **Decrease in sales price per unit** causes a decrease in the contribution margin, **as well as an increase in volume** is causing an increase in the profit, this results in an increase in profit

1. At zero contribution margin the loss will be equal to the fixed cost

2. Increase in variable cost reduces the contribution margin

3. Sales – Variable cost = Contribution margin

4. Contribution margin + Variable cost = Sales

5. Contribution margin – Fixed cost = Profit

6. Profit + Fixed cost = Contribution margin

7. Sales - Variable cost = Fixed cost + Profit

Lec#30

COST – VOLUME – PROFIT ANALYSIS

(Break-even Approach)

Break-even

Break-even is the point where sales revenue equals total cost.

In case neither a profit nor a loss

Profit (or loss) is the difference between contribution margin and fixed costs.

Thus the break-even point occurs where contribution margin equals fixed costs

Contribution Margin per unit

Selling price per unit **less** variable costs per unit

Total contribution

Volume x (Selling price per unit **less** variable costs per unit)

Target Contribution Margin

Fixed costs + Profit target

Target Sales in number of units

Target Contribution Margin

Unit contribution

Contribution margin to sales ratio

Contribution to sales ratio(C/S ratio) = Contribution Margin in Rs / Sales in Rs

Break even sales in Rupees

Given Amount x $\frac{\% \text{ of required amount}}{\% \text{ of given amount}}$ = Required Amount

Break even sales in Rupees = $\frac{\text{Target CM (fixed cost + target profit)}}{\text{Contribution to sales ratio (CM in Rs / Sale in Rs.)}}$

Example

If the target contribution margin is equal to Rs. 1,000 then what would be the sales at this point?

Now the above formula will be applied to calculate breakeven sales:

Target CM is the given amount and its % is 25, so the sale which is 100% will be:

$$\text{Rs } 1,000 \times \frac{100}{25} = \text{Rs } 4,000 \text{ break even sale in Rs.}$$

OR

$$\frac{\text{Rs } 1,000}{25} = \text{Rs. } 4,000 \text{ break even sale in Rs}$$

So,

$$\text{Break even Sales in Rs.} = \frac{\text{Fixed cost}}{\text{C/S ratio}}$$

Break even sales in units

Simple formula

Break even sales in Rupees

-----= number of units

Sales price per unit

Direct formula

Target CM (Fixed costs + Profit target)

CM per unit (Selling price per unit **less** variable costs per unit)

Lec# 31

BREAK EVEN ANALYSIS – MARGIN OF SAFETY

Margin of Safety (MOS)

The margin of safety is the difference between budgeted sales volume and break-even sales volume; it indicates the vulnerability of a business to a fall in demand. <http://vustudents.ning.com>

Margin of safety=Budgeted sales – Break-even sales

MOS (margin of safety) ratio

$$\text{MOS (margin of safety) ratio} = \frac{\text{MOS (Margin of safety=Budgeted sales)}}{\text{Budgeted Sales}} \times 100$$

OR

$$\text{Margin of safety ratio} = \frac{\text{Budgeted profit}}{\text{Budgeted contribution margin}} \times 100$$

OR

MOS Ratio profit / contribution margin

Different ways of calculation of margin of safety

(1) Based on Budgeted sales

Budgeted sales – Break-even sales

(2) Using Budget profit

$$\frac{\text{Budgeted profit}}{\text{Budgeted contribution margin}} \times 100$$

(3) Using profit and contribution ratio

$$\frac{\text{Profit to sales ratio}}{\text{Contribution to sales}} \times 100$$

Lec#32

BREAKEVEN ANALYSIS – CHARTS AND GRAPHS

The chart or graph is constructed as follows:

- Plot fixed costs, as a straight line parallel to the horizontal axis
 - Plot sales revenue and variable costs from the origin
 - Total costs represent fixed plus variable costs.
- (1) The point at which the sales revenue and total cost lines intersect indicates the breakeven level of output.
- (2) By multiplying the sales volume by the unit price at the break-even point the level of revenue needed to break even can be determined.
- (3) The chart is normally drawn up to the budgeted sales volume.
- (4) The difference between the budgeted sales volume and break-even sales volume is referred to as the margin of safety.

Lec#33

WHAT IS A BUDGET?

Budget

A budget is a plan expressed in quantitative, usually monetary terms, covering a specific period of time, usually one year.

Two basic classes of budget

- (1) Cash budget
- (2) Operating budget

Cash budget

Capital budgets are directed towards proposed expenditures for new projects And often require special financing. <http://vustudents.ning.com>

Operating budget

The operating budgets are directed towards achieving short-term operational goals of the organization, for instance, production or profit goals in a business firm. Operating budgets may be sub-divided into various departmental or functional budgets.

Characteristics of a budget

It is prepared in advance and is derived from the long, term strategy of the organization.

It relates to future period for which objectives or goals have already been laid down.

It is expressed in quantitative form, physical or monetary units, or both.

Different types of budgets

- (1) Sales. Budget
- (2) Production Budget
- (3) Administrative Expense Budget
- (4) Raw material Budget, etc

All these sectional budgets are afterwards integrated into a **master budget**- which represents an overall plan of the organization

A budget helps in following ways

1. It brings about efficiency and improvement in the working of the organization. <http://vustudents.ning.com>
2. way of communicating the plans to various units of the organization. By establishing the divisional, departmental, sectional budgets, exact responsibilities are assigned. It thus minimizes the possibilities of buck-passing if the budget figures are not met. <http://vustudents.ning.com>

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3. Way or motivating managers to achieve the goals set for the units.
 4. It serves as a benchmark for controlling on going. Operations.
 5. It helps in developing a team spirit where participation in budgeting is encouraged.
 6. It helps in reducing wastage's and losses by revealing them in time for corrective action.
 7. It serves as a basis for evaluating the performance of managers.
 8. It serves as a means of educating the managers.

Budgetary control

The exercise of control in the organization with the help of budgets is known as budgetary control.

Process of budgetary control

- (i) preparation of various budgets
- (ii) (ii) continuous comparison of actual performance with budgetary Performance
- (iii) Revision of budgets in the light of changed circumstances.



Budget controller

The Chief Executive is finally responsible for the budget programmed, it is better if a large part of the supervisory responsibility is delegated to an official designated as Budget Controller or Budget Director.

Fixation of the Budget Period

Budget period' means the period for which a budget is prepared and employed. The budget period depends upon the nature of the business and the control techniques.

Forecast

A forecast is an estimate of the future financial conditions or operating results.

A forecast may be prepared in financial or physical terms for sales, production cost, or other resources required for business. Instead of just one forecast a number of alternative forecasts may be considered with a view to obtaining the most realistic overall plan.

Preparing budgets

After the forecasts have been finalized the preparation of budgets follows. The budget activity starts with the preparation of the said budget.

Production budget: on the basis of sales budget and the production capacity available

Financial budget (i.e. cash or working capital budget): will be prepared on the basis of sale forecast and production budget.

(All these budgets are combined and coordinated into -a master budget)

Fixed and Flexible Budgets

A fixed budget is based on a **fixed volume of activity**, it may lose its effectiveness in planning and controlling if the actual capacity utilization is different from what was planned for any particular unit of time e.g. a month or a quarter. <http://vustudents.ning.com>

The flexible budget is more useful for changing levels of activity, as it considers **fixed and variable costs separately**. Fixed costs, as you are aware, remain unchanged over a certain range of output such costs change when there is a change in capacity level. The variable costs change in direct proportion to output.

(If flexible budgeting approach is adopted, the budget controller can analyze the variance between actual costs and budgeted costs depending upon the actual level of activity attained during a period of time.)

Objective of Budget

- (1) Profit maximization
- (2) Maximization of sales
- (3) Volume growth
- (4) To compete with the competitors
- (5) Development of new areas of operation.
- (6) Quality of service
- (7) Work-force efficiency.

Division of Budgets

- (1) **Functional Budget**
- (2) **Master Budget**

Functional budget

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Sale budget

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Production budget

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Raw material

Labor

Factory overhead

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Cost of goods sold

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Selling

general &

financial

Distribution
Expenses
Budget

administrative
expenses budget

charges
budget

Lec#34

PRODUCTION & SALES BUDGET

Budgets can be classified into different categories on the basis of **Time**, **Function**, or **Flexibility**.

Rolling budget

Budget for a year in advance will always be there. Immediately after a month, or a quarter, passes, as-the case may be, a new budget is prepared for a twelve months. The figures for the month/quarter, which has rolled down, are dropped and the figures for the next month /quarter are added.

Example.

If a budget has been prepared for the year 19X7, after the expiry of the first quarter ending 31st March 19X7, a new budget for full year ending 31st March, 19X8 will be prepared by dropping the figures for the quarter which has past (i.e. quarter ending 31st March 19X7) and adding-the figures for the new quarter-ending 31st March 19X8.

Sales budget

Sales Budget generally forms the fundamental basis on which all other budgets are built the budget is based on projected sales to be achieved in a budget period. The Sales Manager is directly responsible for the preparation and execution of this budget. <http://vustudents.ning.com>

Lec#35

PRODUCTION & SALES BUDGET (Contd.)

Production budget

This budget provides an estimate of the total volume of production distributed product-wise with the scheduling of operations by days, weeks and months and a forecast of the inventory of finished products.

Generally, the production budget is based on the sales -budget.

The production budget is prepared after taking into consideration several factors like:

- (i) Inventory policies.
- (ii) Sales requirements
- (iii) Production stability
- (iv) Plant capacity
- (v) Availability of materials and labor
- (vi) Time taken in production process, etc.

Lec#36

FLEXIBLE BUDGET (not completed)

The preparation of a flexible budget results from the development of formulas for each department and for each account within a department or cost center. The formula for each account indicates the **fixed amount** and/or a **variable rate**. The fixed amount and variable rate remain constant within prescribed ranges of activity. The variable portion of the formula is a rate expressed in relation to a base such as direct labor hours, direct labor cost or machine hours.

Capacity and volume

The terms "capacity" and "volume" (or activity) are used in connection with the construction and use of both fixed and flexible budgets.

Capacity is that fixed amount

Volume is the variable factor in business.

Theoretical Capacity

The theoretical capacity of a department is its capacity to produce at full speed without interruptions

Expected Actual Capacity

Expected actual capacity is based on a short-range outlook. The use of expected actual capacity is feasible with firms whose products are of a seasonal nature» and market and style changes allow price adjustments according to competitive conditions and customer demands.

Lec#37

FLEXIBLE BUDGET (Contd.)

Analysis of Cost Behavior

The success of a flexible budget depends upon careful study and analysis of the relationship of expenses to volume of activity or production and results in classifying expenses as fixed, variable, and semi variable,

Fixed Expenses

A fixed expense remains the same in total as activity increases or decreases.

In the short run, some fixed expenses, some times called programmed fixed expenses, will change because of changes in the volume of activity or for such reasons as changes in the number and salaries of the management groups.

Variable Expenses

A variable expense is expected to increase proportionately with an increase in activity and decrease proportionately with a decrease in activity.

Variable expenses include the cost of supplies, indirect factory labor, receiving, storing, rework, perishable tools, and maintenance of machinery and tools. A measure of activity – such as direct labor hour or dollars.

Lec#38

TYPES OF BUDGET

Cash Budget

Determining the future is a summary of the firm's expected cash inflows and outflows over a particular period of time.

Objective

Cash budget is to enable the firm to meet all its commitments in time
And at the same time prevent accumulation at any time of unnecessary large cash balances with it: <http://vustudents.ning.com>

Format of Cash Budget

XYZ Ltd

Cash budget

For the month of XXX – XXX

Opening balance

Add Receipts (Anticipated cash

Receipt from all sources)

Less Payments (Anticipated utilization of cash)

Excess / Deficit

Bank barrowing / Overdraft

Closing balance

Lec#39

COMPLEX CASH BUDGET & FLEXIBLE BUDGET

Flexible budget

The Flexible Budget is designed to change in accordance with the level of activity attained. Such a budget is prepared after considering the fixed and Variable elements of cost and the changes that may be expected for each item at various levels of Operations



LEC#40

FLEXIBLE & ZERO BASE BUDGETING

Controlling ratios

Budget is a part of the planning process.

- (1) Activity Ratio
- (2) Capacity Ratio
- (3) Efficiency Ratio

If the ratio works out to 100 per cent or more, the trend is taken as favorable, if the ratio is less than 100 per cent, the indication is taken as unfavorable.

Activity Ratio:

$$\text{Activity Ratio} = \frac{\text{Standard hours for actual production}}{\text{Budgeted hours}} \times 100$$

Capacity Ratio:

$$\text{Capacity Ratio} = \frac{\text{Actual hours worked}}{\text{Budgeted hours}} \times 100$$

Efficiency Ratio:

$$\text{Efficiency Ratio} = \frac{\text{Standard hours for actual production}}{\text{Actual hours worked}} \times 100$$

Performance budgeting

A performance budget presents the operations of an organization in terms of functions, programmers, activities, and projects.

The primary purpose of traditional budget particularly in government administration is to ensure financial control and meet the requirements of legal accountability, that is, to ensure that appropriation.

Objectives of PB

- (1)** to coordinate the physical and financial aspects
- (2)** To improve the budget formulation, review and decision-making at all levels of management
- (3)** To facilitate better appreciation and review by controlling Authorities (legislature, Board of Trustees or Governors, etc.) as the presentation is more Purposeful and intelligible
- (4)** To make more effective performance audit possible
- (5)** To measure progress towards long-term objectives which are envisaged in a development plan

Zero base Budgeting

Zero base Budgeting technique suggests that an organization should not only make decisions about the proposed new programmes, but should also, from time to time, review the appropriateness of the existing.

The concept of Zero base Budgeting has been accepted for adoption in the departments of the Central Government and some State Governments.

Lec#41

DECISION MAKING IN MANAGEMENT ACCOUNTING

Costs appropriate to a specific management decision

The amount by which costs increase and benefits decrease as a direct result of a specific management decision' **Relevant benefits** are 'the amounts by which costs decrease and benefits increase as a direct result of a specific management decision'

Incremental costs

An incremental cost can be defined as a cost which is specifically incurred by following a course of action and which is avoidable if such action is not taken.

Non-incremental costs

These are costs, which will not be affected by the decision at hand. Non-incremental costs are non-relevant costs because they are not related to the decision at hand

The labor cost is non-relevant

Opportunity costs (relevant cost)

An opportunity cost is a level of profit or benefit foregone by the pursuit of a particular course of action.

Sunk cost(non-relevant cost)

A sunk cost is a cost that the already been incurred and cannot be altered by any future decision

.

Sunk costs are the opposite of opportunity costs in that they are not incorporated in the decision making process even though they have already been recorded in the books and records of the enterprise.

LEC#42

DECISION MAKING

Q: why companies close down temporarily?

ANS: Companies are often faced with the problem of whether to close down temporarily a part of the plant during periods of low demand.

Arguments against shut-down

- (a) If the company continues operation, expenses that would be incurred with the closing down of the plant will be saved; e.g. an increase in factory security.
- (b) Continued operation means saving (he expenses that will otherwise be incurred if the plant is reopened again at a later stage.
- (c) A shut-down for a short period of time will not eliminate all costs. Rent, rates, depreciation and insurance will have to be incurred during the shutdown period.
- (d) If the factory is shut down, this will affect not only morale but also its market standing if it cannot meet consumer demand.

The role of fixed costs

If the decrease or increase in the level of activity affects fixed costs then these costs should be considered differential costs.

It is generally accepted that if the plant has excess capacity then new or additional volume may be accepted if the selling price is greater than variable



costs. In such a situation, fixed costs are not relevant if they remain fixed at an increased level of output

The role of variable costs

In differential cost studies, if the plant is not operating at practical capacity owing to lack of orders, variable costs usually represent the differential cost whether they are incremental or avoidable. The term refers to those costs that will change. It is often assumed that the variable cost per unit will remain constant regardless of the level of activity.

Lec#43

DECISION MAKING (Contd.)

Relevant Costs

Decision making should be based on relevant costs.

- Relevant costs are future costs
- Relevant costs are cash flows
- Relevant costs are incremental costs

Differential Costs and Opportunity Costs

Relevant costs are also differential costs and opportunity costs.

- **Differential cost** is the difference in total cost between alternatives.

For example, if decision option A costs Rs. 300 and decision option B costs Rs. 360, the differential costs is Rs. 60.

- **An opportunity cost** is the value of the benefit sacrificed when one course of action is chosen in preference to an alternative.

Controllable and Uncontrollable Costs

Controllable costs are items of expenditure which can be directly influenced by a given manager within a given time span.

<http://vustudents.ning.com>

As a general rule, committed fixed costs such as those costs arising from the possession of plant, equipment and buildings (giving rise to depreciation and rent) are largely uncontrollable in the short term because they have been committed by longer-term decisions.

Fixed and Variable Costs

- Variable costs will be relevant costs.
- Fixed costs are irrelevant to a decision

Attributable Fixed Costs

There might be occasions when a fixed cost is a relevant cost, and you must be aware of the distinction 'specific' or 'directly attributable' fixed costs, and general fixed overheads

Absorbed Overhead and fixed overhead

Absorbed overhead is a national accounting cost and hence should be ignored for decision making purposes.

It is overhead incurred which may be relevant to a decision.

General **fixed overheads** are those fixed overheads which will be unaffected by decisions to increase or decreased the scale of operations, perhaps because they are an apportioned share of the fixed costs of items which would be completely unaffected by the decision.

General fixed overheads are not relevant in decision making.

Lec#44

DECISION MAKING

CHOICE OF PRODUCT (PRODUCT MIX) DECISIONS

Make or Buy Decisions and Limiting Factors

In a situation where a company must subcontract work to make up a shortfall in its own production capability, its total costs are minimized if those components/products subcontracted are those with the lowest extra variable cost of buying per unit of limiting factor saved by buying.

Lec#45

DECISION MAKING (Contd.)

Shut Down Decisions

- (1)** Whether or not to shut down a factory, department, or product line either because it is making a **loss** or it is too expensive to run.
- (2)** If the decision is to shut down, whether the **closure should be permanent or temporary**.



ONE-OFF CONTRACTS

The decision to accept or reject a contract should be made on the basis of whether or not the contract increases contribution and profit.

Other factors to consider in the one-off contract decision.

- A. The acceptance of the contract at a lower price may lead other customers to demand lower prices as well.
- B. There may be more profitable ways of using the spare capacity.
- C. Accepting the contract may lock up capacity that could be used for future full-price business.
- D. Fixed costs may, in fact, if the contract is accepted.

MGT 402 Cost Management Accounting

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Question No: 49 (Marks: 3)

The Midnight Corporation budget department gathered the following data for the third quarter:

	July
Projected Sales (units)	1,000
Selling price per unit (Rs.)	30
Direct material purchase requirement (units)	1,500
Purchase cost per unit (Rs.)	15
Production requirements (units)	800

Direct labor hours Rs. 1.5 per unit
Direct Labor rate Rs. 2.5 per direct labor hour
Fixed FOH is Rs. 2600, included depreciation Rs. 300
Selling and Admin expense 4% of sales

Net Income before tax is as follows

July	8,000
August	10,000
September	8,000

All sales and purchase are for cash and all expenses are paid in the month incurred. Assuming that the opening cash balance on July 01 is Rs. 40,000 and tax rate is 35%,

Requirement:

Prepare cash budget for the month of July.

CASH BUDGET FOR THE MONTH OF JULY

CASH RECEIPTS

PARTICULARS	JULY (Rs.)
OPENING BALANCE	40000
SALES	30000
NET INCOME AFTE TAX	2800
TOTAL RECEIPTS	72800
CASH PAYMENTS	
PURCHASES	22500
DIRECT LABOR	3000
FIXED FOH	2300
SELLING AND ADMIN EXP	1200
TOTAL PAYMENTS	29000
TOTAL RECEIPTS – TOTAL PAYMENTS	43800

Question No: 50 (Marks: 3)

Why is the selection of an appropriate cost allocation method in Joint Products important?

ANSWER

The selection of an appropriate cost allocation method in joint products is important in order to know approximately exact cost of each product. Following are the factors which are more contributing to its importance

- (1) To know the profitability of each product
- (2) To arrive at decision weather to sell or process further

(3) In order to know the realizable value of each product

Question No: 51 (Marks: 5)

The following information is available for the month of June from the Alpha department of the Greek Corporation:

	Units
Work in process June 01 (80% complete as to conversion)	40,000
Started in June	165,000
Work in process June 30 (60% complete as to conversion)	30,000

Materials are added at the beginning of the process in the Alpha department.

Required: Using the average cost method, what are the equivalent units of production for the month of June?

ANSWER

WIP OPENING	40000	
ADD UNIT STARTED	165000	

TOTAL	205000	
LESS CLOSING WIP	30000	
UNIT COMPLETED	175000	

EQUIVALENT UNITS USING AVERAGE COST METHOD

PARTICULARS	MATERIAL	LABOR	FOH
-------------	----------	-------	-----

COMPLETED	175000	175000	175000
CLOSING WIP	30000	30000*60% = 18000	30000*60% = 18000
TOTAL	205000	193000	193000

Question No: 52 (Marks: 5)

The Carter Manufacturing Company estimates its production requirements to be 30,000 units for October, 38,000 units for November and 41,000 units for December. It takes 3 direct labor hours at a rate of Rs. 3 per hour to complete one unit.

Prepare direct Labor budget cost for the last quarter of the year.

DIRECT LABOR COST BUDGET FOR THE LAST QUARTER

From October to December

Particulars	October	November	December
Units produced	30000	38000	40000
Labor hour per unit	3	3	3
Total labor hours	90000	104000	120000
Labor rate per hour	Rs.3	Rs.3	Rs.3
Total labor cost	Rs. 270000	Rs.312000	Rs.360000

Question No: 53 (Marks: 10)

Consider the following data:

Sales	Rs.100 Per unit
Material	Rs.10 Per unit
Labor	Rs.10 Per unit
FOH	Rs.5 Per unit
Fixed FOH	Rs. 50,00,000
Units produced & sold	1,00,000 units

Required:

- Income statement under variable costing

- Break Even point in rupees
- Margin of safety ratio at the given sales level
- MOS

Solution A)

Sales (100000*100)	10,000,000
Less variable cost of goods sold	
Material (100000*10)	1,000,000
Labor (100000*10)	1,000,000
Variable FOH(100000*5)	500,000
total variable cost	(2500000)
CM	7500000
LESS FIXED OVERHEAD	(50,00,000)
PROFIT	2,500,000

(B)

BE in Rs = fixed cost /(Contribution margin /Sales)

50,00,000/(75/100) = 6,666,667

C)

MOS RATIO = PROFIT / CM *100

= 2500000 / 7500000*100

$$= 33.34\%$$

D)

MOS = Actual sales – BE sales

$$= 10,000,000 - 6,666,667 = 3,333,333$$

Question No: 54 (Marks: 10)

Ahmed manufacturing company's projected sales of Rs. 850,000 for the next year. The budgeted data proposed by Cost Accountants are as follows:

Material:	Rs. 115,000
Labor:	95,000
FOH:	65,000

The company's opening finished goods inventory are Rs. 35,000 and ending finished goods inventory are Rs. 55,000. The fixed portion of administrative and selling expenses is estimated as 7% and 12% of sales respectively and variable portion of administrative and selling expenses is estimated as 6% and 14% of sales respectively.

The financial charges are estimated Rs. 5,500 and the tax rate is 30%.

Required: Prepare the projected income statement for the period?

SALES		850,000
LESS COST OF GOODS SOLD		
MATERIAL	115000	
LABOR	95000	
FOH	65000	
TOTLA FACTORY COST	275000	
ADD OPENING FINISHED GOODS	35000	
COST OF GOODS TO BE SOLD	310000	

LESS ENING FINISHED GOODS	55000	
COST OF GOODS SOLD		255000
GROSS PROFIT		595000
LESS ADMIN AND SELLING EXP FIXED		
ADMIN	59500	
SELLING	102000	
LESS ADMIN AND SELLING EXP VARIABLE		
ADMIN	51000	
SELLING	119000	
		331500
EBIT		263500
LESS FINANCILA CHARGES		5500
EBT		258000
LESS TAX 30%		77400
EAT		180600

Question No: 41 (Marks: 5)

Bouch Company has the following data of year 02 given below

Year 02

Sales	Rs. 120/unit
Direct Materials	Rs. 8/unit
Direct labor	Rs. 10/unit
Variable overhead	Rs. 7/unit
Selling & Admin expenses	Rs. 2/unit
Fixed overhead	Rs. 7,500

Normal volume of production 250 units per year

Information regarding units as follows

LESS ADMIN AND SELLING

500

PROFIT

21250

Question No: 42 (Marks: 5)

A Company manufactures two products A and B. Forecasts for first 7 months is as under:

Month	Sales in Units	
	A	B
January	1,000	2,800
February	1,200	2,800
March	1,610	2,400
April	2,000	2,000
May	2,400	1,600
June	2,400	1,600
July	2,000	1,800

No work in process inventory has been estimated in any month however finished goods inventory shall be on hand equal to half the sales to the next month, in each month. This is constant practice.

Budgeted production and production costs for the year 1999 will be as follows:

Production units	22,500	24,000
Direct Materials (per unit)	12.5	19
Direct Labor (per unit)	4.5	7
F.O.H. (apportioned)	Rs. 66,000	Rs 96,000

Prepare for the six months period ending June 1999, a production budget for **“Product A”**

Production budget
For the year ended -----

Particular	January	February	March	April	May	June
------------	---------	----------	-------	-------	-----	------

Unit required to meet sale budget	1000	1200	1610	2000	2400	2400
Add desired ending inv	600	805	1000	1200	1200	1000
Total unit required	1600	2005	2610	3200	3600	3400
Less opening inventory	----	600	805	1000	1200	1200
Planned production for the year	1600	1405	1805	2200	2400	2200

Question No: 43 (Marks: 10)

The managing director of Parser Limited, a small business, is considering undertaking a one-off contract. She has asked her inexperienced accountant to advise on what costs are likely to be incurred so that she can price at a profit. The following schedule has been prepared:

Costs for special order	Notes	Rs.
Direct wages	1	28,500
Supervisor costs	2	11,500
General overheads	3	4,000
Machine depreciation	4	2,300
Machine overheads	5	18,000
Materials	6	34,000
Total		98,300

Notes

v Direct wages comprise the wages of two employees, particularly skilled in the labor process for this job. They could be transferred from another department to undertake the work on the special order. They are fully occupied in their usual department and sub-contracting staff would have to be brought in to undertake the work left behind.

v Sub-contracting costs would be Rs. 32,000 for the period of the work. Other sub-contractors who are skilled in the special order techniques are also available to work on the special order. The costs associated with this would amount to Rs. 31,300.

v A supervisor would have to work on the special order. The cost of Rs. 11,500 is made up of Rs. 8,000 normal payments plus a Rs. 3,500 additional bonus for working on the special order. Normal payments refer to the fixed salary of the supervisor. In addition, the supervisor would lose incentive payments in his normal work amounting to Rs. 2,500. It is not anticipated that any replacement costs relating to the supervisors' work on other jobs would arise.

v General overheads comprise an apportionment of Rs. 3,000 plus an estimate of Rs. 1,000 incremental overheads.

Required

Produce a revised costing schedule for the special project based on relevant costing principles. Fully explain and justify each of the costs included in the costing schedule.

Question No: 44 (Marks: 10)

Due to the declining popularity of digital watches, Swiss Company's digital watch line has not reported a profit for several years. An income statement for last year follows:

Segment Income Statement—Digital Watches		
	Rs.	Rs.
Sales.....		500,000
Less variable expenses:		
Variable manufacturing costs.....	120,000	
Variable shipping costs.....	5,000	
Commissions.....	<u>75,000</u>	<u>200,000</u>
Contribution margin.....		300,000
Less fixed expenses:		
General factory	60,000	

overhead(1).....		
Salary of product line manager.....	90,000	
Depreciation of equipment (2).....	50,000	
Product line advertising.....	100,000	
Rent—factory space (3).....	70,000	
General administrative expense (1).....	<u>30,000</u>	<u>400,000</u>
Net operating loss.....		<u>(100,000)</u>

- 1) Allocated common costs that would be redistributed to other product lines if digital watches were dropped
- 2) This equipment has no resale value and does not wear out through use
- 3) The digital watches are manufactured in their own facility

Should the company retain or drop the digital watch line?

Question No: 45 (Marks: 10)

Production component	Rates	Per unit Rate
Direct material	2.5 lbs @ Rs. 4.00	Rs. 10.00
Direct Labor	.5 hr @ Rs. 16.00	Rs. 8.00
VOH	.5 hr @ Rs. 4.00	Rs. 2.00
Fixed FOH	Rs. 40,000	Rs. 2.50
Actual Output	16,000 units	
Variable S&A	Rs. 6.00 per unit	
Fixed S&A	Rs. 60,000	

Selling price	Rs. 40	
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Assume sales of 12,000 units.

Required: What is the profit under marginal and absorption

Question No: 49 (Marks: 3)

The Superior Company manufactures paint and uses a process costing system. During February, Superior started 80,000 gallons of paint. During the month the company completed 92,000 gallons and transferred them to the mixing department. Superior had 38,000 gallons in beginning inventory and 26,000 gallons in ending inventory. Material is added at the beginning of the process and conversion costs are added evenly throughout the process. Beginning WIP was 30% complete as to conversion costs and ending WIP was 20% complete as to conversion costs. The company uses a FIFO costing. The cost data for February follow:

Beginning inventory:

Direct materials Rs.22, 200

Conversion costs Rs. 44,000

Costs added this period:

Direct materials Rs. 150,000

Conversion costs Rs. 343,200

Required:

How many gallons were started and completed this period?

Answer :

GALLONS STARTED AND COMPLETED THIS PERIOD

	MATERIAL	LABOR	OVERHEAD
OP INVENTORY	-----	26600	26600
ADD STARTED	80000	80000	80000
started this period	80000	106600	106600
transferred out	92000	92000	92000
ending inventory	26000	5200	5200
completed	118000	97200	97200

this period

Question No: 50 (Marks: 3)

Product "A" has a contribution of Rs. 8 per unit; a contribution margin ratio is 50% and requires 4 machine hours to produce. Product "B" has a contribution of Rs. 12 per unit; a contribution margin ratio is 40% and requires 5 machine hours to produce. If the constraint is machine hours to produce, then which one of the both product a company should produce and sell? Support your answer with suitable workings.

Answer :

WORKING

As the limiting factor in above case is the machine hours so we will go with that option which gives the maximum contribution margin per machine hour.

	PRODUCT A	PRODUCT B
Contribution Margin/Unit	8	12
Machine hour required per unit	4	5
Contribution per machine hour	2 Rs	2.4 Rs

Product B should be made by the company and sold instead of A.

Question No: 51 (Marks: 5)

Liberty Pizzas delivers to the housing societies near Gulberg. The company's annual fixed costs are Rs 400,000. The sales price of a normal size pizza is Rs 100 and it costs the company Rs 60 to make and deliver each pizza.

Required:

- 1- Calculate the Break even sales in Rs and in Units.
- 2- How many Pizzas must the company sell to earn a profit of Rs.650,000

Answer :

- 1- Calculate the Break even sales in Rs and in Units.

Answer :

Sale price per unit = Rs 100
Variable cost per unit = Rs 60
Fixed Cost = Rs. 400,000

Contribution margin per unit = Sale price per unit– Variable Cost per unit
Contribution margin per unit = 100 - 60
= 40

So contribution margin to sales ratio is
 $C/S = (40/100) \times 100 = 40\%$

Break even sales in rupees = Fixed Cost/contribution margin ratio

Break even sales in rupees = $400,000 / .40$
Break even sales in rupees = 10,00,000 Rs

Break even sales in units = fixed cost / CM per unit

Break even sales in units = $400000 / 40$
Break even sales in units = 10,000 units (10 thousand units)

- 2- **How many Pizzas must the company sell to earn a profit of Rs.650,000**

Answer :

Required profit = Rs 650,000
TARGET contribution margin = Required profit + Fixed cost
TRAGET contribution margin = 650,000 + 400,000
= Rs. 1,050,000

Contribution margin per unit = 100 – 60 = 40 Rs.

numbers of pizzas to produce to earn a profit = $TRAGET\ CM / CM\ PER\ UNIT$
 $= Rs\ 650,000 = 1,050,000 / 40$
Numbers of pizzas to produce to earn a profit of Rs 650,000 = 26,250 pizzas

Question No: 52 (Marks: 5)

Classify the following expenses as **Financial or Administrative expense** by filling the appropriate boxes?

Expenses	Nature of expense
Salaries of employee	Administrative Expense
Interest paid on debts	Financial Expense
Utility Bills	Administrative Expense
Depreciation of office equipment	Administrative Expense
Interest paid on debentures	Financial Expense

Question No: 53 (Marks: 10)

The following is the Corporation's Income Statement for last month:

Particulars	Rs.
Sales	4,000,000
Less: variable expenses	1,800,000
Contribution margin	2,200,000
Less: fixed expenses	720,000
Net income	1480,000

The company has no beginning or ending inventories. A total of 80,000 units were produced and sold last month.

Required:

- 3- What is the company's contribution margin ratio?
- 4- What is the company's break-even in units?
- 5- How many units would the company have to sell to attain a target profit of Rs. 820,000?

Answer :

- 1- What is the company's contribution margin ratio?

Answer :

Contribution margin ratio = (Contribution margin / Sales) X 100

Contribution margin ratio = (2,200,000/4,000,000)X 100

Contribution margin ratio = 55 %

- 2- What is the company's break-even in units?

Answer :

Fixed Cost = Rs 720,000
Contribution margin = Rs 2,200,000
Number of units produced and sold = 80,000

Contribution margin per unit = $2,200,000 / 80,000 = \text{Rs } 27.5$

Break even point in Units = Fixed Cost/ Contribution margin per unit

Break even point in Units = $720,000 / 27.5$

Break even point in Units = 26181.82 or approximately 26,182 units

3- How many units would the company have to sell to attain a target profit of Rs. 820,000?

Answer :

We know that

Contribution margin per unit = Total Contribution margin/ Total units sold

Contribution margin per unit = $2,200,000 / 80,000 = 27.5 \text{ Rs}$

So target profit = 820,000

Target contribution margin in Rs = $820,000 + 720,000$ (fixed cost)

Target contribution margin in Rs = 1,540,000

No. of units = Target contribution margin in rupees/Contribution margin per unit

No of Units to produce = $1,540,000 / 27.5 = 56,000 \text{ units}$

So to attain a target profit of Rs 820,000 total units that should be produced are 56,000 units

Question No: 54 (Marks: 10)

The manufacturing Company estimates its factory overhead to be as follows:

Fixed expense per month	Rs.	Variable rate (Rs.) per direct labor hour
Indirect material	2,000	
Indirect Labor	900	0.2
Maintenance	1200	0.3
Heat and Light	300	
Power	200	0.55
Insurance	270	
Taxes	600	
Payroll Taxes	0	0.10
Depreciation	1,350	

Assuming that the direct labor hours for January, February and March are 2,640, 4,740 and 2,370 hours respectively.

Required:

Prepare factory overhead budget for the first quarter.

FACTORY OVERHEAD BUDGET FOR THE Fourth QUARTER

PARTICULAR	JANUARY	FEBRURAY	MARCH
Indirect material	2000	2000	2000
Indirect labor			
Fixed	372		426
Variable	528	900	474
Maintenance			
Fixed	408		489
Variable	792	1200	711
Heat and light	300	300	300
Power			
Fixed			
Variable	200	200	200
Insurance	270	270	270
Taxes	250	250	250
Payroll			
Variable	264	474	237
Fixed			
Depreciation	1350	1350	1350
TOTAL OVERHEAD	6371	6944	6707

Question No: 49 (Marks: 3)

Break even chart is the useful technique for showing relationship between costs, volume and profits. Identify the components of break even chart.

- (1) total cost
- (2) sales revenue
- (3) fixed cost
- (4) variable cost

Question No: 50 (Marks: 3)

Briefly describes the importance of material budget.

Production planning department plans for quantity and type of material required and make request to purchase department on receipt of request purchase department arranges for funds to purchase material as and when required i.e. Jit , just in time inventory so as to avoid over stocking as well as out of stock hence , material budget is important to avoid carrying and holding cost and keeping the funds available for making payment to suppliers

Question No: 51 (Marks: 5)

Garrett Company sells hand-crafted furniture. One item it sells is a small table that sells for Rs. 30 per unit. The variable costs related to the table, including product and shipping costs, are Rs. 18 per unit. Total fixed costs for the company are Rs. 60,000. Assume the tables are the only product the company sells this year and draw a CVP graph to represent the company's sales and expenses. From this graph, compute the approximate breakeven point in rupees and units.

$$\text{CM PER UNIT} = \text{SALES PRICE PER UNIT} - \text{VARIABLE COST PER UNIT}$$

$$= 30 - 18$$

$$= 12 \text{ PER UNIT}$$

$$\text{BE POINT IN UNITS} = \text{FIXED COST} / \text{CM PER UNIT}$$

$$= 60000 / 12$$

$$= 5000$$

$$\text{BE SALES (5000 *30)} \quad \quad \quad 150000$$

PROOF

$$\text{BE SALES (5000 *30)} \quad \quad \quad 150000$$

$$\text{VARIABLE COST} \quad \quad \quad 90000$$

$$\text{CM} \quad \quad \quad 60000$$

$$\text{CM RATIO} = 60000 / 150000 = 40\%$$

$$\text{BE SALES IN Rs.} = 60000 / .40$$

$$= 150000$$

Question No: 52 (Marks: 5)

A textile company anticipates the following unit sales during the four months of 2008.

Months	April	May	June	July
Sales units	20,000	30,000	25,000	40,000

The company maintains its ending finished goods inventory at 60% of the following month's sale. The April 1st, finished goods inventory will be 12,000 units.

Required: Prepare a production budget for second quarter of year.

PRODUCTION BUDGET

Months	April	May	June
Sales units	20,000	30,000	25,000
Add	18000	15000	24000
Ending Inventory			
Total	38000	45000	49000
Less op inv	12000	18000	15000
Production	26000	27000	34000

Question No: 53 (Marks: 10)

The Midnight Corporation budget department gathered the following data for the third quarter:

	July	August	September
Projected Sales (units)	1,000	1,500	1,450

Selling price per unit (Rs.)	40	40	40
Direct material purchase requirement (units)	1,300	2,000	1,800
Purchase cost per unit material (Rs.)	20	20	20
Production units required to calculate labor cost	800	1,300	1100

Additional information

Direct labor hours	2 per complete unit
Direct Labor rate	Rs. 2 per direct labor hour
Fixed factory overhead	Rs. 500 per month including Rs. 200 depreciation
Variable factory overhead	Rs. 1.50 per direct labor hour
Selling and Admin expense	5% of sales

Net Income before tax is as follows:

Months	Rs.
July	6,000
August	10,000
September	8,000

All sales and purchases are for cash and all expenses are paid in the month incurred. Assuming that the opening cash balance on July 1st is Rs. 25,000 and tax rate is 40%,

Required: Prepare cash budget for third quarter.

CASH RECEIPTS

Particulars	July	August	September
Opening balance	25000	34700	48300
Sales	40000	60000	58000

Ni After Tax	3600	6000	4800
TOTAL RECEIPTS	68600	100700	111100
CASH PAYMENYTS			
Direct material	26000	40000	36000
Direct Labor	3200	5200	4400
Fixed FOH	300	300	300
Variable foh	2400	3900	3300
Sel And Admin	2000	3000	2900
TOTAL PAY	33900	52400	46900
CLOSING BALANCE	34700	48300	64200

Question No: 54 (Marks: 10)

ABC company is currently deciding whether to undertake a new contract of 20 hours of labor will be required for the contract. The company currently producing product S the standard cost details of which are given below:

Standard Cost Card

Product S

	Rs/unit
Direct Material	200
Direct Labor	300
FIXED FOH	500
Selling Price	700
Contribution margin	200

Requirement:

1. What is the relevant cost of labor if the labor must be hired from outside the organization? **(300*20)=6000**

2. What is the relevant cost of labor if the company expects to have 5 hours spare capacity? $(15 \times 300) = 4500$

3. What is the relevant cost of labor if the labor is in a short supply
 $300 \times 5 = 1500$

Question No: 49 (Marks: 3)

Define contribution margin?

Contribution margin per unit means **selling price per unit less variable cost per unit**

Total contribution margin means **volume * (selling price per unit less variable cost per unit)**

Target contribution margin

Fixed cost + target profit

Question No: 50 (Marks: 3)

What is a principle budget factor?

Some factor like labor or material which are short in supply. This may be due to shortage of material, labor hours, machine capacity and shortage of funds. That factor which ultimately decides the planned activity level.

For example a company wants to produce 100,000 pieces of computer but available skilled labor can produce only 80,000 units.

Hence, labor is principle budget factor in this case.

Question No: 51 (Marks: 5)

Ali Company produces and sells Amrat Cola to retailers. The Cola is bottled in 2-litter plastic bottles. The estimated budgeted sales for the year 2009 would be Rs. 360,000 and the estimated Profit for the year 2009 would be Rs 10,000.

The Margin of safety Ratio is calculated as 20%.

Required: Breakeven Sales for the year 2009

PROFIT / MOS RATIO = CONTRIBUTION MARGIN

$$10000 / .2 = 50,000$$

C/S RATIO = CM /SALES *100

$$= 50000 / 360000 * 100$$

$$= 13.88\%$$

(IN CASE OF BREAK EVEN SALES = CONTRIBUTION MARGIN EQUAL TO FIXED COST)

BE SALES = FIXED COST /C/S RATIO

$$= 40000 / 13.8889$$

$$287,999$$

OR

MOS RATIO = MOS / BUDGETED SALES

MOS = BUDGETED SALES * MOS RATIO

$$MOS = 360,000 * 20\% = 72,000$$

MOS = budgeted sales – break even sales

Break even sales = Budgeted sales – MOS

= 360,000 – 72,000 = 288,000

Question No: 52 (Marks: 5)

The management of Franco Corporation is concerned about department B, which showed a loss of Rs. 1,300 last quarter. You have been asked to prepare an analysis that will help management to decide whether to discontinue the department. Below is the Franco's Income Statement for last quarter:

	Department A	Department B	Total
Sales (Rs)	260,000	130000	390,000
Variable Cost (Rs)	156,000	117000	273,000
Contribution margin	104,000	13,000	117,000
Less: Fixed Costs:			
Separable (Rs)	11,300	5700	17,000
Joint (Rs)	17,400	8600	26,000
Total	28,700	14300	43,000
Profit (Loss) (Rs)	75,300	(1,300)	74,000

Showing all calculations, determine the effect of closing department B on Franco Corporation and make a recommendation.

ANALYSIS

If we discontinue the department “b” than the loss will be as follows

13,000 +1,300 = 14,300

Department “b” must be continued because fixed cost equal to Rs.13, 000 is being covered and loss is only rs.1300 other wise if we discontinue the loss will be equal to Rs.14, 300

Question No: 53 (Marks: 10)

Classify following organization with respect to cost accumulation procedure generally used either Job order costing or Process costing by filling the appropriate boxes given below.

ANSWER

Industries	Costing Procedure to be applied
Paint	Process Costing
Leather	Process Costing
Printing press	Job Order
Wood furniture	Job Order
Steel	Process Costing
Jewelry items	Job Order
Accounting firms	Job Order
Mobile phones	Process costing
Tires and tubes	Process Costing
Sugar	Process Costing

Question No: 54 (Marks: 10)

Ali and Co. has sales of Rs. 50,000 in March and Rs. 60,000 in April. Forecasted sales for May, June and July are Rs. 70,000, Rs. 80,000 and 100,000 respectively. The firm has a cash balance of Rs. 5,000 on May 01 and wishes to maintain a minimum cash balance of Rs. 5,000. Given the following data, prepare a cash budget for the month of May, June and July.

1. The firm makes 20% of sales for cash, 60% are collected in the next month and the remaining 20% are collected in the second month following the sale.
2. The firm receives other income of Rs. 2,000 per month.
3. The firm's actual or expected purchases, all made for cash, are Rs. 50,000, Rs. 70,000 and Rs. 80,000 for the months of May through July, respectively.
4. Rent is Rs. 3,000 per month.
5. Wages and salaries are 10% of the previous month's sales.
6. Cash dividends of Rs. 3,000 will be paid in June.
7. Payment of principal and interest of Rs. 4,000 is due in June.
8. A cash purchase of equipment costing Rs. 6,000 is scheduled in July.

9. Taxes of Rs. 6,000 are due in June.

SALES BUDGET FOR THE QUARTER FROM MAY TO JULY

CASH RECEIPTS

<u>PARTICULARS</u>	<u>MAY</u>	<u>JUNE</u>	<u>JULY</u>
	<u>(Rs.)</u>	<u>(Rs.)</u>	<u>(Rs.)</u>
OPENING BALANCE of cash	5000	5000	-16000
Receipts from sales			
March 50,000	10,000	—	—
April 60,000	36,000	12,000	—
May 70,000	14,000	42,000	14,000
June 80,000	—	16,000	48,000
July 100,000	—	—	20,000
Other receipts	2000	2000	2000
TOTAL RECEIPTS	62,000	77,000	68,000

CASH PAYMENTS

CASH PURCHASES	50000	70000	80000
RENT	3000	3000	3000
WAGES AND SALERIES	6000	7000	8000
CASH DIVIDEND	----	3000	-----
PAYMENT OF INTEREST	----	4000	-----
EQUIPMENT	-----	-----	6000
TAX	----	6000	----
TOTAL PAYMENTS	59000	93000	97000
TR – TP	3000	-16000	-29000
BANK LOAN	2000		

CLOSING BALANCE	5000	-16000	-29000
----------------------------	-------------	---------------	---------------

Cash budget for the month of May

Opening balance of cash Rs. 5,000

Add: receipts 62000

Total amount of cash 67000

Less: payments (59000)

Closing balance of cash 8000

Receipts = cash sales+ Previous month sales + Previous last 2 months sales + receives other income

$$= 14000 + 36000 + 10000 + 2000 = 62000$$

$$\text{Rs. } 70000 \times 20\% = 14000$$

$$\text{Previous month sales} = 60000 \times 60/100 = 36000$$

$$\text{Previous last 2 months sales} = 50000 \times 20/100 = 10000$$

1. Payments = purchases + Rent + Wages and salaries 10% of the previous month's sales

$$= 50000 + 3,000 + 10\% \times 60000 = 59000$$

Cash budget for the month of June

Cash budget for the month of May

Opening balance of cash	Rs. 5,000
-------------------------	-----------

Add: receipts	76000
---------------	-------

Total amount of cash	81000
----------------------	-------

Less: payments	(90000)
----------------	---------

Closing balance of cash	(9000)
-------------------------	--------

Receipts = cash sales+ Previous month sales + Previous last 2 months sales + receives other income

$$= 14000 + 48000 + 12000 + 2000 = 76000$$

$$= 70000 * 20 / 100 = 14000$$

$$\text{Previous month sales} = 80000 * 60 / 100 = 48000$$

$$\text{Previous last 2 months sales} = 60000 * 20 / 100 = 12000$$

2. Payments = purchases + Rent + Wages and salaries 10% of the previous month's sales + Payment of principal and interest + Taxes

$$70000 + 3000 + 7000 + 4000 + 6000 = 90000$$

Cash budget for the month of July

Opening balance of cash	Rs. 5,000
Add: receipts	92000
Total amount of cash	97000
Less: payments	(97000)
Closing balance of cash	0

Receipts = cash sales+ Previous month sales + Previous last 2 months sales + receives other income

$$= 60000 + 14000 + 16000 + 2000 = 92000$$

$$100000 * 60 / 100 = 60000$$

$$70000 * 20 / 100 = 14000$$

$$80000 * 20 / 100 = 16000$$

Payments = purchases + Rent + Wages and salaries 10% of the previous month's sales + cash purchase of equipment

$$= 80000 + 3000 + 8000 + 6000 = 97000$$

Question No: 40 (Marks: 1) - Please choose one

The managers of a firm are in the process of deciding whether to accept or reject a special offer for one of its products. A cost that is not relevant to their decision is the:

Variable overheads

Common fixed overhead that will continue if the special offer is not accepted

Direct materials

Fixed overhead that will be avoided if the special offer is accepted

Question No: 41 (Marks: 5)

Basit Ali Company produces and sells Makka Cola to retailers. The Cola is bottled in 2-liter plastic bottles. The estimated budgeted sales for the year 2008 would be Rs. 80,000 and the estimated Profit for the year 2008 would be Rs. 4,060. The Margin of safety Ratio is calculated as 25%.

Required:

- 1- Breakeven Sales for the year 2008
- 2- Projected Income statement for the year 2008

SOLUTION

$$CM = 4060 / .25$$

$$= 16240$$

$$C/S \text{ RATIO} = CM / SALES * 100$$

$$= 16240 / 80000 * 100$$

$$= 20.3$$

$$CM - PROFIT = FIXED COST$$

$$16240 - 4060 = 12180$$

$$BE \text{ SALE} = FIXED COST / C/S \text{ RATIO}$$

$$= 12180 / .203$$

$$= 60000$$

B) PROJECTED INCOME STATEMENT

SALES	80000
-VARIABLE COST	63760
CM	<u>16240</u>
FIXED COST	12180
PROFIT	<u>4060</u>
	<u>-</u>

Question No: 42 (Marks: 5)

A textile company anticipates the following unit sales during the four months of 2008.

Months April May June July Sales units 20,000 30,000 25,000 40,000

The company maintains its ending finished goods inventory at 60% of the following month's sale. The April 1st, finished goods inventory will be 12,000 units.

Required: Prepare a production budget for second quarter of year.

PARTICULARS	APRIL	MAY	JUNE
SALES	20000	30000	25000
ADD ENDING	18000	15000	24000

INV			
TOTAL AVAIAABLE	38000	45000	49000
LESS OP INV	12000	18000	15000
REQUIRED PRODUCTION	26000	27000	39000

Question No: 43 (Marks: 10)

Following data relates to XYZ Company for the month of March:

Cost from preceding department (Rs.)

	(Rs.)	Labor	FOH
(Rs.)			
Work in process (opening)	14,400	900	550
Cost during month	126,000	33,140	19,430

Information regarding production

Units in process opening (1/4 lab & FOH) 4,000

Units in process ending inventory (1/3 lab &FOH) 3,000

Units transferred to Finished Goods 36,000

Units received from preceding department 36,000

Required:

A Cost of Production Report under Average costing method

Question No: 44 (Marks: 10)

80 units of product Milk chocolate are sold for Rs. 110 per unit. Variable cost is Rs. 80 per unit and fixed cost is Rs.2, 000. Johan is the brand manager in this company and purposed a new plan to management that increases their sale price, which lead to increases in net profit. Management decides to increase its sales price by 10%. With this effect quantity of sale units were decreased by 5%. Other things remains same.

Now you are the managerial accountant of the company guide them by using decision making tool (Contribution Margin Approach).

Required: Calculate the net profit with new and existing plan either increases the sale price or not state your comments.

Question No: 45 (Marks: 10)

Swisher company produces and sells commercial printing press.

According to the records of the past four years reveals the following:

Sales in units:

Press

Model

Year 1 Year 2 Year 3 Year 4

222 100 110 120 130

333 100 120 160 240

444 100 95 85 70

The trends over past four years are expected to extend to year 5. Inventory estimates for year 5 are:

Press

Model

Beginning

Inventory

Ending

Inventory

222 2 4

333 5 5

444 4 5

Required: Prepare sales and production estimates for year 5 in units and by product wise.

Question No: 41 (Marks: 5)

The following information is available for the month of June from the Alpha department of the Greek Corporation:

Units

Work in process June 01 (80% complete as to conversion) 40,000

Started in June 165,000

Work in process June 30 (60% complete as to conversion) 30,000

Materials are added at the beginning of the process in the Alpha department.

Required: Using the average cost method, what are the equivalent units of production for the month of June?

Question No: 42 (Marks: 5)

A Company manufactures two products A and B. Forecasts for first 7 months is as under:

Month Sales in Units

A B

January

1,000 2,800

February 1,200 2,800

March

1,610 2,400

April

2,000 2,000

May

2,400 1,600

June

2,400 1,600

July 2,000 1,800

No work in process inventory has been estimated in any month however finished goods inventory shall be on hand equal to half the sales to the next month, in each month. This is constant practice.

Budgeted production and production costs for the year 1999 will be as follows:

Production units 22,500 24,000

Direct Materials (per unit) 12.5 19

Direct Labor (per unit) 4.5 7

F.O.H. (apportioned) Rs. 66,000 Rs 96,000

Prepare for the six months period ending June 1999, a production budget for

Product B

Question No: 43 (Marks: 10)

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Production

component

Rates Per unit

Rate

Direct material 2.5 lbs @ Rs. 4.00 Rs. 10.00

Direct Labor .5 hr @ Rs. 16.00 Rs. 8.00

VOH .5 hr @ Rs. 4.00 Rs. 2.00

Fixed FOH Rs. 40,000 Rs. 2.50

Actual Output 16,000 units

Variable S&A Rs. 6.00 per unit

Fixed S&A Rs. 60,000

Selling price Rs. 40

Assume sales of 12,000 units.

Required: What is the profit under marginal and absorption costing method?

Question No: 44 (Marks: 10)

The manufacturing Company estimates its factory overhead to be as follows:

Fixed expense per month Rs.

Variable rate (Rs.)

per direct labor

hour

Indirect material 2,000

Indirect Labor 900 0.2

maintenance 1200 0.3

Heat and Light 300

Power 200 0.55

Insurance 270

Taxes 600

Payroll Taxes 0 0.10

Depreciation 1,350

Assuming that the direct labor hours for January, February and March are 2,640, 4,740 and 2,370 hours respectively.

Required:

Prepare factory overhead budget for the first quarter.

Question No: 45 (Marks: 10)

Lavender Company produces 2,000 parts per year, which are used in the assembly of one of its products. The unit product cost of these parts is:

Variable manufacturing cost Rs. 64

Fixed manufacturing cost Rs. 36

Unit product cost Rs. 100

The part can be purchased from an outside supplier at Rs. 80 per unit. If the part is purchased from the outside supplier, two-thirds of the fixed manufacturing costs can be eliminated.

What costs are irrelevant to this decision?

What would the annual impact on the company's net operating income be as a result of buying the part from the outside supplier?

Question No: 1 (Marks: 5)

Bouch Company has the following data of year 02 given below

Year 02

Sales	Rs. 120/unit
Direct Materials	Rs. 8/unit
Direct labor	Rs. 10/unit
Variable overhead	Rs. 7/unit
Selling & Admin expenses	Rs. 2/unit
Fixed overhead	Rs. 7,500

Normal volume of production 250 units per year

Information regarding units as follows

Item	1 st year	2 nd year	3 rd year	4 th year
	units	units	units	units
Opening stock		200	300	300
Production	300	250	200	200
Sales	100	150	200	300

Required: Prepare income statement of year 2 under absorption costing.

SALES **30000**

LESS COST OF GOOD SOLD

Direct material (8 *250) 2000

Direct labor (7 *250) 1750

Variable FOH (10*250 2500

FIXED FOH 7500

13750

ADD OP ST 11000

LESS CLOSING ST 16500 8250

GROSS PROFIT 21750

LESS ADMIN AND SELLING 500

Question No: 2 (Marks: 5)

A Company manufactures two products A and B. Forecasts for first 7 months is as under:

Month	Sales in Units	
	A	B
January	1,000	2,800
February	1,200	2,800
March	1,610	2,400
April	2,000	2,000
May	2,400	1,600
June	2,400	1,600
July	2,000	1,800

No work in process inventory has been estimated in any month however finished goods inventory shall be on hand equal to half the sales to the next month, in each month. This is constant practice.

Budgeted production and production costs for the year 1999 will be as follows:

Production units	22,500	24,000
Direct Materials (per unit)	12.5	19
Direct Labor (per unit)	4.5	7
F.O.H. (apportioned)	Rs. 66,000	Rs 96,000

Prepare for the six months period ending June 1999, a production budget for **“Product A”**

Production budget
For the year ended -----

Particular	January	February	March	April	May	June
Unit required to meet sale budget	1000	1200	1610	2000	2400	2400

Add desired ending inv	600	805	1000	1200	1200	1000
Total unit required	1600	2005	2610	3200	3600	3400
Less opening inventory	----	600	805	1000	1200	1200
Planned production for the year	1600	1405	1805	2200	2400	2200

Question No: 3 (Marks: 3)

The Midnight Corporation budget department gathered the following data for the third quarter:

	July
Projected Sales (units)	1,000
Selling price per unit (Rs.)	30
Direct material purchase requirement (units)	1,500
Purchase cost per unit (Rs.)	15
Production requirements (units)	800

Direct labor hours Rs. 1.5 per unit
Direct Labor rate Rs. 2.5 per direct labor hour
Fixed FOH is Rs. 2600, included depreciation Rs. 300
Selling and Admin expense 4% of sales

Net Income before tax is as follows

July	8,000
August	10,000
September	8,000

All sales and purchase are for cash and all expenses are paid in the month incurred. Assuming that the opening cash balance on July 01 is Rs. 40,000 and tax rate is 35%,

Requirement:

Prepare cash budget for the month of July.

CASH BUDGET FOR THE MONTH OF JULY

CASH RECEIPTS

PARTICULARS	JULY (Rs.)
OPENING BALANCE	40000
SALES	30000
NET INCOME AFTE TAX	2800
TOTAL RECEIPTS	72800
CASH PAYMENTS	
PURCHASES	22500
DIRECT LABOR	3000
FIXED FOH	2300
SELLING AND ADMIN EXP	1200
TOTAL PAYMENTS	29000
TOTAL RECEIPTS – TOTAL PAYMENTS	43800

Question No: 4 (Marks: 3)

Why is the selection of an appropriate cost allocation method in Joint Products important?

ANSWER

The selection of an appropriate cost allocation method in joint products is important in order to know approximately exact cost of each product. Following are the factors which are more contributing to its importance

- (4) To know the profitability of each product**
- (5) To arrive at decision weather to sell or process further**
- (6) In order to know the realizable value of each product**

Question No: 5 (Marks: 5)

The following information is available for the month of June from the Alpha department of the Greek Corporation:

	Units
Work in process June 01 (80% complete as to conversion)	40,000
Started in June	165,000
Work in process June 30 (60% complete as to conversion)	30,000

Materials are added at the beginning of the process in the Alpha department.

Required: Using the average cost method, what are the equivalent units of production for the month of June?

ANSWER

WIP OPENING	40000	
ADD UNIT STARTED	165000	
TOTAL	205000	
LESS CLOSING WIP	30000	
UNIT COMPLETED	175000	

EQUIVALENT UNITS USING AVERAGE COST METHOD

PARTICULARS	MATERIAL	LABOR	FOH
COMPLETED	175000	175000	175000
CLOSING WIP	30000	30000*60% = 18000	30000*60% = 18000
TOTAL	205000	193000	193000

Question No: 6 (Marks: 5)

The Carter Manufacturing Company estimates its production requirements to be 30,000 units for October, 38,000 units for November and 41,000 units for December. It takes 3 direct labor hours at a rate of Rs. 3 per hour to complete one unit.

Prepare direct Labor budget cost for the last quarter of the year.

DIRECT LABOR COST BUDGET FOR THE LAST QUARTER

From October to December

Particulars	October	November	December
Units produced	30000	38000	40000
Labor hour per unit	3	3	3
Total labor hours	90000	104000	120000
Labor rate per hour	Rs.3	Rs.3	Rs.3
Total labor cost	Rs. 270000	Rs.312000	Rs.360000

Question No:7 (Marks: 10)

Consider the following data:

Sales	Rs.100 Per unit
Material	Rs.10 Per unit
Labor	Rs.10 Per unit
FOH	Rs.5 Per unit
Fixed FOH	Rs. 50,00,000
Units produced & sold	1,00,000 units

Required:

- Income statement under variable costing
- Break Even point in rupees
- Margin of safety ratio at the given sales level
- MOS

Solution A)

Sales (100000*100)

10,000,000

Less variable cost of goods sold

Material (100000*10)	1,000,000
Labor (100000*10)	1,000,000
Variable FOH(100000*5)	500,000

total variable cost	(2500000)
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CM	7500000
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LESS FIXED OVERHEAD	(50,00,000)
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PROFIT	2,500,000
---------------	------------------

(B)

BE in Rs = fixed cost /(Contribution margin /Sales)

$$50,00,000/(75/100) = 6,666,667$$

C)

MOS RATIO = PRIFIT / CM *100

$$= 2500000 / 7500000*100$$

$$= 33.34\%$$

D)

MOS = Actual sales – BE sales

$$=10,000,000 - 6,666,667 = 3,333,333$$

Question No: 8 (Marks: 10)

Ahmed manufacturing company's projected sales of Rs. 850,000 for the next year. The budgeted data proposed by Cost Accountants are as follows:

Material:	Rs. 115,000
Labor:	95,000
FOH:	65,000

The company's opening finished goods inventory are Rs. 35,000 and ending finished goods inventory are Rs. 55,000. The fixed portion of administrative and selling expenses is estimated as 7% and 12% of sales respectively and variable portion of administrative and selling expenses is estimated as 6% and 14% of sales respectively.

The financial charges are estimated Rs. 5,500 and the tax rate is 30%.

Required: Prepare the projected income statement for the period?

SALES		850,000
LESS COST OF GOODS SOLD		
MATERIAL	115000	
LABOR	95000	
FOH	65000	
TOTLA FACTORY COST	275000	
ADD OPENING FINISHED GOODS	35000	
COST OF GOODS TO BE SOLD	310000	
LESS ENING FINISHED GOODS	55000	
COST OF GOODS SOLD		255000
GROSS PROFIT		595000
LESS ADMIN AND SELLING EXP FIXED		
ADMIN	59500	
SELLING	102000	
LESS ADMIN AND SELLING EXP VARIABLE		

ADMIN	51000	
SELLING	119000	
		331500
EBIT		263500
LESS FINANCILA CHARGES		5500
EBT		258000
LESS TAX 30%		77400
EAT		180600

Question No: 9 (Marks: 3)

Break even chart is the useful technique for showing relationship between costs, volume and profits. Identify the components of break even chart.

- (5) total cost
- (6) sales revenue
- (7) fixed cost
- (8) variable cost

Question No: 10 (Marks: 3)

Briefly describes the importance of material budget.

Production planning department plans for quantity and type of material required and make request to purchase department on receipt of request purchase department arranges for funds to purchase material as and when required i.e. Jit , just in time inventory so as to avoid over stocking as well as out of stock hence , material budget is important to avoid carrying and holding cost and keeping the funds available for making payment to suppliers

Question No: 11 (Marks: 5)

Garrett Company sells hand-crafted furniture. One item it sells is a small table that sells for Rs. 30 per unit. The variable costs related to the table, including product and shipping

costs, are Rs. 18 per unit. Total fixed costs for the company are Rs. 60,000. Assume the tables are the only product the company sells this year and **draw a CVP graph** to represent the company's sales and expenses. From this graph, compute the approximate breakeven point in rupees and units.

$$\text{CM PER UNIT} = \text{SALES PRICE PER UNIT} - \text{VARIABLE COST PER UNIT}$$

$$= 30 - 18$$

$$= 12 \text{ PER UNIT}$$

$$\text{BE POINT IN UNITS} = \text{FIXED COST} / \text{CM PER UNIT}$$

$$= 60000 / 12$$

$$= 5000$$

$$\text{BE SALES (5000 * 30)} \quad \quad \quad 150000$$

PROOF

$$\text{BE SALES (5000 * 30)} \quad \quad \quad 150000$$

$$\text{VARIABLE COST} \quad \quad \quad 90000$$

$$\text{CM} \quad \quad \quad 60000$$

$$\text{CM RATIO} = 60000 / 150000 = 40\%$$

$$\text{BE SALES IN Rs.} = 60000 / .40$$

$$= 150000$$

Question No: 12 (Marks: 5)

A textile company anticipates the following unit sales during the four months of 2008.

Months	April	May	June	July
Sales units	20,000	30,000	25,000	40,000

The company maintains its ending finished goods inventory at 60% of the following month's sale. The April 1st, finished goods inventory will be 12,000 units.

Required: Prepare a production budget for second quarter of year.

PRODUCTION BUDGET

Months	April	May	June
Sales units	20,000	30,000	25,000
Add	18000	15000	24000
Ending Inventory			
Total	38000	45000	49000
Less op inv	12000	18000	15000
Production	26000	27000	34000

Question No: 13 (Marks: 10)

The Midnight Corporation budget department gathered the following data for the third quarter:

	July	August	September
Projected Sales (units)	1,000	1,500	1,450
Selling price per unit (Rs.)	40	40	40
Direct material purchase requirement (units)	1,300	2,000	1,800
Purchase cost per unit material (Rs.)	20	20	20
Production units required to calculate labor cost	800	1,300	1100

Additional information

Direct labor hours	2 per complete unit
Direct Labor rate	Rs. 2 per direct labor hour
Fixed factory overhead	Rs. 500 per month including Rs. 200 depreciation
Variable factory overhead	Rs. 1.50 per direct labor hour
Selling and Admin expense	5% of sales

Net Income before tax is as follows:

Months	Rs.
July	6,000
August	10,000
September	8,000

All sales and purchases are for cash and all expenses are paid in the month incurred. Assuming that the opening cash balance on July 1st is Rs. 25,000 and tax rate is 40%,

Required: Prepare cash budget for third quarter.

CASH RECEIPTS

Particulars	July	August	September
Opening balance	25000	34700	48300
Sales	40000	60000	58000
Ni After Tax	3600	6000	4800
TOTAL RECEIPTS	68600	100700	111100
CASH PAYMENTS			
Direct material	26000	40000	36000
Direct Labor	3200	5200	4400
Fixed FOH	300	300	300
Variable foh	2400	3900	3300
Sel And Admin	2000	3000	2900
TOTAL PAY	33900	52400	46900
CLOSING BALANCE	34700	48300	64200

Question No: 14 (Marks: 10)

ABC company is currently deciding whether to undertake a new contract of 20 hours of labor will be required for the contract. The company currently producing product S the standard cost details of which are given below:

Standard Cost Card

Product S

	Rs/unit
Direct Material	200
Direct Labor	300
FIXED FOH	500
Selling Price	700
Contribution margin	200

Requirement:

1. What is the relevant cost of labor if the labor must be hired from outside the organization? $(300 \times 20) = 6000$
2. What is the relevant cost of labor if the company expects to have 5 hours spare capacity? $(15 \times 300) = 4500$
3. What is the relevant cost of labor if the labor is in a short supply $300 \times 5 = 1500$

Question No: 15 (Marks: 3)

The Superior Company manufactures paint and uses a process costing system. During February, Superior started 80,000 gallons of paint. During the month the company completed 92,000 gallons and transferred them to the mixing

department. Superior had 38,000 gallons in beginning inventory and 26,000 gallons in ending inventory. Material is added at the beginning of the process and conversion costs are added evenly throughout the process. Beginning WIP was 30% complete as to conversion costs and ending WIP was 20% complete as to conversion costs. The company uses a FIFO costing. The cost data for February follow:

Beginning inventory:

Direct materials Rs.22, 200

Conversion costs Rs. 44,000

Costs added this period:

Direct materials Rs. 150,000

Conversion costs Rs. 343,200

Required:

How many gallons were started and completed this period?

Answer :

GALLONS STARTED AND COMPLETED THIS PERIOD

	MATERIAL	LABOR	OVERHEAD
OP INVENTORY	-----	26600	26600
ADD STARTED	80000	80000	80000
started this period	80000	106600	106600
transferred out	92000	92000	92000
ending inventory	26000	5200	5200
completed this period	118000	97200	97200

Question No: 16 (Marks: 3)

Product "A" has a contribution of Rs. 8 per unit; a contribution margin ratio is 50% and requires 4 machine hours to produce. Product "B" has a contribution of Rs. 12 per unit; a contribution margin ratio is 40% and requires 5 machine hours to produce. If the constraint is machine hours to produce, then which one of the both product a company should produce and sell? Support your answer with suitable workings.

Answer :

WORKING

As the limiting factor in above case is the machine hours so we will go with that option which gives the maximum contribution margin per machine hour.

	PRODUCT A	PRODUCT B
Contribution Margin/Unit	8	12
Machine hour required per unit	4	5
Contribution per machine hour	2 Rs	2.4 Rs

Product B should be made by the company and sold instead of A.

Question No: 17 (Marks: 5)

Liberty Pizzas delivers to the housing societies near Gulberg. The company's annual fixed costs are Rs 400,000. The sales price of a normal size pizza is Rs 100 and it costs the company Rs 60 to make and deliver each pizza.

Required:

- 1- Calculate the Break even sales in Rs and in Units.
- 2- How many Pizzas must the company sell to earn a profit of Rs.650,000

Answer :

- 1- Calculate the Break even sales in Rs and in Units.

Answer :

Sale price per unit = Rs 100

Variable cost per unit = Rs 60

Fixed Cost = Rs. 400,000

Contribution margin per unit = Sale price per unit– Variable Cost per unit

Contribution margin per unit	=	100	-	60
	=	40		

So contribution margin to sales ratio is
 $C/S = (40/100) \times 100 = 40\%$

Break even sales in rupees = Fixed Cost/contribution margin ratio

Break even sales in rupees = $400,000 / .40$
Break even sales in rupees = 10,00,000 Rs

Break even sales in units = fixed cost / CM per unit

Break even sales in units = $400000 / 40$
Break even sales in units = 10,000 units (10 thousand units)

2- How many Pizzas must the company sell to earn a profit of Rs.650,000

Answer :

Required profit = Rs 650,000
TARGET contribution margin = Required profit + Fixed cost
TRAGET contribution margin = $650,000 + 400,000$
= Rs. 1,050,000

Contribution margin per unit = $100 - 60 = 40$ Rs.

numbers of pizzas to produce to earn a profit = $TRAGET\ CM / CM\ PER\ UNIT$
 $= Rs\ 650,000 = 1,050,000 / 40$

Numbers of pizzas to produce to earn a profit of Rs 650,000 = 26,250 pizzas

Question No: 18 (Marks: 5)

Classify the following expenses as **Financial or Administrative expense** by filling the appropriate boxes?

Expenses	Nature of expense
Salaries of employee	Administrative Expense
Interest paid on debts	Financial Expense
Utility Bills	Administrative Expense
Depreciation of office equipment	Administrative Expense
Interest paid on debentures	Financial Expense

Question No: 19 (Marks: 10)

The following is the Corporation's Income Statement for last month:

Particulars	Rs.
Sales	4,000,000
Less: variable expenses	1,800,000
Contribution margin	2,200,000
Less: fixed expenses	720,000
Net income	1480,000

The company has no beginning or ending inventories. A total of 80,000 units were produced and sold last month.

Required:

- 3- What is the company's contribution margin ratio?
- 4- What is the company's break-even in units?
- 5- How many units would the company have to sell to attain a target profit of Rs. 820,000?

Answer :

- 1- What is the company's contribution margin ratio?

Answer :

Contribution margin ratio = (Contribution margin / Sales) X 100

Contribution margin ratio = (2,200,000/4,000,000)X 100

Contribution margin ratio = 55 %

- 2- What is the company's break-even in units?

Answer :

Fixed Cost = Rs 720,000

Contribution margin = Rs 2,200,000

Number of units produced and sold = 80,000

Contribution margin per unit = 2,200,000/ 80,000 = Rs 27.5

Break even point in Units = Fixed Cost/ Contribution margin per unit

Break even point in Units = 720,000/ 27,5

Break even point in Units = 26181.82 or approximately 26,182 units

3- How many units would the company have to sell to attain a target profit of Rs. 820,000?

Answer :

We know that

Contribution margin per unit = Total Contribution margin/ Total units sold

Contribution margin per unit = $2,200,000/80,000 = 27.5$ Rs

So target profit = 820,000

Target contribution margin in Rs= 820,000 + 720,000 (fixed cost)

Target contribution margin in Rs = 1,540,000

No. of units = Target contribution margin in rupees/Contribution margin per unit

No of Units to produce = $1,540,000/27.5 = 56,000$ units

So to attain a target profit of Rs 820,000 total units that should be produced are 56,000 units

Question No: 20 (Marks: 10)

The manufacturing Company estimates its factory overhead to be as follows:

Fixed expense per month	Rs.	Variable rate (Rs.) per direct labor hour
Indirect material	2,000	
Indirect Labor	900	0.2
Maintenance	1200	0.3
Heat and Light	300	
Power	200	0.55
Insurance	270	
Taxes	600	
Payroll Taxes	0	0.10
Depreciation	1,350	

Assuming that the direct labor hours for January, February and March are 2,640, 4,740 and 2,370 hours respectively.

Required:

Prepare factory overhead budget for the first quarter.

FACTORY OVERHEAD BUDGET FOR THE FORST QUARTER

PARTICULAR	JANUARY	FEBRURAY	MARCH
-------------------	----------------	-----------------	--------------

Indirect material	2000	2000	2000
Indirect labor			
Fixed	372		426
Variable	528	900	474
Maintenance			
Fixed	408		489
Variable	792	1200	711
Heat and light	300	300	300
Power			
Fixed			
Variable	200	200	200
Insurance	270	270	270
Taxes	250	250	250
Payroll			
Variable	264	474	237
Fixed			
Depreciation	1350	1350	1350
TOTAL OVERHEAD	6371	6944	6707

Question 21 : Define contribution margin?

Contribution margin per unit means **selling price per unit less variable cost per unit**

Total contribution margin means **volume * (selling price per unit less variable cost per unit)**

Target contribution margin

Fixed cost + target profit

Question No: 22 (Marks: 3)

What is a principle budget factor?

Some factor like labor or material which are short in supply. This may be due to shortage of material, labor hours, machine capacity

and shortage of funds. That factor which ultimately decides the planned activity level.

For example a company wants to produce 100,000 pieces of computer but available skilled labor can produce only 80,000 units.

Hence, labor is principle budget factor in this case.

Question No: 23 (Marks: 5)

Ali Company produces and sells Amrat Cola to retailers. The Cola is bottled in 2-litter plastic bottles. The estimated budgeted sales for the year 2009 would be Rs. 360,000 and the estimated Profit for the year 2009 would be Rs 10,000.

The Margin of safety Ratio is calculated as 20%.

Required: Breakeven Sales for the year 2009

PROFIT / MOS RATIO = CONTRIBUTION MARGIN

$$10000 / .2 = 50,000$$

C/S RATIO = CM /SALES *100

$$= 50000 / 360000*100$$

$$= 13.88\%$$

(IN CASE OF BREAK EVEN SALES = CONTRIBUTION MARGIN EQUAL TO FIXED COST)

BE SALES = FIXED COST /C/S RATIO

$$= 40000 / 13.8889$$

$$287,999$$

OR

MOS RATIO = MOS / BUDGETED SALES

MOS = BUDGETED SALES * MOS RATIO

MOS = 360,000 * 20% = 72,000

MOS = budgeted sales – break even sales

Break even sales = Budgeted sales – MOS

= 360,000 – 72,000 = 288,000

Question No: 24 (Marks: 5)

The management of Franco Corporation is concerned about department B, which showed a loss of Rs. 1,300 last quarter. You have been asked to prepare an analysis that will help management to decide whether to discontinue the department. Below is the Franco's Income Statement for last quarter:

	Department A	Department B	Total
Sales (Rs)	260,000	130000	390,000
Variable Cost (Rs)	156,000	117000	273,000
Contribution margin	104,000	13,000	117,000
Less: Fixed Costs:			
Separable (Rs)	11,300	5700	17,000
Joint (Rs)	17,400	8600	26,000
Total	28,700	14300	43,000
Profit (Loss) (Rs)	75,300	(1,300)	74,000

Showing all calculations, determine the effect of closing department B on Franco Corporation and make a recommendation.

ANALYSIS

If we discontinue the department “b” then the loss will be as follows

$$13,000 + 1,300 = 14,300$$

Department “b” must be continued because fixed cost equal to Rs.13, 000 is being covered and loss is only rs.1300 other wise if we discontinue the loss will be equal to Rs.14, 300

Question No: 53 (Marks: 10)

Classify following organization with respect to cost accumulation procedure generally used either Job order costing or Process costing by filling the appropriate boxes given below.

ANSWER

Industries	Costing Procedure to be applied
Paint	Process Costing
Leather	Process Costing
Printing press	Job Order
Wood furniture	Job Order
Steel	Process Costing
Jewelry items	Job Order
Accounting firms	Job Order
Mobile phones	Process costing
Tires and tubes	Process Costing
Sugar	Process Costing

Question No: 25 (Marks: 10)

Ali and Co. has sales of Rs. 50,000 in March and Rs. 60,000 in April. Forecasted sales for May, June and July are Rs. 70,000, Rs. 80,000 and 100,000 respectively. The firm has a cash balance of Rs. 5,000 on May 01 and wishes to maintain a minimum cash balance of Rs. 5,000. Given the following data, prepare a cash budget for the month of May, June and July.

1. The firm makes 20% of sales for cash, 60% are collected in the next month and the remaining 20% are collected in the second month following the sale.

2. The firm receives other income of Rs. 2,000 per month.
3. The firm's actual or expected purchases, all made for cash, are Rs. 50,000, Rs. 70,000 and Rs. 80,000 for the months of May through July, respectively.
4. Rent is Rs. 3,000 per month.
5. Wages and salaries are 10% of the previous month's sales.
6. Cash dividends of Rs. 3,000 will be paid in June.
7. Payment of principal and interest of Rs. 4,000 is due in June.
8. A cash purchase of equipment costing Rs. 6,000 is scheduled in July.
9. Taxes of Rs. 6,000 are due in June.

SALES BUDGET FOR THE QUARTER FROM MAY TO JULY

CASH RECEIPTS

<u>PARTICULARS</u>	<u>MAY</u>	<u>JUNE</u>	<u>JULY</u>
	(Rs.)	(Rs.)	(Rs.)
OPENING BALANCE of cash	5000	5000	-16000
Receipts from sales			
March 50,000	10,000	—	—
April 60,000	36,000	12,000	—
May 70,000	14,000	42,000	14,000
June 80,000	—	16,000	48,000
July 100,000	—	—	20,000
Other receipts	2000	2000	2000
TOTAL RECEIPTS	62,000	77,000	68,000
CASH PAYMENTS			
CASH PURCHASES	50000	70000	80000

RENT	3000	3000	3000
WAGES AND SALERIES	6000	7000	8000
CASH DIVIDEND	----	3000	-----
PAYMENT OF INTEREST	----	4000	-----
EQUIPMENT	-----	-----	6000
TAX	----	6000	----
TOTAL PAYMENTS	59000	93000	97000
TR – TP	3000	-16000	-29000
BANK LOAN	2000		
CLOSING BALANCE	5000	-16000	-29000

Question No: 26 (Marks: 3)

Ahmed Trading Company has the following information about Soap, the only product it sells. The selling price for each unit is Rs 150. the variable cost per unit is Rs 45. and the total fixed cost for the firm is Rs. 90,000. The Company has budgeted sales of Rs. 370,000 for the next period. Calculate Margin of safety in Rs

$$\begin{aligned}\text{CM} &= 150 - 45 \\ &= 105\end{aligned}$$

$$\begin{aligned}\text{C/S RATIO} &= 105 / 150 \\ &= 0.7\end{aligned}$$

$$\begin{aligned}\text{BREAK EVEN SALES} &= 90000 / .7 \\ &= 128571\end{aligned}$$

$$\begin{aligned}\text{MOS} &= \text{BUDGETED SALES} - \text{BREAK EVEN SALES} \\ &= 370000 - 128571 \\ &= 241,429\end{aligned}$$

Question No:27 (Marks: 3)

The gross profit for the company amounts to Rs. 150,000. The marketing and office expenses are Rs. 45,000 and Rs. 20,000 respectively. The financial charges for the period are Rs. 2,500. Calculate the Operating profit of a company?

Solution:

Gross profit	150,000
LESS OPERATING EXPENSES	
Marketing Expenses	45,000
Office Expenses	20,000
	----- 65,000
OPERATIN PROFIT	85,000

Question No: 28 (Marks: 5)

ICI Ltd manufactured three joint products, W, X, Z in a common process. The cost and production data for March is as follows:

	Rs.
Opening stock	40,000
Direct material input	80,000
Conversion cost	100,000
Closing stock	20,000

Out put and sales were as follows:

Products	Production units	sales units	sales price per unit
W	20,000	15,000	4
X	20,000	15,000	6
Z	40,000	50,000	3

Required:

Costs are apportioned between joint products on market value basis, (Sales value of the units produced)?

	W	X	Z	Total
Final Price	4	6	3	
Direct Meterial	16,000	24,000	40,000	80,000
Coverion Cost	20,000	30,000	50,000	100,000
Total Cost	36,000	54,000	90,000	180,000
-Closing Balance	9,000	13,500		
Net Cost	27,000	40,500	90,000	
Sales Price	60,000	90,000	150,000	
Profit	33,000	49,500	60,000	

Question No: 29 (Marks: 5)

Briefly describes the main features of relevant cost?

A relevant cost is a cost which is related to the future expected costs that is considerable for decision making for the management. Due to the difference among alternatives it will effect the decision of management like opportunity cost. The interest rate provided by the bank against investment is an opportunity cost which an investor can earn simply without making any business activity.

Question No: 30 (Marks: 10)

Particulars	Significant Product	Incidental Product
Opening Stock	-----	-----
Production during the year	10,000 units	800 units
Closing Stock	1,000 units	100 units
Cost incurred	Rs. 6,40,000	-----
Sales price per unit	Rs. 300	Rs. 200
Further Processing cost		Rs. 50

With the help of above mentioned information, classify the incidental product treated as deduction from the cost of goods sold in the income statement of main product.

Cost Of goods Sold

Cost Incurred	640,000.00
Less Closing Stock	64,000.00
Cost Of goods Sold	576,000.00
Add Further Cost on By-Product	35,000.00
Less Sale Of By Product	(140,000.00)
Net Cost of Goods Sold	471,000.00

Sales 300*9000	2,700,000.00
COGS	471,000.00
Profit	2,229,000.00

Question No: 31 (Marks: 10)

Describe the various stages in a budgeting process?

Preparation of budgets

After finalizing the forecast the preparation process of budget starts. The budget activity starts with the preparation of the said budget. Then, production budget is prepared on the basis of sales budget and the production capacity available. Financial budget (i.e. cash or working capital budget) will be prepared on the basis of sale forecast and production budget. All these budgets are combined and coordinated into -a master budget- The budgets may be revised in the course of the financial period if it becomes necessary to do so in view of the unexpected developments, which have already taken place or are likely to take place.

Below are the stages of Preparation of Budget.

Functional Budget: Functional Budget is prepared to start the process of budgeting.

Sales budget: Sales budget is the first step in process of budgeting process.

Production Budget: To meet the sales targets production budget is prepared.

Raw material, Labor, FOH Budget: In order to achieve the targets of production Raw material, Labor and FOH budgets are prepared.

Cost of goods sold: cost of goods sold budget is prepared after having above budgets.

Selling & Distribution Expenses, Administrative Expenses, Financial Expenses

Budget: At last to determine the net income all these said budgets are prepared.

All the above budgets are consolidated to finalize the Master budget.

Question No: 32 (Marks: 5)

Basit Ali Company produces and sells Makka Cola to retailers. The Cola is bottled in 2-liter plastic bottles. The estimated budgeted sales for the year 2008 would be Rs. 80,000 and the estimated Profit for the year 2008 would be Rs. 4,060. The Margin of safety Ratio is calculated as 25%.

Required:

1- Breakeven Sales for the year 2008

2- Projected Income statement for the year 2008

SOLUTION

$$\text{CM} = 4060 / .25 \\ = 16240$$

$$\text{C/S RATIO} = \text{CM} / \text{SALES} * 100 \\ = 16240 / 80000 * 100 \\ = 20.3$$

$$\text{CM} - \text{PROFIT} = \text{FIXED COST} \\ 16240 - 4060 = 12180$$

$$\text{BE SALE} = \text{FIXED COST} / \text{C/S RATIO} \\ = 12180 / .203 \\ = 60000$$

B) PROJECTED INCOME STATEMENT

SALES	80000
-VARIABLE COST	63760
CM	16240
FIXED COST	12180
PROFIT	4060

Question No: 33 (Marks: 5)

A textile company anticipates the following unit sales during the four months of 2008.

Months April May June July Sales units 20,000 30,000 25,000 40,000

The company maintains its ending finished goods inventory at 60% of the following month's sale. The April 1st, finished goods inventory will be 12,000 units.

Required: Prepare a production budget for second quarter of year.

PARTICULARS	APRIL	MAY	JUNE
SALES	20000	30000	25000
ADD ENDING INV	18000	15000	24000
TOTAL AVAILABLE	38000	45000	49000
LESS OP INV	12000	18000	15000

REQUIRED PRODUCTION	26000	27000	39000
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Question No: 34 (Marks: 10)

Rashid and company employees 10 production workers, working 8 hours a day 20 days per month at a normal capacity of 2,400 units.

The direct labor wage rate Rs. 6.30 per hour

Direct materials are budgeted Rs. 2.00 per unit produced

Fixed factory overhead Rs. 960

Supplies average Rs. 0.25 per direct labor hour

Indirect labor is 1/6 of direct labor cost and other charges are Rs. 0.45 per direct labor hour

Required:

Prepare a flexible budget at 60%, 80% and 100% of normal capacity. Showing total manufacturing costs as well as per unit total manufacturing costs.

CAPACITY LEVELS			
DISCRIPTION	60% Suppose normal capacity	80%	100%
UNITS	2400	3200	4000
HOURS	1600 (20*8*10)	2133 (1600*80/60)	2667 (1600*100/60)
	Rs.	Rs.	Rs.
DL COST	10080	13438	16802
DM COST	4800	6400	8000
FIXED OH	960	960	960
SUPPLIES	400	533	667
IND LABOR	1680	2240	2800
OTHER CHARGES	720	960	1200
TOTLA MFG COST	18640	24531	30429
PER UNIT MFG COST	18640 / 2400 =7.76	7.66	7.60

Question No: 35 (Marks: 10)

There are some common types of costs which you will meet when evaluating different decisions are incremental, non-incremental, spare capacity, opportunity, sunk costs. Are these likely to be relevant or non-relevant?

Incremental costs

An incremental cost can be defined as a cost which is specifically incurred by following a course of action and which is avoidable if such action is not taken. Incremental costs are, by definition, relevant costs because they are directly affected by the decision

Non incremental cost

These are costs, which will not be affected by the decision at hand. Non-incremental costs are non-relevant costs because they are not related to the decision at hand (i.e. non-incremental costs stay the same no matter what decision is taken).

Spare capacity costs

Because of the recent advancements in manufacturing technology most enterprises have greatly increased their efficiency and as a result are often operating at below full capacity. Operating with spare capacity can have a significant impact on the relevant costs for any short-term production decision the management of such an enterprise might have to make.

If spare capacity exists in an enterprise, some costs which are generally considered incremental may in fact be non-incremental and thus, non-relevant, in the short-term.

Opportunity costs

An opportunity cost is a level of profit or benefit foregone by the pursuit of a particular course of action. In other words, it is the value of an option, which cannot be taken as a result of following a different option. Opportunity costs are relevant costs for a decision only when they exceed the costs of the same item in the option to the decision under consideration

Sunk cost

A sunk cost is a cost that the already been incurred and cannot be altered by any future decision. If sunk costs are not affected by a decision then they must be non-relevant costs for decision making purposes.

Sunk costs are the opposite of opportunity costs in that they are not incorporated in the decision making process even though they have already been recorded in the books and records of the enterprise

Question No: 49 (Marks: 3)

The Superior Company manufactures paint and uses a process costing system. During February, Superior started 80,000 gallons of paint. During the month the company completed 92,000 gallons and transferred them to the mixing department. Superior had 38,000 gallons in beginning inventory and 26,000 gallons in ending inventory. Material is added at the beginning of the process and conversion costs are added evenly throughout the process. Beginning WIP was 30% complete as to conversion costs and ending WIP was 20% complete as to conversion costs. The company uses a FIFO costing. The cost data for February follow:

Beginning inventory:

Direct materials Rs.22, 200

Conversion costs Rs. 44,000

Costs added this period:

Direct materials Rs. 150,000

Conversion costs Rs. 343,200

Required:

How many gallons were started and completed this period?

Answer :

Opening work in process = 38,000 gallons

Add Gallons of paint started = 80,000

Total in the department during the period = 1,18,000

Units Transferred out = 92000

Ending work in process = 26000 gallons

Units of opening work in process	38000	
Units put into the process	80,000	
		<u>118,000</u>
Units of closing work in process	26,000	
Units completed and transferred out	92,000	
		<u>118,000</u>

Question No: 50 (Marks: 3)

Product "A" has a contribution of Rs. 8 per unit; a contribution margin ratio is 50% and requires 4 machine hours to produce. Product "B" has a contribution of Rs. 12 per unit; a

contribution margin ratio is 40% and requires 5 machine hours to produce. If the constraint is machine hours to produce, then which one of the both product a company should produce and sell? Support your answer with suitable workings.

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Answer :

WORKING

As the limiting factor in above case is the machine hours so we will go with that option which gives the maximum contribution margin per machine hour. This means per one hour usage of machine whichever product maximizes the contribution margin should be made and sold by the company

	PRODUCT A	PRODUCT B
Contribution Margin/Unit	8	12
Machine hour required per unit	4	5
Contribution per machine hour	2 Rs	2.4 Rs

Although one unit of A requires less time in making than one unit of B but because machine hours is a limiting factor so option B will be taken because it gives more contribution margin per machine hour than product A. So product B should be made by the company and sold instead of A.

Question No: 51 (Marks: 5)

Liberty Pizzas delivers to the housing societies near Gulberg. The company's annual fixed costs are Rs 400,000. The sales price of a normal size pizza is Rs 100 and it costs the company Rs 60 to make and deliver each pizza.

Required:

- 1- Calculate the Break even sales in Rs and in Units.
- 2- How many Pizzas must the company sell to earn a profit of Rs.650,000

Answer :

1- Calculate the Break even sales in Rs and in Units.

Answer :

Sale price per unit = Rs 100
Variable cost per unit = Rs 60
Fixed Cost = Rs. 400,000

Contribution margin per unit = Sale price per unit– Variable Cost per unit
Contribution margin per unit = 100-60 = 40

So contribution margin to sales ratio is
 $C/S = (40/100) \times 100 = 40\%$

So break even point in rupees can be calculated as
Break even point in rupees = Fixed Cost/contribution margin ratio
Break even point in rupees = 400,000/.40
Break even point in rupees = 10,00,000 Rs

Break even point in units = Break even point in Rs/ Sale price per unit
Break even point in units = 10,00,000/100
Break even point in units = 10,000 units (10 thousand units)

2- How many Pizzas must the company sell to earn a profit of Rs.650,000

Answer :

Required profit = Rs 650,000
Required contribution margin = Required profit + Fixed cost
Required contribution margin = 650,000 + 400,000 = Rs. 1,050,000

Contribution margin per unit = 100 – 60 = 40 Rs

So numbers of pizzas to produce to earn a profit of Rs 650,000 = 1,050,000/40
Numbers of pizzas to produce to earn a profit of Rs 650,000 = 26,250 pizzas

Question No: 52 (Marks: 5)

Classify the following expenses as **Financial or Administrative expense** by filling the appropriate boxes?

Expenses	Nature of expense
Salaries of employee	Administrative Expense
Interest paid on debts	Financial Expense
Utility Bills	Administrative Expense

Depreciation of office equipment	Administrative Expense
Interest paid on debentures	Financial Expense

Question No: 53 (Marks: 10)

The following is the Corporation's Income Statement for last month:

Particulars	Rs.
Sales	4,000,000
Less: variable expenses	1,800,000
Contribution margin	2,200,000
Less: fixed expenses	720,000
Net income	1480,000

The company has no beginning or ending inventories. A total of 80,000 units were produced and sold last month.

Required:

- 3- What is the company's contribution margin ratio?
- 4- What is the company's break-even in units?
- 5- How many units would the company have to sell to attain a target profit of Rs. 820,000?

Answer :

- 1- [What is the company's contribution margin ratio?](#)

Answer :

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Contribution margin ratio = (Contribution margin / Sales) X 100

Contribution margin ratio = (2,200,000/4,000,000)X 100

Contribution margin ratio = 55 %

- 2- [What is the company's break-even in units?](#)

Answer :

Fixed Cost = Rs 720,000

Contribution margin ratio = Rs 2,200,000

Number of units produced and sold = 80,000

Contribution margin per unit = 2,200,000/ 80,000 = Rs 27.5

Break even point in Units = Fixed Cost/ Contribution margin per unit

Break even point in Units = 720,000/ 27,5

Break even point in Units = 26181.82 or approximately 26,182 units

3- How many units would the company have to sell to attain a target profit of Rs. 820,000?

Answer :

We know that

Contribution margin per unit = Total Contribution margin/ Total units sold

Contribution margin per unit = 2,200,000/80,000 = 27.5 Rs

So target profit = 820,000

Target contribution margin in Rs= 820,000 + 720,000 (fixed cost)

Target contribution margin in Rs = 1,540,000

No. of units = Target contribution margin in rupees/Contribution margin per unit

No of Units to produce = 1,540,000/27.5 = 56,000 units

So to attain a target profit of Rs 820,000 total units that should be produced are 56,000 units

Question No: 54 (Marks: 10)

The manufacturing Company estimates its factory overhead to be as follows:

Fixed expense per month	Rs.	Variable rate (Rs.) per direct labor hour
Indirect material	2,000	
Indirect Labor	900	0.2
Maintenance	1200	0.3
Heat and Light	300	
Power	200	0.55
Insurance	270	
Taxes	600	
Payroll Taxes	0	0.10
Depreciation	1,350	

Assuming that the direct labor hours for January, February and March are 2,640, 4,740 and 2,370 hours respectively.

Required:

Prepare factory overhead budget for the first quarter.

Question No: 49 (Marks: 3)

Ahmed Trading Company has the following information about Soap, the only product it sells. The selling price for each unit is Rs 150. the variable cost per unit is Rs 45. and the total fixed cost for the firm is Rs. 90,000. The Company has budgeted sales of Rs. 370,000 for the next period. Calculate Margin of safety in Rs.

	Per Unit	Amount
Sales	150.00	370,000.00
Variable Cost	<u>45.00</u>	<u>111,000.00</u>
Cont Margin	105.00	259,000.00
Fixed Cost		<u>90,000.00</u>
Profit		169,000.00

Margin Of Safety = Budgeted Sales - Breakeven Sales

Break Even Sales = Fixed Cost/Contibution Margin Per Unit = No. Of units of Breakeven Sales

Units to be sold for Breakeven = 857.14
Selleing price = 150

Breakeven Sales in Rs. =128,571.43

Margin Of Safety in Rs =370,000-128,571.43

Margin Of Safety in Rs. =241,428.57

$$\begin{aligned} \text{CM} &= 150 - 45 \\ &= 105 \end{aligned}$$

$$\begin{aligned} \text{C/S RATIO} &= 105 / 150 \\ &= 0.7 \end{aligned}$$

$$\begin{aligned} \text{BREAK EVEN SALES} &= 90000 / .7 \\ &= 128571 \end{aligned}$$

$$\begin{aligned} \text{MOS} &= \text{BUDGETED SALES} - \text{BREAK EVEN SALES} \\ &= 370000 - 128571 \\ &= 241,429 \end{aligned}$$

Question No: 50 (Marks: 3)

The gross profit for the company amounts to Rs. 150,000. The marketing and office expenses are Rs. 45,000 and Rs. 20,000 respectively. The financial charges for the period are Rs. 2,500. Calculate the Operating profit of a company?

Solution:

Gross profit	150,000	
LESS OPERATING EXPENSES		
Marketing Expenses	45,000	
Office Expenses	20,000	
	-----	65,000
OPERATING PROFIT		85,000

Question No: 51 (Marks: 5)

ICI Ltd manufactured three joint products, W, X, Z in a common process. The cost and production data for March is as follows:

	Rs.
Opening stock	40,000
Direct material input	80,000
Conversion cost	100,000
Closing stock	20,000

Out put and sales were as follows:

Products	Production units	sales units	sales price per unit
W	20,000	15,000	4
X	20,000	15,000	6
Z	40,000	50,000	3

Required:

Costs are apportioned between joint products on market value basis, (Sales value of the units produced)?

	W	X	Z	Total
Final Price	4	6	3	
Direct Material	16,000	24,000	40,000	80,000
Conversion Cost	<u>20,000</u>	<u>30,000</u>	<u>50,000</u>	<u>100,000</u>

Total Cost	36,000	54,000	90,000	180,000
-Closing Balance	<u>9,000</u>	<u>13,500</u>		
Net Cost	27,000	40,500	90,000	
Sales Price	<u>60,000</u>	<u>90,000</u>	<u>150,000</u>	
Profit	33,000	49,500	60,000	

Question No: 52 (Marks: 5)

Briefly describes the main features of relevant cost?

A relevant cost is a cost which is related to the future expected costs that is considerable for decision making for the management. Due to the difference among alternatives it will effect the decision of management like opportunity cost. The interest rate provided by the bank against investment is an opportunity cost which an investor can earn simply without making any business activity.

Question No: 53 (Marks: 10)

Particulars	Significant Product	Incidental Product
Opening Stock	-----	-----
Production during the year	10,000 units	800 units
Closing Stock	1,000 units	100 units
Cost incurred	Rs. 6,40,000	-----
Sales price per unit	Rs. 300	Rs. 200
Further Processing cost		Rs. 50

With the help of above mentioned information, classify the incidental product treated as deduction from the cost of goods sold in the income statement of main product.

Cost Of goods Sold

Cost Incurred	640,000.00
Less Closing Stock	<u>64,000.00</u>
Cost Of goods Sold	576,000.00
Add Further Cost on By-Product	35,000.00
Less Sale Of By Product	<u>(140,000.00)</u>
Net Cost of Goods Sold	471,000.00
Sales 300*9000	2,700,000.00
COGS	<u>471,000.00</u>
Profit	2,229,000.00

Question No: 54 (Marks: 10)

Describe the various stages in a budgeting process?

Preparation of budgets

After finalizing the forecast the preparation process of budget starts. The budget activity starts with the preparation of the said budget. Then, production budget is prepared on the basis of sales budget and the production capacity available. Financial budget (i.e. cash or working capital budget) will be prepared on the basis of sale forecast and production budget. All these budgets are combined and coordinated into -a master budget- The budgets may be revised in the course of the financial period if it becomes necessary to do so in view of the unexpected developments, which have already taken place or are likely to take place.

Below are the stages of Preparation of Budget.

Functional Budget: Functional Budget is prepared to start the process of budgeting.

Sales budget: Sales budget is the first step in process of budgeting process.

Production Budget: To meet the sales targets production budget is prepared.

Raw material, Labor, FOH Budget: In order to achieve the targets of production Raw material, Labor and FOH budgets are prepared.

Cost of goods sold: cost of goods sold budget is prepared after having above budgets.

Selling & Distribution Expenses, Administrative Expenses, Financial Expenses Budget: At last to determine the net income all these said budgets are prepared.

BUDGETED INCOME STATEMENT

All the above budgets are consolidated to finalize the Master budget.

Question No: 13 (Marks: 5)

Golden Company sells its product for Rs. 42 per unit. The company's unit product cost based on the full capacity of 400,000 units is as follows:

Direct materials	Rs. 8
Direct labor	10
Manufacturing overhead	12
Unit product cost	Rs. 30

A special order offering to buy 40,000 units has been received from a foreign distributor. The only selling costs that would be incurred on this order would be Rs. 6 per unit for shipping. The company has sufficient idle capacity to manufacture the additional units. Two-thirds of the manufacturing overhead is fixed and would not be affected by this order. Assume that direct labor is an avoidable cost in this decision. In negotiating a price for the special order, calculate the minimum acceptable selling price per unit?

Question No: 14 (Marks: 5)

Data concerning P Co's single product is as follows:

	Rs./unit
Selling price	7.00
Variable cost	3.00
Fixed production cost	4.00
Fixed selling cost	1.00

Budgeted production and sales for the year are 12,000 units.

Required: What will be the company's new Break Even point, to the nearest whole unit if it is expected that the variable production cost per unit will each increase by 10% and fixed cost will rise by 25% and other things remains same.

Note: it is necessary to show complete working

Question No: 15 (Marks: 3)

A company is considering publishing a limited edition book bound in special leather. It has in stock the leather bought some years ago for Rs. 1,000. To buy an equivalent quantity now would cost Rs. 2,000. The company has no plans to use the leather for other purposes, although it has considered the possibilities:

- v Of using it to cover desk furnishings, in replacement for other material which could cost Rs. 900
- v Of selling it if a buyer could be found (the proceeds are unlikely to exceed Rs. 800).

Solution:-

In calculating the likely profit from the proposed book before deciding to go ahead with the project, the leather would not be costed at Rs. 1000. The cost was incurred in the past for some reason which is no longer relevant. The leather exists and could be used on the book without incurring any specific cost in doing so. In using the leather on the book, however, the company will lose the opportunities of either disposing of it for Rs. 800 or of using it to save an outlay of Rs. 900 on desk furnishings.

The better of these alternatives, from the point of view of benefiting from the leather, is the latter. "lost opportunity" cost of Rs 900 will there for be included in the cost of the books for decision making purposes

Also visit

<http://www.scribd.com/doc/30800321/cost-accounting-5>

Question No: 16 (Marks: 3)

Following information is available for preparing the Direct Labour Cost Budget:

- No. of workers required = 10 workers
- Work performance = 160 hours
- Rate = Rs. 40 per hour

Required:

Calculate the estimated amount of direct labour cost to produce 2,400 units based on the above information.

Solution:-

worker (160 hrs @ Rs 40)= Rs 6,400 x 10 workers = 64,000

Question No: 17 (Marks: 5)

Production component	Rates	Per unit Rate
Direct material	2.5 lbs @ Rs. 4.00	Rs. 10.00
Direct Labor	.5 hr @ Rs. 16.00	Rs. 8.00
VOH	.5 hr @ Rs. 4.00	Rs. 2.00
Fixed FOH	Rs. 40,000	Rs. 2.50
Actual Output	16,000 units	
Variable S&A	Rs. 6.00 per unit	
Fixed S&A	Rs. 60,000	
Selling price	Rs. 40	

Assume sales of 18,000 units.

Required: What is the profit under marginal costing method?

ANSWER:-

INCOME STATEMENT

MARGINAL COSTING

FOR THE PERIOD ENDED....

PARTICULARS	AMOUNT IN Rs.	AMOUNT IN Rs.
Sales 18000*40		720,000
CGS:		
Opening inventory NOTE 1 2000*20	40,000	
Cost of goods manufactured 16000 * 20	320,000	
Closing inventory	-	<u>(360,000)</u>
GROSS CM		360,000
Less variable period cost: selling n admin exp 18000*6		<u>(108,000)</u>
NET CM		252,000
Less fixed period cost		
Manufacturing OH	40,000	
Selling n admin OH	60,000	<u>(100,000)</u>
NET PROFIT		<u>152,000</u>

NOTE 1 = Since production is 16000 & sales is 18000, so there must be 2000units lying in opening inventory

Per unit product cost= material + labor +variable OH
 $=10 +8+ 2 = 20$

Question No: 18 (Marks: 5)

Hussain Corporation annually produces 10,000 units of assembly part number 206. An outside supplier has offered to manufacture the part at Rs. 9 per unit. If Hussain Corporation decides to buy the part, they will be able to rent the existing area for Rs. 8,000 per year. Listed below are Hussain's total costs to produce part 206:

	Rs.	Total (Rs.)
Direct material	2.50	25,000
Direct Labor	4.00	40,000
Variable overhead	2.25	22,500
Fixed Overhead	0.75	7,500
Total	9.50	95,000

Assuming that no additional costs are incurred in purchasing the part, what should be the opportunity cost for Hussain Corporation if it will buy? Support your answer with computations.

VC of making = 8.75 / unit
VC of buying = 9 / unit

Extra cost of buying = 0.5 / unit

Particulars	Amount/Qty
Units to be made annually	10000units
Extra cost of buying	Rs.5000
Savings from Rent annually	Rs.8000
Available benefit	Rs.3000

Question No: 19 (Marks: 5)

Classify the following expenses as **Financial or Administrative expense** by filling the appropriate boxes?

Expenses	Nature of expense
Salaries of employee	
Interest paid on debts	
Utility Bills	
Depreciation of office equipment	
Interest paid on debentures	

Solution:

Expenses	Nature of expense
Salaries of employee	Admin
Interest paid on debts	Financial
Utility Bills	Admin
Depreciation of office equipment	Admin
Interest paid on debentures	Financial

Question No: 20 (Marks: 3)

A study has been conducted to determine if one of the departments of Mead Company should be discontinued. The contribution margin in the department is Rs. 150,000 per year. Fixed expenses charged to the department are Rs. 195,000 per year. It is estimated that Rs. 120,000 of these fixed expenses could be eliminated if the department is discontinued. Will it be favorable to discontinue department operations? Support your answer with suitable working.

Solution:

	Old		New
Contribution Margin	= 150 000		-----
Fixed Expense	= (195 000)	-120000	(75000)
Loss / profit:	=(45000)		(75000)

It will not be favorable to discontinue department operations.

Question No: 21 (Marks: 3)

The following information is available for Atlas Corporation to prepare a cash budget for the month of September:

- Cash on hand beginning of September Rs. 16,000
- Expected receipts in September Rs. 272,000
- Sales salaries paid Rs. 62,000
- Material purchases (all in cash) Rs. 190,000
- Depreciation Rs. 44,000

Required: Calculate ending cash balance in September. Also show complete working.

Solution:-

**Atlas Corporation
Cash Budget
For the month of Sep...**

Particulars	Amount in Rs.
Opening Balance	16000
Add: Receipts	272000
Total 1	288000
Less: Payments	
Sales Salaries	62000
Material Purchases	190000
Total 2	252000
C/S	
Total 1- Total 2	36000
Bank O/D	NIL

Question No: 22 (Marks: 5)

The Carter Manufacturing Company estimates its production requirements to be 30,000 units for October, 38,000 units for November and 41,000 units for December. It takes 3 direct labor hours at a rate of Rs. 3 per hour to complete one unit.

Prepare direct Labor budget cost for the last quarter of the year.

Solution:-

Particulars	OCT	NOV	DEC
Hrs/Unit	3	3	3
Units to be manufactured	30000	38000	41000
Hrs to manufacture req. units	90000	114000	123000
Cost per Hr. in Rs.	3	3	3
Cost of manufacturing req. units (Rs)	270000	342000	369000
Total labor cost of the quarter	Rs.981000		

Question No: 23 (Marks: 5)

Data concerning P Co's single product is as follows:

	Rs./unit
Selling price	7.00
Variable cost	3.00
Fixed production cost	4.00
Fixed selling cost	1.00

Budgeted production and sales for the year are 12,000 units.

Required: What will be the company's new Break Even point, to the nearest whole unit if it is expected that the variable production cost per unit will each increase by 10% and fixed cost will rise by 25% and other things remains same.

Note: it is necessary to show complete working

B.E.Sales in units = FC/ CM per unit

Old B.E.Sales in units

$$= 48000 / 4 = 12000$$

New B.E.Sales in units

VC is increased by 10% so now per unit VC is Rs.3.3/Unit

FC is increased by 25% so now new FC is Rs.60000

New CM/ Unit = S/unit – VC/Unit

$$= 7 - 3.3$$

$$= 3.7$$

B.E.Sales in units = FC/CM per unit

$$= 60000 / 3.7$$

$$= 16216 \text{ units (rounded to the nearest whole unit)}$$

B.E.Sales in Rs.= 16216 x 7 = 113512 Rs.

VC = Rs.53512

Particulars	Amount in Rupees
Sales	113512
Less VC	53512
Contribution margin	60000
Less FC	60000
Profit	NIL

Question No: 24 (Marks: 5)

G incorporation a manufacturer of skin care products is considering dropping from its line Moisturizing Cream, which is currently losing money. Following information of G incorporation's three products are given below.

	Cleansers & Toners	Moisturizing Cream	Eye Care Creams
--	-----------------------	-----------------------	--------------------

	(Rs)	(Rs)	(Rs)
Sales revenue	500,000	300,000	400,000
Less: Variable Cost	230,000	200,000	230,000
Contribution margin	270,000	100,000	170,000
Less: Fixed Cost:			
Separable cost	50,000	59,000	40,000
Common cost	106,000	60,000	85,000
Profit (loss)	114,000	(19,000)	45,000

Required: What do you think that G incorporation should discontinue the product line Moisturizing Cream? Support your answer with complete working.

By dropping the moisturizing line results will be as follows

Differential cost statement

	Current Business (Rs)	Shut down (Rs.)	Difference
Sales revenue	300,000	-----	-----
Less: Variable Cost	200,000	-----	-----
Contribution margin	100,000	-----	(100,000)
Less: Fixed Cost:			
Separable cost	59,000	-----	59000
Common cost	60,000	60,000	-----
Profit (loss)	(19,000)	(60,000)	(41,000)

Loss of contribution Margin = (100,000)

Gain from FC = 59,000

Differential Loss = (41,000)

Earlier we were bearing a loss of Rs. 19,000 now its Rs. 60,000 so we should not suffer from this additional loss of Rs. 41,000 and continue with moisturizing range.

Question No: 25 (Marks: 3)

A study has been conducted to determine if one of the departments of Mead Company should be discontinued. The contribution margin in the department is Rs. 150,000 per year. Fixed expenses charged to the department are Rs. 195,000 per year. It is estimated that Rs. 120,000 of these fixed expenses could be eliminated if the department is discontinued. Will it be favorable to discontinue department operations? Support your answer with suitable working.

Question No:26 (Marks: 3)

The following information is available for Atlas Corporation to prepare a cash budget for the month of September:

- Cash on hand beginning of September Rs. 16,000
- Expected receipts in September Rs. 272,000
- Sales salaries paid Rs. 62,000
- Material purchases (all in cash) Rs. 190,000
- Depreciation Rs. 44,000

Required: Calculate ending cash balance in September. Also show complete working.

Question No: 27 (Marks: 5)

The Carter Manufacturing Company estimates its production requirements to be 30,000 units for October, 38,000 units for November and 41,000 units for December. It takes 3 direct labor hours at a rate of Rs. 3 per hour to complete one unit.

Prepare direct Labor budget cost for the last quarter of the year.

Question No: 28 (Marks: 5)

Data concerning P Co's single product is as follows:

	Rs./unit
Selling price	7.00
Variable cost	3.00
Fixed production cost	4.00
Fixed selling cost	1.00

Budgeted production and sales for the year are 12,000 units.

Required: What will be the company's new Break Even point, to the nearest whole unit if it is expected that the variable production cost per unit will each increase by 10% and fixed cost will rise by 25% and other things remains same.

Note: it is necessary to show complete working

Question No: 29 (Marks: 5)

G incorporation a manufacturer of skin care products is considering dropping from its line Moisturizing Cream, which is currently losing money. Following information of G incorporation's three products are given below.

	Cleansers & Toners (Rs)	Moisturizing Cream (Rs)	Eye Care Creams (Rs)
Sales revenue	500,000	300,000	400,000
Less: Variable Cost	230,000	200,000	230,000
Contribution margin	270,000	100,000	170,000
Less: Fixed Cost:			
Separable cost	50,000	59,000	40,000
Common cost	106,000	60,000	85,000
Profit (loss)	114,000	(19,000)	45,000

Required: What do you think that G incorporation should discontinue the product line Moisturizing Cream? Support your answer with complete working.

Question No: 49 (Marks: 3)

XYZ manufacturing company expects the following sales in units for the 1st quarter of next year:

Month	December	January	February	March	April
Sales in units	500	560	620	820	600

The company desires an ending inventory of finished units of 30% of the next month's sales.

Required:

Prepare budgeted production for the month January

Question No: 30 (Marks: 3)

Your Company regularly uses material X and currently has in stock 500 Kg for which it paid Rs. 1,500 two weeks ago. If this ever to be sold as raw material, it could be sold today for Rs. 2.00 per Kg. You are aware that the material can be bought in open market for Rs. 3.25 per Kg but it must be purchased in quantities of 1,000 Kg. What would be the relevant cost for material X?

Cost of purchase = 1500

Cost as of today $2 \times 500 = 1000$

Cost in open market $3.25 \times 500 = 1625$

Relevant Cost $1625 - 1000 = 625$

Question No:31 (Marks: 5)

A study has been conducted to determine if one of the departments of Sparrow Company should be discontinued. The contribution margin in the department is Rs. 150,000 per year. Fixed expenses charged to the department are Rs. 130,000 per year. It is estimated that Rs. 120,000 of these fixed expenses could be eliminated if the department is discontinued.

- v If the department is discontinued, what will be the impact on the company's overall net operating income?
- v Which costs are irrelevant to this decision?

Ans. If the departments is discontinued then the impact would be;

a. $150000 - (130000 - 120000) = 40000$ net operating income would increase

Question No: 32 (Marks: 5)

Production component	Rates	Per unit Rate
Direct material	2.5 lbs @ Rs. 4.00	Rs. 10.00
Direct Labor	.5 hr @ Rs. 16.00	Rs. 8.00

VOH	.5 hr @ Rs. 4.00	Rs. 2.00
Fixed FOH	Rs. 40,000	Rs. 2.50
Actual Output	16,000 units	
Variable S&A	Rs. 6.00 per unit	
Fixed S&A	Rs. 60,000	
Selling price	Rs. 40	

Required: What do the income statements look like under Absorption costing approaches if actual sales equal 16,000 units?

Question No: 33 (Marks: 5)

A Company manufactures two products A and B. Forecasts for first 7 months is as under:

Month	Sales in Units	
	A	B
January	1,000	2,800
February	1,200	2,800
March	1,610	2,400
April	2,000	2,000
May	2,400	1,600
June	2,400	1,600
July	2,000	1,800

No work in process inventory has been estimated in any month however finished goods inventory shall be on hand equal to half the sales to the next month, in each month. This is constant practice.

Budgeted production and production costs for the year 1999 will be as follows:

Production units	22,500	24,000
Direct Materials (per unit)	12.5	19
Direct Labor (per unit)	4.5	7
F.O.H. (apportioned)	Rs. 66,000	Rs 96,000

Prepare for the six months period ending June 1999, a production budget for **“Product B”**

Question No: 34 (Marks: 3)

Nomi Limited budgets to make 4,000 units of product X and estimates that the standard material cost per unit will be Rs. 6. In fact 3,800 units are produced at a material cost of Rs. 24,700. For the purpose of budgetary control, what will be the actual and budgeted figure of material cost?

Solution:-

Price of the material according to budgeted cost/ unit

= 3800 units x Rs.6 / unit

= 22,800 Rs

Price of the material according to the actual cost/ unit

= 3800 units x Rs.6.5/ unit

= 24700 Rs

Variance = budgeted – actual

= 22,800 – 24,700

= (1900) unfavorable balance

Question No: 35 (Marks: 3)

What is a principle budget factor?

Solution:-

Some factor like labor or material which are short in supply.

This could be because of shortage of material, staff hours, machine capacity even money.

It is the factor which ultimately decides the activity level planned. Like a company wanted to produce 100,000 pieces of computer but skilled labor available is able to produce only.

So labor is principle budget factor in this case.

Question No: 36 (Marks: 5)

Hussain Corporation annually produces 10,000 units of assembly part number 206. An outside supplier has offered to manufacture the part at Rs. 9 per unit. If Hussain Corporation decides to buy the part, they will be able to rent the existing area for Rs. 8,000 per year. Listed below are Hussain's total costs to produce part 206:

	Rs.	Total (Rs.)
Direct material	2.50	25,000
Direct Labor	4.00	40,000
Variable overhead	2.25	22,500

Fixed Overhead	0.75	7,500
Total	9.50	95,000

Assuming that no additional costs are incurred in purchasing the part, what should be the opportunity cost for Hussain Corporation if it will buy? Support your answer with computations.

Solution

VC of making = 8.75 / unit

VC of buying = 9 / unit

Extra cost of buying = 0.5 / unit

Particulars	Amount/Qty
Units to be made annually	10000units
Extra cost of buying	Rs.5000
Savings from Rent annually	Rs.8000
Available benefit	Rs.3000

Question No: 37 (Marks: 5)

Classify the following expenses as **Financial or Administrative expense** by filling the appropriate boxes?

Expenses	Nature of expense
Salaries of employee	?
Interest paid on debts	?
Utility Bills	?
Depreciation of office equipment	?
Interest paid on debentures	?

Solution:-

Expenses	Nature of expense
Salaries of employee	Admin
Interest paid on debts	Financial
Utility Bills	Admin
Depreciation of office equipment	Admin
Interest paid on debentures	Financial

Question No: 38 (Marks: 5)

Data concerning P Co's single product is as follows:

	Rs./unit
Selling price	7.00
Variable cost	3.00

Fixed production cost	4.00
Fixed selling cost	1.00

Budgeted production and sales for the year are 12,000 units.

Required: What will be the company's new Break Even point, to the nearest whole unit if it is expected that the variable production cost per unit will each increase by 10% and fixed cost will rise by 25% and other things remains same.

Note: it is necessary to show complete working

Solution

B.E.Sales in units = FC/ CM per unit

Old B.E.Sales in units

$$= 48000 / 4 = 12000$$

New B.E.Sales in units

VC is increased by 10% so now per unit VC is Rs.3.3/Unit

FC is increased by 25% so now new FC is Rs.60000

New CM/ Unit = S/unit – VC/Unit

$$= 7 - 3.3$$

$$= 3.7$$

B.E.Sales in units = FC/CM per unit

$$= 60000 / 3.7$$

$$= 16216 \text{ units (rounded to the nearest whole unit)}$$

B.E.Sales in Rs.= 16216 x 7 = 113512 Rs.

VC = Rs.53512

Particulars	Amount in Rupees
Sales	113512
Less VC	53512
Contribution margin	60000
Less FC	60000
Profit	NIL

MGT402 Subjective Material

Question No: 49 (Marks: 3)

A company is considering publishing a limited edition book bound in special leather. It has in stock the leather bought some years ago for Rs. 1,000. To buy an equivalent quantity now would cost Rs. 2,000. The company has no plans to use the leather for other purposes, although it has considered the possibilities:

- v Of using it to cover desk furnishings, in replacement for other material which could cost Rs. 900
- v Of selling it if a buyer could be found (the proceeds are unlikely to exceed Rs. 800).

Solution:-

In calculating the likely profit from the proposed book before deciding to go ahead with the project, the leather would not be costed at Rs. 1000. The cost was incurred in the past for some reason which is no longer relevant. The leather exists and could be used on the book without incurring any specific cost in doing so. In using the leather on the book, however, the company will lose the opportunities of either disposing of it for Rs. 800 or of using it to save an outlay of Rs. 900 on desk furnishings.

The better of these alternatives, from the point of view of benefiting from the leather, is the latter. "lost opportunity" cost of Rs 900 will there for be included in the cost of the books for decision making purposes

Also visit

<http://www.scribd.com/doc/30800321/cost-accounting-5>

Question No: 50 (Marks: 3)

Following information is available for preparing the Direct Labour Cost Budget:

- No. of workers required = 10 workers
- Work performance = 160 hours
- Rate = Rs. 40 per hour

Required:

Calculate the estimated amount of direct labour cost to produce 2,400 units based on the above information.

Solution:-

worker (160 hrs @ Rs 40)= Rs 6,400 x 10 workers = 64,000

Question No: 51 (Marks: 5)

Production component	Rates	Per unit Rate
Direct material	2.5 lbs @ Rs. 4.00	Rs. 10.00
Direct Labor	.5 hr @ Rs. 16.00	Rs. 8.00
VOH	.5 hr @ Rs. 4.00	Rs. 2.00
Fixed FOH	Rs. 40,000	Rs. 2.50
Actual Output	16,000 units	
Variable S&A	Rs. 6.00 per unit	
Fixed S&A	Rs. 60,000	
Selling price	Rs. 40	

Assume sales of 18,000 units.

Required: What is the profit under marginal costing method?

ANSWER:-

INCOME STATEMENT

MARGINAL COSTING

FOR THE PERIOD ENDED....

PARTICULARS	AMOUNT IN Rs.	AMOUNT IN Rs.
Sales 18000*40		720,000
CGS:		
Opening inventory NOTE 1 2000*20	40,000	
Cost of goods manufactured 16000 * 20	320,000	
Closing inventory	-	(360,000)
GROSS CM		360,000
Less variable period cost: selling n admin exp 18000*6		(108,000)
NET CM		252,000
Less fixed period cost		
Manufacturing OH	40,000	
Selling n admin OH	60,000	(100,000)
NET PROFIT		152,000

NOTE 1 = Since production is 16000 & sales is 18000, so there must be 2000units lying in opening inventory

Per unit product cost= material + labor +variable OH
 =10 +8+ 2 = 20

Question No: 52 (Marks: 5)

Hussain Corporation annually produces 10,000 units of assembly part number 206. An outside supplier has offered to manufacture the part at Rs. 9 per unit. If Hussain Corporation decides to buy the part, they will be able to rent the existing area for Rs. 8,000 per year. Listed below are Hussain's total costs to produce part 206:

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Particulars	Amount/Qty
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Savings from Rent annually	Rs.8000
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Question No: 53 (Marks: 5)

Classify the following expenses as **Financial or Administrative expense** by filling the appropriate boxes?

Expenses	Nature of expense
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Interest paid on debts	
Utility Bills	
Depreciation of office equipment	
Interest paid on debentures	

Solution:

Expenses	Nature of expense
-----------------	--------------------------

Salaries of employee	Admin
Interest paid on debts	Financial
Utility Bills	Admin
Depreciation of office equipment	Admin
Interest paid on debentures	Financial

Question No: 49 (Marks: 3)

A study has been conducted to determine if one of the departments of Mead Company should be discontinued. The contribution margin in the department is Rs. 150,000 per year. Fixed expenses charged to the department are Rs. 195,000 per year. It is estimated that Rs. 120,000 of these fixed expenses could be eliminated if the department is discontinued. Will it be favorable to discontinue department operations? Support your answer with suitable working.

Solution:

	Old		New
Contribution Margin	= 150 000		-----
Fixed Expense	= (195 000)	-120000	(75000)
Loss / profit:	=(45000)		(75000)

It will not be favorable to discontinue department operations.

Question No: 50 (Marks: 3)

The following information is available for Atlas Corporation to prepare a cash budget for the month of September:

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- Expected receipts in September Rs. 272,000
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- Material purchases (all in cash) Rs. 190,000
- Depreciation Rs. 44,000

Required: Calculate ending cash balance in September. Also show complete working.

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Atlas Corporation
Cash Budget
For the month of Sep...

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Total 1	288000
Less: Payments	
Sales Salaries	62000
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Total 2	252000
C/S	
Total 1- Total 2	36000
Bank O/D	NIL

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The Carter Manufacturing Company estimates its production requirements to be 30,000 units for October, 38,000 units for November and 41,000 units for December. It takes 3 direct labor hours at a rate of Rs. 3 per hour to complete one unit.

Prepare direct Labor budget cost for the last quarter of the year.

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Units to be manufactured	30000	38000	41000
Hrs to manufacture req. units	90000	114000	123000
Cost per Hr. in Rs.	3	3	3
Cost of manufacturing req. units (Rs)	270000	342000	369000
Total labor cost of the quarter	Rs.981000		

Question No: 52 (Marks: 5)

Data concerning P Co's single product is as follows:

	Rs./unit
Selling price	7.00
Variable cost	3.00
Fixed production cost	4.00
Fixed selling cost	1.00

Budgeted production and sales for the year are 12,000 units.

Required: What will be the company's new Break Even point, to the nearest whole unit if it is expected that the variable production cost per unit will each increase by 10% and fixed cost will rise by 25% and other things remains same.

Note: it is necessary to show complete working

B.E.Sales in units = FC/ CM per unit

Old B.E.Sales in units

= 48000 / 4 = 12000

New B.E.Sales in units

VC is increased by 10% so now per unit VC is Rs.3.3/Unit

FC is increased by 25% so now new FC is Rs.60000

New CM/ Unit = S/unit – VC/Unit

$$= 7 - 3.3$$

$$= 3.7$$

B.E.Sales in units = FC/CM per unit

$$= 60000 / 3.7$$

$$= 16216 \text{ units (rounded to the nearest whole unit)}$$

B.E.Sales in Rs.= 16216 x 7 = 113512 Rs.

VC = Rs.53512

Particulars	Amount in Rupees
Sales	113512
Less VC	53512
Contribution margin	60000
Less FC	60000
Profit	NIL

Question No: 53 (Marks: 5)

G incorporation a manufacturer of skin care products is considering dropping from its line Moisturizing Cream, which is currently losing money. Following information of G incorporation's three products are given below.

	Cleansers & Toners (Rs)	Moisturizing Cream (Rs)	Eye Care Creams (Rs)
Sales revenue	500,000	300,000	400,000
Less: Variable Cost	230,000	200,000	230,000
Contribution margin	270,000	100,000	170,000
Less: Fixed Cost:			
Separable cost	50,000	59,000	40,000
Common cost	106,000	60,000	85,000
Profit (loss)	114,000	(19,000)	45,000

Required: What do you think that G incorporation should discontinue the product line Moisturizing Cream? Support your answer with complete working.

By dropping the moisturizing line results will be as follows

Differential cost statement

	Current Business (Rs)	Shut down (Rs.)	Difference
Sales revenue	300,000	-----	-----
Less: Variable Cost	200,000	-----	-----
Contribution margin	100,000	-----	(100,000)
Less: Fixed Cost:			
Separable cost	59,000	-----	59000
Common cost	60,000	60,000	-----
Profit (loss)	(19,000)	(60,000)	(41,000)

Loss of contribution Margin = (100,000)

Gain from FC = 59,000

Differential Loss = (41,000)

Earlier we were bearing a loss of Rs. 19,000 now its Rs. 60,000 so we should not suffer from this additional loss of Rs. 41,000 and continue with moisturizing range.

Question No: 49 (Marks: 3)

Define the term capacity and volume in budgeting?

Solution:-

Capacity is the fixed capability of machine and plant plus the manpower, which the management is committed to and expect the business to operate.

Volume is the term which explains the best utilization of the existing capacity. This is due to the volume differences why flexible budgets are made.

Question No: 50 (Marks: 3)

Your Company regularly uses material X and currently has in stock 500 Kg for which it paid Rs. 1,500 two weeks ago. If this ever to be sold as raw material, it could be sold today for Rs. 2.00 per Kg. You are aware that the material can be bought in open market for Rs. 3.25 per Kg but it must be purchased in quantities of 1,000 Kg. What would be the relevant cost for material X?

SOLUTION:-

Since the materials have already been purchased therefore the relevant cost would be higher of the following:

current resale value= 2 * 500 = 1000

value they would obtain if put to alternative use = nil

therefore relevant cost of material X is Rs. 1000

Question No: 51 (Marks: 5)

Ali Company produces and sells Amrat Cola to retailers. The Cola is bottled in 2-litter plastic bottles. The estimated budgeted sales for the year 2009 would be Rs. 360,000 and the estimated Profit for the year 2009 would be Rs 10,000.

The Margin of safety Ratio is calculated as 20%.

Required: Breakeven Sales for the year 2009

Solution:-

$$\text{Absolute amount of mos} = 360,000 * 20\% = 72,000$$

$$\text{MOS} = \text{budgeted sales} - \text{break even sales}$$

$$\text{Break even sales} = \text{Budgeted sales} - \text{MOS}$$

$$= 360,000 - 72,000 = 288,000$$

Question No: 52 (Marks: 5)

Golden Company sells its product for Rs. 42 per unit. The company's unit product cost based on the full capacity of 400,000 units is as follows:

Direct materials	Rs. 8
Direct labor	10
Manufacturing overhead	12
Unit product cost	Rs. 30

A special order offering to buy 40,000 units has been received from a foreign distributor. The only selling costs that would be incurred on this order would be Rs. 6 per unit for shipping. The company has sufficient idle capacity to manufacture the additional units. Two-thirds of the manufacturing overhead is fixed and would not be affected by this order. Assume that direct labor is an avoidable cost in this decision. In negotiating a price for the special order, calculate the minimum acceptable selling price per unit?

Solution:-

the minimum price with no profit is rs 30 per unit

direct material, plus direct labour = 18

two third overhead are fixed and one third are variable, this means over head cost of 4 rs per unit is variable, add them with variable cost

then variable cost will be 22

now add selling price per unit, which is rs 6

now 28 rs per unit is the minimum price that company would accept, below this price there will be loss for the company

how ever there would be no profit at this price as well
profit means contribution margin

ok

direct labour = 10 rs

direct material = 8 rs

variable over head = 4 rs

selling cost = 6 rs

total variable cost = $10 + 8 + 4 + 6 = 28$

so 28 is the minimum price to cover the variable cost

thus 28 is the minimum acceptable price

according to cost accounting, minimum price should cover the all variable expenses,

Question No: 53 (Marks: 5)

A Company manufacturers two products A and B. Forecasts for first 7 months is as under:

Month	Sales in Units	
	A	B
January	1,000	2,800
February	1,200	2,800
March	1,610	2,400
April	2,000	2,000
May	2,400	1,600
June	2,400	1,600
July	2,000	1,800

No work in process inventory has been estimated in any moth however finished goods inventory shall be on hand equal to half the sales to the next month, in each month. This is constant practice.

Budgeted production and production costs for the year 1999 will be as follows:

Production units	22,500	24,000
Direct Materials (per unit)	12.5	19

Direct Labor (per unit)	4.5	7
F.O.H. (apportioned)	Rs. 66,000	Rs 96,000

Prepare for the six months period ending June 1999, a production budget for **‘Product B’**

Ans) Units to be produced during first 6 months
 Product B = 12000 Units*

*Half of the annual proposed Production

Production Budget for the period ending June	
	Product B
Cost of Raw Materials	Rs 228,000
Direct Labor	84000
FOH	48000
	360,000
- Beginning Finished Goods	42,000 (1400 x 30)
	318,000
+ Ending Finished Goods	27000 (900 x 30)
Cost of units to produced	345,000
Product B Materials + Labor + FOH 19 + 7 + 4 Rs 30 per unit FOH Rate: 96000/24000 = Rs 4 (product B)	

Question No: 41 (Marks: 5)

Bouch Company has the following data of year 02 given below

Year 02

Sales	Rs. 120/unit
Direct Materials	Rs. 8/unit
Direct labor	Rs. 10/unit
Variable overhead	Rs. 7/unit
Selling & Admin expenses	Rs. 2/unit

Fixed overhead	Rs. 7,500
----------------	-----------

Normal volume of production 250 units per year

Information regarding units as follows

Item	1 st year	2 nd year	3 rd year	4 th year
	units	units	units	units
Opening stock		200	300	300
Production	300	250	200	200
Sales	100	150	200	300

Required: Prepare income statement of year 2 under absorption costing.

Question No: 42 (Marks: 5)

A Company manufactures two products A and B. Forecasts for first 7 months is as under:

Month	Sales in Units	
	A	B
January	1,000	2,800
February	1,200	2,800
March	1,610	2,400
April	2,000	2,000
May	2,400	1,600
June	2,400	1,600
July	2,000	1,800

No work in process inventory has been estimated in any month however finished goods inventory shall be on hand equal to half the sales to the next month, in each month. This is constant practice.

Budgeted production and production costs for the year 1999 will be as follows:

Production units	22,500	24,000
------------------	--------	--------

Direct Materials (per unit)	12.5	19
Direct Labor (per unit)	4.5	7
F.O.H. (apportioned)	Rs. 66,000	Rs 96,000

Prepare for the six months period ending June 1999, a production budget for **‘Product A’**

Question No: 43 (Marks: 10)

The managing director of Parser Limited, a small business, is considering undertaking a one-off contract. She has asked her inexperienced accountant to advise on what costs are likely to be incurred so that she can price at a profit. The following schedule has been prepared:

Costs for special order	Notes	Rs.
Direct wages	1	28,500
Supervisor costs	2	11,500
General overheads	3	4,000
Machine depreciation	4	2,300
Machine overheads	5	18,000
Materials	6	34,000
Total		98,300

Notes

v Direct wages comprise the wages of two employees, particularly skilled in the labor process for this job. They could be transferred from another department to undertake the work on the special order. They are fully occupied in their usual department and sub-contracting staff would have to be brought in to undertake the work left behind.

v Sub-contracting costs would be Rs. 32,000 for the period of the work. Other sub-contractors who are skilled in the special order techniques are also available to work on the special order. The costs associated with this would amount to Rs. 31,300.

v A supervisor would have to work on the special order. The cost of Rs. 11,500 is made up of Rs. 8,000 normal payments plus a Rs. 3,500 additional bonus for working on

the special order. Normal payments refer to the fixed salary of the supervisor. In addition, the supervisor would lose incentive payments in his normal work amounting to Rs. 2,500. It is not anticipated that any replacement costs relating to the supervisors' work on other jobs would arise.

v General overheads comprise an apportionment of Rs. 3,000 plus an estimate of Rs. 1,000 incremental overheads.

Required

Produce a revised costing schedule for the special project based on relevant costing principles. Fully explain and justify each of the costs included in the costing schedule.

Question No: 44 (Marks: 10)

Due to the declining popularity of digital watches, Swiss Company's digital watch line has not reported a profit for several years. An income statement for last year follows:

Segment Income Statement—Digital Watches		
	Rs.	Rs.
Sales.....		500,000
Less variable expenses:		
Variable manufacturing costs.....	120,000	
Variable shipping costs.....	5,000	
	<u>75,000</u>	
Commissions.....		<u>200,000</u>
Contribution margin.....		300,000
Less fixed expenses:		
General factory overhead(1).....	60,000	
Salary of product line manager.....	90,000	
Depreciation of equipment (2).....	50,000	
Product line advertising.....	100,000	
Rent—factory space (3).....	70,000	
	<u>30,000</u>	
General administrative expense (1).....		<u>400,000</u>

Net operating loss.....		(100,000)
----------------------------	--	-----------

- 1) Allocated common costs that would be redistributed to other product lines if digital watches were dropped
- 2) This equipment has no resale value and does not wear out through use
- 3) The digital watches are manufactured in their own facility

Should the company retain or drop the digital watch line?

Question No: 45 (Marks: 10)

Production component	Rates	Per unit Rate
Direct material	2.5 lbs @ Rs. 4.00	Rs. 10.00
Direct Labor	.5 hr @ Rs. 16.00	Rs. 8.00
VOH	.5 hr @ Rs. 4.00	Rs. 2.00
Fixed FOH	Rs. 40,000	Rs. 2.50
Actual Output	16,000 units	
Variable S&A	Rs. 6.00 per unit	
Fixed S&A	Rs. 60,000	
Selling price	Rs. 40	

Assume sales of 12,000 units.

Question No: 54 (Marks: 10)

Ali and Co. has sales of Rs. 50,000 in March and Rs. 60,000 in April. Forecasted sales for May, June and July are Rs. 70,000, Rs. 80,000 and 100,000 respectively. The firm has a cash balance of Rs. 5,000 on May 01 and wishes to maintain a minimum cash balance of Rs. 5,000. Given the following data, prepare a cash budget for the month of May, June and July.

1. The firm makes 20% of sales for cash, 60% are collected in the next month and the remaining 20% are collected in the second month following the sale.
2. The firm receives other income of Rs. 2,000 per month.
3. The firm's actual or expected purchases, all made for cash, are Rs. 50,000, Rs. 70,000 and Rs. 80,000 for the months of May through July, respectively.
4. Rent is Rs. 3,000 per month.

5. Wages and salaries are 10% of the previous month's sales.
6. Cash dividends of Rs. 3,000 will be paid in June.
7. Payment of principal and interest of Rs. 4,000 is due in June.
8. A cash purchase of equipment costing Rs. 6,000 is scheduled in July.
9. Taxes of Rs. 6,000 are due in June.

Cash budget for the month of May

Opening balance of cash	Rs. 5,000
Add: receipts	62000
Total amount of cash	67000
Less: payments	(59000)
Closing balance of cash	8000

Receipts = cash sales+ Previous month sales + Previous last 2 months sales + receives other income

$$= 14000 + 36000 + 10000 + 2000 = 62000$$

$$\text{Rs. } 70000 * 20\% = 14000$$

$$\text{Previous month sales} = 60000 * 60/100 = 36000$$

$$\text{Previous last 2 months sales} = 50000 * 20/100 = 10000$$

1. Payments = purchases + Rent + Wages and salaries 10% of the previous month's sales

$$= 50000 + 3,000 + 10\% * 60000 = 59000$$

Cash budget for the month of June

Cash budget for the month of May

Opening balance of cash	Rs. 5,000
Add: receipts	76000
Total amount of cash	81000
Less: payments	(90000)
Closing balance of cash	(9000)

Receipts = cash sales+ Previous month sales + Previous last 2 months sales + receives other income

$$= 14000 + 48000 + 12000 + 2000 = 76000$$

$$= 70000 * 20/100 = 14000$$

$$\text{Previous month sales} = 80000 * 60/100 = 48000$$

$$\text{Previous last 2 months sales} = 60000 * 20/100 = 12000$$

2. Payments = purchases + Rent + Wages and salaries 10% of the previous month's

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sales + Payment of principal and interest + Taxes
 $70000 + 3000 + 7000 + 4000 + 6000 = 90000$

Cash budget for the month of July

Opening balance of cash	Rs. 5,000
Add: receipts	92000

Total amount of cash	97000
Less: payments	(97000)
Closing balance of cash	0

Receipts = cash sales+ Previous month sales + Previous last 2 months sales + receives other income
 $= 60000 + 14000 + 16000 + 2000 = 92000$

$100000 \times 60/100 = 60000$

$70000 \times 20/100 = 14000$

$80000 \times 20/100 = 16000$

Payments = purchases + Rent + Wages and salaries 10% of the previous month's sales + cash purchase of equipment
 $= 80000 + 3000 + 8000 + 6000 = 97000$

Question No: 45 (Marks: 10)

The manufacturing Company estimates its factory overhead to be as follows:

Fixed expense per month	Rs.	Variable rate (Rs.) per direct labor hour
Indirect material	2,000	
Indirect Labor	900	0.2
maintenance	1200	0.3
Heat and Light	300	
Power	200	0.55
Insurance	270	
Taxes	600	
Payroll Taxes	0	0.10
Depreciation	1,350	

Assuming that the direct labor hours for January, February and March are 2,640, 4,740 and 2,370 hours respectively.

Required:

Prepare factory overhead budget for the first quarter.

FOH Budget for the period January to March

Items	Rupees
Indirect material	$2000 \times 3 = 6000$
Indirect labour	$900 \times 0.2 \times 2640 + 900 \times 0.2 \times 4740 + 900 \times 0.2 \times 2370 =$

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	1755000
Maintenance	$1200 \times 0.3 \times 2640 + 1200 \times 0.3 \times 4740 + 1200 \times 0.3 \times 2370$ = 35100000
Heat and light	$300 \times 3 = 900$
Power	$200 \times 0.55 \times 2640 + 200 \times 0.55 \times 4740 + 200 \times 0.55 \times 2370$ = 1072500
Insurance	$270 \times 3 = 810$
Taxes	$600 \times 3 = 1800$
Payroll taxes	0
Depreciation	$1350 \times 3 = 4050$
Total	3794106

Question No: 49 (Marks: 3)

A study has been conducted to determine if one of the departments of Mead Company should be discontinued. The contribution margin in the department is Rs. 150,000 per year. Fixed expenses charged to the department are Rs. 195,000 per year. It is estimated that Rs. 120,000 of these fixed expenses could be eliminated if the department is discontinued. Will it be favorable to discontinue department operations? Support your answer with suitable working.

Solution:

	Old		New
Contribution Margin	= 150 000		-----
Fixed Expense	= (195 000)	-120000	(75000)
Loss / profit:	=(45000)		(75000)

It will be favorable to discontinue department operations.

Question No: 50 (Marks: 3)

The following information is available for Atlas Corporation to prepare a cash budget for the month of September:

- Cash on hand beginning of September Rs. 16,000
- Expected receipts in September Rs. 272,000
- Sales salaries paid Rs. 62,000
- Material purchases (all in cash) Rs. 190,000
- Depreciation Rs. 44,000

Required: Calculate ending cash balance in September. Also show complete working.

Solution:-

Atlas Corporation
Cash Budget
For the month of Sep...

Particulars	Amount in Rs.
Opening Balance	16000
Add: Receipts	272000
Total 1	288000
Less: Payments	
Sales Salaries	62000
Material Purchases	190000
Total 2	252000
C/S	
Total 1- Total 2	36000
Bank O/D	NIL

Question No: 51 (Marks: 5)

The Carter Manufacturing Company estimates its production requirements to be 30,000 units for October, 38,000 units for November and 41,000 units for December. It takes 3 direct labor hours at a rate of Rs. 3 per hour to complete one unit.

Prepare direct Labor budget cost for the last quarter of the year.

Solution:-

Particulars	OCT	NOV	DEC
Hrs/Unit	3	3	3
Units to be manufactured	30000	38000	41000
Hrs to manufacture req. units	90000	114000	123000
Cost per Hr. in Rs.	3	3	3
Cost of manufacturing req. units (Rs)	270000	342000	369000
Total labor cost of the quarter	Rs.981000		

Question No: 52 (Marks: 5)

Data concerning P Co's single product is as follows:

	Rs./unit
Selling price	7.00
Variable cost	3.00
Fixed production cost	4.00
Fixed selling cost	1.00

Budgeted production and sales for the year are 12,000 units.

Required: What will be the company's new Break Even point, to the nearest whole unit if it is expected that the variable production cost per unit will each increase by 10% and fixed cost will rise by 25% and other things remains same.

Note: it is necessary to show complete working

B.E.Sales in units = FC/ CM per unit

Old B.E.Sales in units

$$= 48000 / 4 = 12000$$

New B.E.Sales in units

VC is increased by 10% so now per unit VC is Rs.3.3/Unit

FC is increased by 25% so now new FC is Rs.60000

New CM/ Unit = S/unit – VC/Unit

$$= 7 - 3.3$$

$$= 3.7$$

B.E.Sales in units = FC/CM per unit

$$= 60000 / 3.7$$

$$= 16216 \text{ units (rounded to the nearest whole unit)}$$

B.E.Sales in Rs.= 16216 x 7 = 113512 Rs.

VC = Rs.53512

Particulars	Amount in Rupees
Sales	113512
Less VC	53512
Contribution margin	60000
Less FC	60000
Profit	NIL

Question No: 53 (Marks: 5)

G incorporation a manufacturer of skin care products is considering dropping from its line Moisturizing Cream, which is currently losing money. Following information of G incorporation's three products are given below.

	Cleansers & Toners (Rs)	Moisturizing Cream (Rs)	Eye Care Creams (Rs)
Sales revenue	500,000	300,000	400,000
Less: Variable Cost	230,000	200,000	230,000
Contribution margin	270,000	100,000	170,000
Less: Fixed Cost:			
Separable cost	50,000	59,000	40,000
Common cost	106,000	60,000	85,000
Profit (loss)	114,000	(19,000)	45,000

Required: What do you think that G incorporation should discontinue the product line Moisturizing Cream? Support your answer with complete working.

By dropping the moisturizing line results will be as follows

Differential cost statement

	Current Business (Rs)	Shut down (Rs.)	Difference
Sales revenue	300,000	-----	-----
Less: Variable Cost	200,000	-----	-----
Contribution margin	100,000	-----	(100,000)
Less: Fixed Cost:			
Separable cost	59,000	-----	59000
Common cost	60,000	60,000	-----
Profit (loss)	(19,000)	(60,000)	(41,000)

Loss of contribution Margin = (100,000)

Gain from FC = 59,000

Differential Loss = (41,000)

Earlier we were bearing a loss of Rs. 19,000 now its Rs. 60,000 so we should not suffer from this additional loss of Rs. 41,000 and continue with moisturizing range.

Question No: 49 (Marks: 3)

A company is considering publishing a limited edition book bound in special leather. It has in stock the leather bought some years ago for Rs. 1,000. To buy an equivalent quantity now would cost Rs. 2,000. The company has no plans to use the leather for other purposes, although it has considered the possibilities:

- v Of using it to cover desk furnishings, in replacement for other material which could cost Rs. 900
- v Of selling it if a buyer could be found (the proceeds are unlikely to exceed Rs. 800).

Solution:-

In calculating the likely profit from the proposed book before deciding to go ahead with the project, the leather would not be costed at Rs. 1000. The cost was incurred in the past for some reason which is no longer relevant. The leather exists and could be used on the book without incurring any specific cost in doing so. In using the leather on the book, however, the company will lose the opportunities of either disposing of it for Rs. 800 or of using it to save an outlay of Rs. 900 on desk furnishings.

The better of these alternatives, from the point of view of benefiting from the leather, is the latter. "lost opportunity" cost of Rs 900 will there for be included in the cost of the books for decision making purposes

Also visit

<http://www.scribd.com/doc/30800321/cost-accounting-5>

Question No: 50 (Marks: 3)

Following information is available for preparing the Direct Labour Cost Budget:

- No. of workers required = 10 workers
- Work performance = 160 hours
- Rate = Rs. 40 per hour

Required:

Calculate the estimated amount of direct labour cost to produce 2,400 units based on the above information.

Solution:-

worker (160 hrs @ Rs 40)= Rs 6,400 x 10 workers = 64,000

Question No: 51 (Marks: 5)

Production component	Rates	Per unit Rate
Direct material	2.5 lbs @ Rs. 4.00	Rs. 10.00
Direct Labor	.5 hr @ Rs. 16.00	Rs. 8.00
VOH	.5 hr @ Rs. 4.00	Rs. 2.00
Fixed FOH	Rs. 40,000	Rs. 2.50
Actual Output	16,000 units	
Variable S&A	Rs. 6.00 per unit	
Fixed S&A	Rs. 60,000	
Selling price	Rs. 40	

Assume sales of 18,000 units.

Required: What is the profit under marginal costing method?

ANSWER:-

INCOME STATEMENT

MARGINAL COSTING

FOR THE PERIOD ENDED....

PARTICULARS	AMOUNT IN Rs.	AMOUNT IN Rs.
Sales 18000*40		720,000
CGS:		
Opening inventory NOTE 1 2000*20	40,000	
Cost of goods manufactured 16000 * 20	320,000	
Closing inventory	-	(360,000)
GROSS CM		360,000
Less variable period cost: selling n admin exp 18000*6		(108,000)
NET CM		252,000
Less fixed period cost		
Manufacturing OH	40,000	
Selling n admin OH	60,000	(100,000)
NET PROFIT		<u>152,000</u>

NOTE 1 = Since production is 16000 & sales is 18000, so there must be 2000units lying in opening inventory

Per unit product cost= material + labor +variable OH
 =10 +8+ 2 = 20

Question No: 52 (Marks: 5)

Hussain Corporation annually produces 10,000 units of assembly part number 206. An outside supplier has offered to manufacture the part at Rs. 9 per unit. If Hussain Corporation decides to buy the part, they will be able to rent the existing area for Rs. 8,000 per year. Listed below are Hussain's total costs to produce part 206:

	Rs.	Total (Rs.)
Direct material	2.50	25,000
Direct Labor	4.00	40,000
Variable overhead	2.25	22,500
Fixed Overhead	0.75	7,500
Total	9.50	95,000

Assuming that no additional costs are incurred in purchasing the part, what should be the opportunity cost for Hussain Corporation if it will buy? Support your answer with computations.

VC of making = 8.75 / unit

VC of buying = 9 / unit

Extra cost of buying = 0.5 / unit

Particulars	Amount/Qty
--------------------	-------------------

Units to be made annually	10000units
Extra cost of buying	Rs.5000
Savings from Rent annually	Rs.8000
Available benefit	Rs.3000

Question No: 53 (Marks: 5)

Classify the following expenses as **Financial or Administrative expense** by filling the appropriate boxes?

Expenses	Nature of expense
Salaries of employee	
Interest paid on debts	
Utility Bills	
Depreciation of office equipment	
Interest paid on debentures	

Solution:

Expenses	Nature of expense
Salaries of employee	Admin
Interest paid on debts	Financial
Utility Bills	Admin
Depreciation of office equipment	Admin
Interest paid on debentures	Financial

Question No: 49 (Marks: 3)

Nomi Limited budgets to make 4,000 units of product X and estimates that the standard material cost per unit will be Rs. 6. In fact 3,800 units are produced at a material cost of Rs. 24,700. For the purpose of budgetary control, what will be the actual and budgeted figure of material cost?

Solution:-

Price of the material according to budgeted cost/ unit
 = 3800 units x Rs.6 / unit
 = 22,800 Rs

Price of the material according to the actual cost/ unit
 = 3800 units x Rs.6.5/ unit
 = 24700 Rs

Variance = budgeted – actual
 = 22,800 – 24,700
 = (1900) unfavorable balance

Question No: 50 (Marks: 3)

What is a principle budget factor?

Solution:-

Some factor like labor or material which are short in supply.

This could be because of shortage of material, staff hours, machine capacity even money.

It is the factor which ultimately decides the activity level planned. Like a company wanted to produce 100,000 pieces of computer but skilled labor available is able to produce only.

So labor is principle budget factor in this case.

Question No: 51 (Marks: 5)

Hussain Corporation annually produces 10,000 units of assembly part number 206. An outside supplier has offered to manufacture the part at Rs. 9 per unit. If Hussain Corporation decides to buy the part, they will be able to rent the existing area for Rs. 8,000 per year. Listed below are Hussain's total costs to produce part 206:

	Rs.	Total (Rs.)
Direct material	2.50	25,000
Direct Labor	4.00	40,000
Variable overhead	2.25	22,500
Fixed Overhead	0.75	7,500
Total	9.50	95,000

Assuming that no additional costs are incurred in purchasing the part, what should be the opportunity cost for Hussain Corporation if it will buy? Support your answer with computations.

Solution

VC of making = 8.75 / unit

VC of buying = 9 / unit

Extra cost of buying = 0.5 / unit

Particulars	Amount/Qty
Units to be made annually	10000units
Extra cost of buying	Rs.5000
Savings from Rent annually	Rs.8000
Available benefit	Rs.3000

Question No: 52 (Marks: 5)

Classify the following expenses as **Financial or Administrative expense** by filling the appropriate boxes?

Expenses	Nature of expense
Salaries of employee	?
Interest paid on debts	?
Utility Bills	?
Depreciation of office equipment	?
Interest paid on debentures	?

Solution:-

Expenses	Nature of expense
Salaries of employee	Admin
Interest paid on debts	Financial
Utility Bills	Admin
Depreciation of office equipment	Admin
Interest paid on debentures	Financial

Question No: 53 (Marks: 5)

Data concerning P Co's single product is as follows:

	Rs./unit
Selling price	7.00
Variable cost	3.00
Fixed production cost	4.00
Fixed selling cost	1.00

Budgeted production and sales for the year are 12,000 units.

Required: What will be the company's new Break Even point, to the nearest whole unit if it is expected that the variable production cost per unit will each increase by 10% and fixed cost will rise by 25% and other things remains same.

Note: it is necessary to show complete working

Solution

B.E.Sales in units = FC/ CM per unit

Old B.E.Sales in units
= 48000 / 4 = 12000

New B.E.Sales in units

VC is increased by 10% so now per unit VC is Rs.3.3/Unit

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FC is increased by 25% so now new FC is Rs.60000

New CM/ Unit = S/unit – VC/Unit

$$= 7 - 3.3$$

$$= 3.7$$

B.E.Sales in units = FC/CM per unit

$$= 60000 / 3.7$$

$$= 16216 \text{ units (rounded to the nearest whole unit)}$$

B.E.Sales in Rs. = 16216 x 7 = 113512 Rs.

VC = Rs.53512

Particulars	Amount in Rupees
Sales	113512
Less VC	53512
Contribution margin	60000
Less FC	60000
Profit	NIL

Question No: 49 (Marks: 3)

Product "A" has a contribution of Rs. 8 per unit; a contribution margin ratio is 50% and requires 4 machine hours to produce. Product "B" has a contribution of Rs. 12 per unit; a contribution margin ratio is 40% and requires 5 machine hours to produce. If the constraint is machine hours to produce, then which one of the both product a company should produce and sell? Support your answer with suitable workings.

Solution:-

Here Machine hours are the limiting factor so CM will be taken per limiting factor to determine which product to be made.

Sales = $\frac{CM}{C/S \text{ ratio}}$

C/S ratio

$$\text{Sales A} = 8 / 0.5 = 16$$

$$\text{sales B} = 12 / 0.4 = 30$$

Particulars	Product A	Product B
Sales/unit	Rs16	30
VC/unit	8	18
CM/unit	8	12
Hrs req. / unit	4hrs	5hrs
CM / Limiting factor	$8/4 = 2$	$12/5 = 2.4$

So the product with the maximum CM/ limiting factor should ideally be made to get the max benefit.

Question No: 50 (Marks: 3)

Define the term capacity and volume in budgeting?

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Solution:-

Capacity is the fixed capability of machine and plant plus the manpower, which the management is committed to and expect the business to operate.

Volume is the term which explains the best utilization of the existing capacity. This is due to the volume differences why flexible budgets are made.

Question No: 51 (Marks: 5)

An automobile manufacturing company anticipates the following unit sales during the first four months of 2008.

January	20000
February	30000
March	25000
April	40000

The company maintains its ending finished goods inventory at 70% of the following month's sale. The January 1 finished goods inventory will be 14000 units.

Required: Prepare a production budget for January through March

Solution:-

PRODUCTION BUDGET
For the months Jan- Mar 2008

	JAN	FEB	MAR
Units to be sold	20000	30000	25000
Add: C/S units	14000	21000	17500
Units available to be sold	34000	51000	42500
Less: O/S units	(14000)	(14000)	(21000)
Units to be produced	20000	37000	21500

Question No: 52 (Marks: 5)

Golden Company sells its product for Rs. 42 per unit. The company's unit product cost based on the full capacity of 400,000 units is as follows:

Direct materials	Rs. 8
Direct labor	10
Manufacturing overhead	12

Unit product cost	Rs. 30
-------------------	--------

A special order offering to buy 40,000 units has been received from a foreign distributor. The only selling costs that would be incurred on this order would be Rs. 6 per unit for shipping. The company has sufficient idle capacity to manufacture the additional units. Two-thirds of the manufacturing overhead is fixed and would not be affected by this order. Assume that direct labor is an avoidable cost in this decision. In negotiating a price for the special order, calculate the minimum acceptable selling price per unit?

Solution:-

the minimum price with no profit is rs 30 per unit

direct material, plus direct labour = 18

two third overhead are fixed and one third are variable, this means over head cost of 4 rs per unit is variable, add them with variable cost

then variable cost will be 22

now add selling price per unit, which is rs 6

now 28 rs per unit is the minimum price that company would accept, below this price there will be loss for the company

how ever there would be no profit at this price as well

profit means contribution margin

ok

direct labour = 10 rs

direct material = 8 rs

variable over head = 4 rs

selling cost = 6 rs

total variable cost = $10 + 8 + 4 + 6 = 28$

so 28 is the minimum price to cover the variable cost

thus 28 is the minimum acceptable price

according to cost accounting, minimum price should cover the all variable expenses,

Question No: 53 (Marks: 5)

Data concerning P Co's single product is as follows:

	Rs./unit
Selling price	7.00
Variable cost	3.00
Fixed production cost	4.00
Fixed selling cost	1.00

Budgeted production and sales for the year are 12,000 units.

Required: What will be the company's new Break Even point, to the nearest whole unit if it is expected that the variable production cost per unit will each increase by 10% and fixed cost will rise by 25% and other things remains same.

Note: it is necessary to show complete working

B.E.Sales in units = FC/ CM per unit

Old B.E.Sales in units

$$= 48000 / 4 = 12000$$

New B.E.Sales in units

VC is increased by 10% so now per unit VC is Rs.3.3/Unit

FC is increased by 25% so now new FC is Rs.60000

New CM/ Unit = S/unit – VC/Unit

$$= 7 - 3.3$$

$$= 3.7$$

B.E.Sales in units = FC/CM per unit

$$= 60000 / 3.7$$

$$= 16216 \text{ units (rounded to the nearest whole unit)}$$

B.E.Sales in Rs.= 16216 x 7 = 113512 Rs.

VC = Rs.53512

Particulars	Amount in Rupees
Sales	113512
Less VC	53512
Contribution margin	60000
Less FC	60000
Profit	NIL

Question No: 50 (Marks: 3)

If:

- Company's sales forecast for 3rd quarter, ending September 30, was 54,300 units.
- The beginning inventory was 13,000 units.
- Ending inventory was 12,200 units.

Then:

Prepare production budget for 3rd quarter?

Production Budget for 3rd quarter ending September 30

Sales forecast = 54,300

Add Ending Inventory	= 12,200
Total Need	= 66,500
Less: Beginning inventory	= 13,000
Required Production	= 53,500

Question No: 51 (Marks: 5)

Garrett Company sells hand-crafted furniture. One item it sells is a small table that sells for Rs. 30 per unit. The variable costs related to the table, including product and shipping costs, are Rs. 18 per unit. Total fixed costs for the company are Rs. 60,000. Assume the tables are the only product the company sells this year and **draw a CVP graph** to represent the company's sales and expenses. From this graph, compute the approximate breakeven point in rupees and units.

Sale Price	= 30
Variable cost	= 18
Contribution margin	= 12
Break even in unit	= $60,000 / 12 = 5000$
Break even in rupees	= $5000 \times 30 = 150,000$

Question No: 52 (Marks: 5)

A Company manufactures two products A and B. Forecasts for first 7 months is as under:

Month	Sales in Units	
	A	B
January	1,000	2,800
February	1,200	2,800
March	1,610	2,400
April	2,000	2,000
May	2,400	1,600
June	2,400	1,600
July	2,000	1,800

No work in process inventory has been estimated in any month however finished goods inventory shall be on hand equal to half the sales to the next month, in each month. This is constant practice.

Budgeted production and production costs for the year 1999 will be as follows:

Production units	22,500	24,000
------------------	--------	--------

Direct Materials (per unit)	12.5	19
Direct Labor (per unit)	4.5	7
F.O.H. (apportioned)	Rs. 66,000	Rs 96,000

Prepare for the six months period ending June 1999, a production budget for **‘Product A’**

	January	February	March	April	May	June
Budgeted sales in units	1000	1200	1610	2000	2400	2400
Ending inventory	600	805	1000	1200	1200	1000
Total need	1600	2005	2610	3200	3600	3400
Opening Inv	600	600	805	1000	1200	1200
Required Production	1000	1405	1805	2200	2400	2200

Budgeted Production = 1000+1405+1805+2200+2400+2200 = 11010

Direct Material = 11010 x 12.50 = 137,625

Direct labor = 11010 x 4.50 = 49545

FOH = [66000 / 22500] 11010 x 2.9333 = 32296

Production Budget Cost = 137625+49545+32296 = 219466

Question No: 53 (Marks: 5)

Golden Company sells its product for Rs. 40 per unit. The company's unit product cost based on the full capacity of 600,000 units is as follows:

Direct materials	Rs. 10
Direct labor	15
Manufacturing overhead	12
Unit product cost	Rs. 37

A special order offering to buy 50,000 units has been received from a foreign distributor. The only selling costs that would be incurred on this order would be Rs. 10 per unit for shipping. The company has sufficient idle capacity to manufacture the additional units.

Two-thirds of the manufacturing overhead is fixed and would not be affected by this order. Assume that direct labor is an avoidable cost in this decision. In negotiating a price for the special order, what is the minimum acceptable selling price per unit?

direct labor = 10
direct material = 8
variable over head = 4
selling cost = 6

total variable cost = $10 + 8 + 4 + 6 = 28$
so 28 is the minimum price to cover the variable cost
thus 28 is the minimum acceptable price

Question No: 49 (Marks: 3)

Define the term capacity and volume in budgeting?

Solution:-

Capacity is the fixed capability of machine and plant plus the manpower, which the management is committed to and expect the business to operate.

Volume is the term which explains the best utilization of the existing capacity. This is due to the volume differences why flexible budgets are made.

Question No: 50 (Marks: 3)

Your Company regularly uses material X and currently has in stock 500 Kg for which it paid Rs. 1,500 two weeks ago. If this ever to be sold as raw material, it could be sold today for Rs. 2.00 per Kg. You are aware that the material can be bought in open market for Rs. 3.25 per Kg but it must be purchased in quantities of 1,000 Kg. What would be the relevant cost for material X?

SOLUTION:-

AS this is regular used item case

So,

Replacement cost= Relevant cost

Replacement Cost= $\text{Rs.}3.25 \times \text{Rs.}1000$

Relevant Cost= Replacement Cost= Rs.3250

Question No: 51 (Marks: 5)

Ali Company produces and sells Amrat Cola to retailers. The Cola is bottled in 2-liter plastic bottles. The estimated budgeted sales for the year 2009 would be Rs. 360,000 and the estimated Profit for the year 2009 would be Rs 10,000.

The Margin of safety Ratio is calculated as 20%.

Required: Breakeven Sales for the year 2009

Solution:-

$$\text{Absolute amount of mos} = 360,000 * 20\% = 72,000$$

$$\text{MOS} = \text{budgeted sales} - \text{break even sales}$$

$$\text{Break even sales} = \text{Budgeted sales} - \text{MOS}$$

$$= 360,000 - 72,000 = 288,000$$

Question No: 52 (Marks: 5)

Golden Company sells its product for Rs. 42 per unit. The company's unit product cost based on the full capacity of 400,000 units is as follows:

Direct materials	Rs. 8
Direct labor	10
Manufacturing overhead	12
Unit product cost	Rs. 30

A special order offering to buy 40,000 units has been received from a foreign distributor. The only selling costs that would be incurred on this order would be Rs. 6 per unit for shipping. The company has sufficient idle capacity to manufacture the additional units. Two-thirds of the manufacturing overhead is fixed and would not be affected by this order. Assume that direct labor is an avoidable cost in this decision. In negotiating a price for the special order, calculate the minimum acceptable selling price per unit?

Solution:-

the minimum price with no profit is rs 30 per unit

direct material, plus direct labour = 18

two third overhead are fixed and one third are variable, this means over head cost of 4 rs per unit is variable, add them with variable cost

then variable cost will be 22

now add selling price per unit, which is rs 6

now 28 rs per unit is the minimum price that company would accept, below this price there will be loss for the company

how ever there would be no profit at this price as well
profit means contribution margin

ok

direct labour = 10 rs

direct material = 8 rs

variable over head = 4 rs

selling cost = 6 rs

total variable cost = $10 + 8 + 4 + 6 = 28$

so 28 is the minimum price to cover the variable cost

thus 28 is the minimum acceptable price

according to cost accounting, minimum price should cover the all variable expenses,

Question No: 53 (Marks: 5)

A Company manufacturers two products A and B. Forecasts for first 7 months is as under:

Month	Sales in Units	
	A	B
January	1,000	2,800
February	1,200	2,800
March	1,610	2,400
April	2,000	2,000
May	2,400	1,600
June	2,400	1,600
July	2,000	1,800

No work in process inventory has been estimated in any moth however finished goods inventory shall be on hand equal to half the sales to the next month, in each month. This is constant practice.

Budgeted production and production costs for the year 1999 will be as follows:

Production units	22,500	24,000
Direct Materials (per unit)	12.5	19
Direct Labor (per unit)	4.5	7
F.O.H. (apportioned)	Rs. 66,000	Rs 96,000

Prepare for the six months period ending June 1999, a production budget for **‘Product B’**

January	February	March	April	May	June	
Budgeted sales in units	2800	2800	2400	2000	1600	1600
Ending inventory	1400	1200	1000	800	800	900
Total need	4200	4000	3400	2800	2400	2500
Opening Inv	1400	1400	1200	1000	800	800
Required Production	2800	2600	2200	1800	1600	1700

Budgeted Production = 2800+2600+2200+1800+1600+1700=12700

Direct Material = 12700 x 19 = 241,300

Direct labor = 12700 x 7 = 88900

FOH = [96000/24000] 12700 X 4 = 50800

Budgeted Production Cost = 241300 + 88900 + 50800 = 381,000

Question No: 49 (Marks: 3)

Product "A" has a contribution of Rs. 8 per unit; a contribution margin ratio is 50% and requires 4 machine hours to produce. Product "B" has a contribution of Rs. 12 per unit; a contribution margin ratio is 40% and requires 5 machine hours to produce. If the constraint is machine hours to produce, then which one of the both product a company should produce and sell? Support your answer with suitable workings.

Solution:-

Here Machine hours are the limiting factor so CM will be taken per limiting factor to determine which product to be made.

Sales= $\frac{CM}{C/S \text{ ratio}}$

Sales A= $8 / 0.5 = 16$

sales B = $12 / 0.4 = 30$

Particulars	Product A	Product B
Sales/unit	Rs16	30
VC/unit	8	18
CM/unit	8	12
Hrs req. / unit	4hrs	5hrs
CM / Limiting factor	$8/4 = 2$	$12/5 = 2.4$

So the product with the maximum CM/ limiting factor should ideally be made to get the

max benefit.

Question No: 50 (Marks: 3)

Define the term capacity and volume in budgeting?

Solution:-

Capacity is the fixed capability of machine and plant plus the manpower, which the management is committed to and expect the business to operate.

Volume is the term which explains the best utilization of the existing capacity. This is due to the volume differences why flexible budgets are made.

Question No: 51 (Marks: 5)

An automobile manufacturing company anticipates the following unit sales during the first four months of 2008.

January	20000
February	30000
March	25000
April	40000

The company maintains its ending finished goods inventory at 70% of the following month's sale. The january1 finished goods inventory will be 14000 units.

Required: Prepare a production budget for January through March

Solution:-

PRODUCTION BUDGET
For the months Jan- Mar 2008

	JAN	FEB	MAR
Units to be sold	20000	30000	25000
Add: C/S units	14000	21000	17500
Units available to be sold	34000	51000	42500
Less: O/S units	(14000)	(14000)	(21000)
Units to be produced	20000	37000	21500

Question No: 52 (Marks: 5)

Golden Company sells its product for Rs. 42 per unit. The company's unit product cost based on the full capacity of 400,000 units is as follows:

Direct materials	Rs. 8
Direct labor	10
Manufacturing overhead	12
Unit product cost	Rs. 30

A special order offering to buy 40,000 units has been received from a foreign distributor. The only selling costs that would be incurred on this order would be Rs. 6 per unit for shipping. The company has sufficient idle capacity to manufacture the additional units. Two-thirds of the manufacturing overhead is fixed and would not be affected by this order. Assume that direct labor is an avoidable cost in this decision. In negotiating a price for the special order, calculate the minimum acceptable selling price per unit?

Solution:-

the minimum price with no profit is rs 30 per unit

direct material, plus direct labour = 18

two third overhead are fixed and one third are variable, this means over head cost of 4 rs per unit is variable, add them with variable cost

then variable cost will be 22

now add selling price per unit, which is rs 6

now 28 rs per unit is the minimum price that company would accept, below this price there will be loss for the company

how ever there would be no profit at this price as well

profit means contribution margin

ok

direct labour = 10 rs

direct material = 8 rs

variable over head = 4 rs

selling cost = 6 rs

total variable cost = $10 + 8 + 4 + 6 = 28$

so 28 is the minimum price to cover the variable cost

thus 28 is the minimum acceptable price

according to cost accounting, minimum price should cover the all variable expenses,

Question No: 53 (Marks: 5)

Data concerning P Co's single product is as follows:

	Rs./unit
Selling price	7.00
Variable cost	3.00
Fixed production cost	4.00
Fixed selling cost	1.00

Budgeted production and sales for the year are 12,000 units.

Required: What will be the company's new Break Even point, to the nearest whole unit if it is expected that the variable production cost per unit will each increase by 10% and fixed cost will rise by 25% and other things remains same.

Note: it is necessary to show complete working

B.E.Sales in units = FC/ CM per unit

Old B.E.Sales in units

$$= 48000 / 4 = 12000$$

New B.E.Sales in units

VC is increased by 10% so now per unit VC is Rs.3.3/Unit

FC is increased by 25% so now new FC is Rs.60000

New CM/ Unit = S/unit – VC/Unit

$$= 7 - 3.3$$

$$= 3.7$$

B.E.Sales in units = FC/CM per unit

$$= 60000 / 3.7$$

$$= 16216 \text{ units (rounded to the nearest whole unit)}$$

B.E.Sales in Rs.= 16216 x 7 = 113512 Rs.

VC = Rs.53512

Particulars	Amount in Rupees
Sales	113512
Less VC	53512
Contribution margin	60000
Less FC	60000
Profit	NIL

Question No: 49 (Marks: 3)

Define the term capacity and volume in budgeting?

Solution:-

Capacity is the fixed capability of machine and plant plus the manpower, which the management is committed to and expect the business to operate.

Volume is the term which explains the best utilization of the existing capacity. This is due to the volume differences why flexible budgets are made.

Question No: 50 (Marks: 3)

Your Company regularly uses material X and currently has in stock 500 Kg for which it paid Rs. 1,500 two weeks ago. If this ever to be sold as raw material, it could be sold today for Rs. 2.00 per Kg. You are aware that the material can be bought in open market for Rs. 3.25 per Kg but it must be purchased in quantities of 1,000 Kg. What would be the relevant cost for material X?

SOLUTION:-

Since the materials have already been purchased therefore the relevant cost would be higher of the following:

current resale value = $2 * 500 = 1000$

value they would obtain if put to alternative use = nil

therefore relevant cost of material X is Rs. 1000

Question No: 51 (Marks: 5)

Ali Company produces and sells Amrat Cola to retailers. The Cola is bottled in 2-litter plastic bottles. The estimated budgeted sales for the year 2009 would be Rs. 360,000 and the estimated Profit for the year 2009 would be Rs 10,000.

The Margin of safety Ratio is calculated as 20%.

Required: Breakeven Sales for the year 2009

Solution:-

Absolute amount of mos = $360,000 * 20\% = 72,000$

MOS = budgeted sales – break even sales

Break even sales = Budgeted sales – MOS

= $360,000 - 72,000 = 288,000$

Question No: 52 (Marks: 5)

Golden Company sells its product for Rs. 42 per unit. The company's unit product cost based on the full capacity of 400,000 units is as follows:

Direct materials	Rs. 8
Direct labor	10
Manufacturing overhead	12
Unit product cost	Rs. 30

A special order offering to buy 40,000 units has been received from a foreign distributor. The only selling costs that would be incurred on this order would be Rs. 6 per unit for shipping. The company has sufficient idle capacity to manufacture the additional units. Two-thirds of the manufacturing overhead is fixed and would not be affected by this order. Assume that direct labor is an avoidable cost in this decision. In negotiating a price for the special order, calculate the minimum acceptable selling price per unit?

Solution:-

the minimum price with no profit is rs 30 per unit

direct material, plus direct labour = 18

two third overhead are fixed and one third are variable, this means over head cost of 4 rs per unit is variable, add them with variable cost

then variable cost will be 22

now add selling price per unit, which is rs 6

now 28 rs per unit is the minimum price that company would accept, below this price there will be loss for the company

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profit means contribution margin

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direct labour = 10 rs

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total variable cost = $10 + 8 + 4 + 6 = 28$

so 28 is the minimum price to cover the variable cost

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according to cost accounting, minimum price should cover the all variable expenses,

Question No: 53 (Marks: 5)

A Company manufactures two products A and B. Forecasts for first 7 months is as under:

Month	Sales in Units	
	A	B
January	1,000	2,800
February	1,200	2,800
March	1,610	2,400
April	2,000	2,000
May	2,400	1,600
June	2,400	1,600
July	2,000	1,800

No work in process inventory has been estimated in any month however finished goods inventory shall be on hand equal to half the sales to the next month, in each month. This is constant practice.

Budgeted production and production costs for the year 1999 will be as follows:

Production units	22,500	24,000
Direct Materials (per unit)	12.5	19
Direct Labor (per unit)	4.5	7
F.O.H. (apportioned)	Rs. 66,000	Rs 96,000

Prepare for the six months period ending June 1999, a production budget for **‘Product B’**

Ans) Units to be produced during first 6 months
 Product B = 12000 Units*

*Half of the annual proposed Production

Production Budget for the period ending June

	Product B
Cost of Raw Materials	Rs 228,000
Direct Labor	84000
FOH	48000
	360,000
- Beginning Finished Goods	42,000 (1400 x 30)
	318,000
+ Ending Finished Goods	27000 (900 x 30)

Cost of units to produced	345,000
Product B Materials + Labor + FOH 19 + 7 + 4 Rs 30 per unit FOH Rate: $96000/24000 = \text{Rs } 4$ (product B)	

MGT402 Subjective Material

Question No: 49 (Marks: 3)

A company is considering publishing a limited edition book bound in special leather. It has in stock the leather bought some years ago for Rs. 1,000. To buy an equivalent quantity now would cost Rs. 2,000. The company has no plans to use the leather for other purposes, although it has considered the possibilities:

- v Of using it to cover desk furnishings, in replacement for other material which could cost Rs. 900
- v Of selling it if a buyer could be found (the proceeds are unlikely to exceed Rs. 800).

Solution:-

In calculating the likely profit from the proposed book before deciding to go ahead with the project, the leather would not be costed at Rs. 1000. The cost was incurred in the past for some reason which is no longer relevant. The leather exists and could be used on the book without incurring any specific cost in doing so. In using the leather on the book, however, the company will lose the opportunities of either disposing of it for Rs. 800 or of using it to save an outlay of Rs. 900 on desk furnishings.

The better of these alternatives, from the point of view of benefiting from the leather, is the latter. "lost opportunity" cost of Rs 900 will there for be included in the cost of the books for decision making purposes

Also visit

<http://www.scribd.com/doc/30800321/cost-accounting-5>

Question No: 50 (Marks: 3)

Following information is available for preparing the Direct Labour Cost Budget:

- No. of workers required = 10 workers
- Work performance = 160 hours
- Rate = Rs. 40 per hour

Required:

Calculate the estimated amount of direct labour cost to produce 2,400 units based on the above information.

Solution:-

worker (160 hrs @ Rs 40)= Rs 6,400 x 10 workers = 64,000

Question No: 51 (Marks: 5)

Production component	Rates	Per unit Rate
Direct material	2.5 lbs @ Rs. 4.00	Rs. 10.00
Direct Labor	.5 hr @ Rs. 16.00	Rs. 8.00
VOH	.5 hr @ Rs. 4.00	Rs. 2.00
Fixed FOH	Rs. 40,000	Rs. 2.50
Actual Output	16,000 units	
Variable S&A	Rs. 6.00 per unit	
Fixed S&A	Rs. 60,000	
Selling price	Rs. 40	

Assume sales of 18,000 units.

Required: What is the profit under marginal costing method?

ANSWER:-

INCOME STATEMENT

MARGINAL COSTING

FOR THE PERIOD ENDED....

PARTICULARS	AMOUNT IN Rs.	AMOUNT IN Rs.
Sales 18000*40		720,000
CGS:		
Opening inventory NOTE 1 2000*20	40,000	
Cost of goods manufactured 16000 * 20	320,000	
Closing inventory	-	(360,000)
GROSS CM		360,000
Less variable period cost: selling n admin exp 18000*6		(108,000)
NET CM		252,000
Less fixed period cost		
Manufacturing OH	40,000	
Selling n admin OH	60,000	(100,000)
NET PROFIT		152,000

NOTE 1 = Since production is 16000 & sales is 18000, so there must be 2000units lying in opening inventory

Per unit product cost= material + labor +variable OH
 =10 +8+ 2 = 20

Question No: 52 (Marks: 5)

Hussain Corporation annually produces 10,000 units of assembly part number 206. An outside supplier has offered to manufacture the part at Rs. 9 per unit. If Hussain Corporation decides to buy the part, they will be able to rent the existing area for Rs. 8,000 per year. Listed below are Hussain's total costs to produce part 206:

	Rs.	Total (Rs.)
Direct material	2.50	25,000
Direct Labor	4.00	40,000
Variable overhead	2.25	22,500
Fixed Overhead	0.75	7,500
Total	9.50	95,000

Assuming that no additional costs are incurred in purchasing the part, what should be the opportunity cost for Hussain Corporation if it will buy? Support your answer with computations.

VC of making = 8.75 / unit

VC of buying = 9 / unit

Extra cost of buying = 0.5 / unit

Particulars	Amount/Qty
Units to be made annually	10000units
Extra cost of buying	Rs.5000
Savings from Rent annually	Rs.8000
Available benefit	Rs.3000

Question No: 53 (Marks: 5)

Classify the following expenses as **Financial or Administrative expense** by filling the appropriate boxes?

Expenses	Nature of expense
Salaries of employee	
Interest paid on debts	
Utility Bills	
Depreciation of office equipment	
Interest paid on debentures	

Solution:

Expenses	Nature of expense
-----------------	--------------------------

Salaries of employee	Admin
Interest paid on debts	Financial
Utility Bills	Admin
Depreciation of office equipment	Admin
Interest paid on debentures	Financial

Question No: 49 (Marks: 3)

A study has been conducted to determine if one of the departments of Mead Company should be discontinued. The contribution margin in the department is Rs. 150,000 per year. Fixed expenses charged to the department are Rs. 195,000 per year. It is estimated that Rs. 120,000 of these fixed expenses could be eliminated if the department is discontinued. Will it be favorable to discontinue department operations? Support your answer with suitable working.

Solution:

	Old		New
Contribution Margin	= 150 000		-----
Fixed Expense	= (195 000)	-120000	(75000)
Loss / profit:	=(45000)		(75000)

It will not be favorable to discontinue department operations.

Question No: 50 (Marks: 3)

The following information is available for Atlas Corporation to prepare a cash budget for the month of September:

- Cash on hand beginning of September Rs. 16,000
- Expected receipts in September Rs. 272,000
- Sales salaries paid Rs. 62,000
- Material purchases (all in cash) Rs. 190,000
- Depreciation Rs. 44,000

Required: Calculate ending cash balance in September. Also show complete working.

Solution:-

**Atlas Corporation
Cash Budget
For the month of Sep...**

Particulars	Amount in Rs.
Opening Balance	16000
Add: Receipts	272000

Total 1	288000
Less: Payments	
Sales Salaries	62000
Material Purchases	190000
Total 2	252000
C/S	
Total 1- Total 2	36000
Bank O/D	NIL

Question No: 51 (Marks: 5)

The Carter Manufacturing Company estimates its production requirements to be 30,000 units for October, 38,000 units for November and 41,000 units for December. It takes 3 direct labor hours at a rate of Rs. 3 per hour to complete one unit.

Prepare direct Labor budget cost for the last quarter of the year.

Solution:-

Particulars	OCT	NOV	DEC
Hrs/Unit	3	3	3
Units to be manufactured	30000	38000	41000
Hrs to manufacture req. units	90000	114000	123000
Cost per Hr. in Rs.	3	3	3
Cost of manufacturing req. units (Rs)	270000	342000	369000
Total labor cost of the quarter	Rs.981000		

Question No: 52 (Marks: 5)

Data concerning P Co's single product is as follows:

	Rs./unit
Selling price	7.00
Variable cost	3.00
Fixed production cost	4.00
Fixed selling cost	1.00

Budgeted production and sales for the year are 12,000 units.

Required: What will be the company's new Break Even point, to the nearest whole unit if it is expected that the variable production cost per unit will each increase by 10% and fixed cost will rise by 25% and other things remains same.

Note: it is necessary to show complete working

B.E.Sales in units = FC/ CM per unit

Old B.E.Sales in units

= 48000 / 4 = 12000

New B.E.Sales in units

VC is increased by 10% so now per unit VC is Rs.3.3/Unit

FC is increased by 25% so now new FC is Rs.60000

New CM/ Unit = S/unit – VC/Unit

$$= 7 - 3.3$$

$$= 3.7$$

B.E.Sales in units = FC/CM per unit

$$= 60000 / 3.7$$

$$= 16216 \text{ units (rounded to the nearest whole unit)}$$

B.E.Sales in Rs. = 16216 x 7 = 113512 Rs.

VC = Rs.53512

Particulars	Amount in Rupees
Sales	113512
Less VC	53512
Contribution margin	60000
Less FC	60000
Profit	NIL

Question No: 53 (Marks: 5)

G incorporation a manufacturer of skin care products is considering dropping from its line Moisturizing Cream, which is currently losing money. Following information of G incorporation's three products are given below.

	Cleansers & Toners (Rs)	Moisturizing Cream (Rs)	Eye Care Creams (Rs)
Sales revenue	500,000	300,000	400,000
Less: Variable Cost	230,000	200,000	230,000
Contribution margin	270,000	100,000	170,000
Less: Fixed Cost:			
Separable cost	50,000	59,000	40,000
Common cost	106,000	60,000	85,000
Profit (loss)	114,000	(19,000)	45,000

Required: What do you think that G incorporation should discontinue the product line Moisturizing Cream? Support your answer with complete working.

By dropping the moisturizing line results will be as follows

Differential cost statement

	Current Business (Rs)	Shut down (Rs.)	Difference
Sales revenue	300,000	-----	-----
Less: Variable Cost	200,000	-----	-----
Contribution margin	100,000	-----	(100,000)
Less: Fixed Cost:			
Separable cost	59,000	-----	59000
Common cost	60,000	60,000	-----
Profit (loss)	(19,000)	(60,000)	(41,000)

Loss of contribution Margin = (100,000)

Gain from FC = 59,000

Differential Loss = (41,000)

Earlier we were bearing a loss of Rs. 19,000 now its Rs. 60,000 so we should not suffer from this additional loss of Rs. 41,000 and continue with moisturizing range.

Question No: 49 (Marks: 3)

Define the term capacity and volume in budgeting?

Solution:-

Capacity is the fixed capability of machine and plant plus the manpower, which the management is committed to and expect the business to operate.

Volume is the term which explains the best utilization of the existing capacity. This is due to the volume differences why flexible budgets are made.

Question No: 50 (Marks: 3)

Your Company regularly uses material X and currently has in stock 500 Kg for which it paid Rs. 1,500 two weeks ago. If this ever to be sold as raw material, it could be sold today for Rs. 2.00 per Kg. You are aware that the material can be bought in open market for Rs. 3.25 per Kg but it must be purchased in quantities of 1,000 Kg. What would be the relevant cost for material X?

SOLUTION:-

Since the materials have already been purchased therefore the relevant cost would be higher of the following:

current resale value= 2 * 500 = 1000

value they would obtain if put to alternative use = nil

therefore relevant cost of material X is Rs. 1000

Question No: 51 (Marks: 5)

Ali Company produces and sells Amrat Cola to retailers. The Cola is bottled in 2-liter plastic bottles. The estimated budgeted sales for the year 2009 would be Rs. 360,000 and the estimated Profit for the year 2009 would be Rs 10,000.

The Margin of safety Ratio is calculated as 20%.

Required: Breakeven Sales for the year 2009

Solution:-

$$\text{Absolute amount of mos} = 360,000 * 20\% = 72,000$$

$$\text{MOS} = \text{budgeted sales} - \text{break even sales}$$

$$\text{Break even sales} = \text{Budgeted sales} - \text{MOS}$$

$$= 360,000 - 72,000 = 288,000$$

Question No: 52 (Marks: 5)

Golden Company sells its product for Rs. 42 per unit. The company's unit product cost based on the full capacity of 400,000 units is as follows:

Direct materials	Rs. 8
Direct labor	10
Manufacturing overhead	12
Unit product cost	Rs. 30

A special order offering to buy 40,000 units has been received from a foreign distributor. The only selling costs that would be incurred on this order would be Rs. 6 per unit for shipping. The company has sufficient idle capacity to manufacture the additional units. Two-thirds of the manufacturing overhead is fixed and would not be affected by this order. Assume that direct labor is an avoidable cost in this decision. In negotiating a price for the special order, calculate the minimum acceptable selling price per unit?

Solution:-

the minimum price with no profit is rs 30 per unit

direct material, plus direct labour = 18

two third overhead are fixed and one third are variable, this means over head cost of 4 rs per unit is variable, add them with variable cost

then variable cost will be 22

now add selling price per unit, which is rs 6

now 28 rs per unit is the minimum price that company would accept, below this price there will be loss for the company

how ever there would be no profit at this price as well
profit means contribution margin

ok

direct labour = 10 rs

direct material = 8 rs

variable over head = 4 rs

selling cost = 6 rs

total variable cost = $10 + 8 + 4 + 6 = 28$

so 28 is the minimum price to cover the variable cost

thus 28 is the minimum acceptable price

according to cost accounting, minimum price should cover the all variable expenses,

Question No: 53 (Marks: 5)

A Company manufacturers two products A and B. Forecasts for first 7 months is as under:

Month	Sales in Units	
	A	B
January	1,000	2,800
February	1,200	2,800
March	1,610	2,400
April	2,000	2,000
May	2,400	1,600
June	2,400	1,600
July	2,000	1,800

No work in process inventory has been estimated in any moth however finished goods inventory shall be on hand equal to half the sales to the next month, in each month. This is constant practice.

Budgeted production and production costs for the year 1999 will be as follows:

Production units	22,500	24,000
Direct Materials (per unit)	12.5	19

Direct Labor (per unit)	4.5	7
F.O.H. (apportioned)	Rs. 66,000	Rs 96,000

Prepare for the six months period ending June 1999, a production budget for **‘Product B’**

Ans) Units to be produced during first 6 months
 Product B = 12000 Units*

*Half of the annual proposed Production

Production Budget for the period ending June

	Product B
Cost of Raw Materials	Rs 228,000
Direct Labor	84000
FOH	48000
	360,000
- Beginning Finished Goods	42,000 (1400 x 30)
	318,000
+ Ending Finished Goods	27000 (900 x 30)
Cost of units to produced	345,000
Product B Materials + Labor + FOH 19 + 7 + 4 Rs 30 per unit FOH Rate: 96000/24000 = Rs 4 (product B)	

Question No: 41 (Marks: 5)

Bouch Company has the following data of year 02 given below

Year 02

Sales	Rs. 120/unit
Direct Materials	Rs. 8/unit
Direct labor	Rs. 10/unit
Variable overhead	Rs. 7/unit
Selling & Admin expenses	Rs. 2/unit

Fixed overhead	Rs. 7,500
----------------	-----------

Normal volume of production 250 units per year

Information regarding units as follows

Item	1 st year	2 nd year	3 rd year	4 th year
	units	units	units	units
Opening stock		200	300	300
Production	300	250	200	200
Sales	100	150	200	300

Required: Prepare income statement of year 2 under absorption costing.

Question No: 42 (Marks: 5)

A Company manufactures two products A and B. Forecasts for first 7 months is as under:

Month	Sales in Units	
	A	B
January	1,000	2,800
February	1,200	2,800
March	1,610	2,400
April	2,000	2,000
May	2,400	1,600
June	2,400	1,600
July	2,000	1,800

No work in process inventory has been estimated in any month however finished goods inventory shall be on hand equal to half the sales to the next month, in each month. This is constant practice.

Budgeted production and production costs for the year 1999 will be as follows:

Production units	22,500	24,000
------------------	--------	--------

Direct Materials (per unit)	12.5	19
Direct Labor (per unit)	4.5	7
F.O.H. (apportioned)	Rs. 66,000	Rs 96,000

Prepare for the six months period ending June 1999, a production budget for **‘Product A’**

Question No: 43 (Marks: 10)

The managing director of Parser Limited, a small business, is considering undertaking a one-off contract. She has asked her inexperienced accountant to advise on what costs are likely to be incurred so that she can price at a profit. The following schedule has been prepared:

Costs for special order	Notes	Rs.
Direct wages	1	28,500
Supervisor costs	2	11,500
General overheads	3	4,000
Machine depreciation	4	2,300
Machine overheads	5	18,000
Materials	6	34,000
Total		98,300

Notes

v Direct wages comprise the wages of two employees, particularly skilled in the labor process for this job. They could be transferred from another department to undertake the work on the special order. They are fully occupied in their usual department and sub-contracting staff would have to be brought in to undertake the work left behind.

v Sub-contracting costs would be Rs. 32,000 for the period of the work. Other sub-contractors who are skilled in the special order techniques are also available to work on the special order. The costs associated with this would amount to Rs. 31,300.

v A supervisor would have to work on the special order. The cost of Rs. 11,500 is made up of Rs. 8,000 normal payments plus a Rs. 3,500 additional bonus for working on

the special order. Normal payments refer to the fixed salary of the supervisor. In addition, the supervisor would lose incentive payments in his normal work amounting to Rs. 2,500. It is not anticipated that any replacement costs relating to the supervisors' work on other jobs would arise.

v General overheads comprise an apportionment of Rs. 3,000 plus an estimate of Rs. 1,000 incremental overheads.

Required

Produce a revised costing schedule for the special project based on relevant costing principles. Fully explain and justify each of the costs included in the costing schedule.

Question No: 44 (Marks: 10)

Due to the declining popularity of digital watches, Swiss Company's digital watch line has not reported a profit for several years. An income statement for last year follows:

Segment Income Statement—Digital Watches		
	Rs.	Rs.
Sales.....		500,000
Less variable expenses:		
Variable manufacturing costs.....	120,000	
Variable shipping costs.....	5,000	
	<u>75,000</u>	
Commissions.....		<u>200,000</u>
Contribution margin.....		300,000
Less fixed expenses:		
General factory overhead(1).....	60,000	
Salary of product line manager.....	90,000	
Depreciation of equipment (2).....	50,000	
Product line advertising.....	100,000	
Rent—factory space (3).....	70,000	
	<u>30,000</u>	
General administrative expense (1).....		<u>400,000</u>

Net operating loss.....		(100,000)
-------------------------	--	-----------

- 1) Allocated common costs that would be redistributed to other product lines if digital watches were dropped
- 2) This equipment has no resale value and does not wear out through use
- 3) The digital watches are manufactured in their own facility

Should the company retain or drop the digital watch line?

Question No: 45 (Marks: 10)

Production component	Rates	Per unit Rate
Direct material	2.5 lbs @ Rs. 4.00	Rs. 10.00
Direct Labor	.5 hr @ Rs. 16.00	Rs. 8.00
VOH	.5 hr @ Rs. 4.00	Rs. 2.00
Fixed FOH	Rs. 40,000	Rs. 2.50
Actual Output	16,000 units	
Variable S&A	Rs. 6.00 per unit	
Fixed S&A	Rs. 60,000	
Selling price	Rs. 40	

Assume sales of 12,000 units.

Question No: 54 (Marks: 10)

Ali and Co. has sales of Rs. 50,000 in March and Rs. 60,000 in April. Forecasted sales for May, June and July are Rs. 70,000, Rs. 80,000 and 100,000 respectively. The firm has a cash balance of Rs. 5,000 on May 01 and wishes to maintain a minimum cash balance of Rs. 5,000. Given the following data, prepare a cash budget for the month of May, June and July.

1. The firm makes 20% of sales for cash, 60% are collected in the next month and the remaining 20% are collected in the second month following the sale.
2. The firm receives other income of Rs. 2,000 per month.
3. The firm's actual or expected purchases, all made for cash, are Rs. 50,000, Rs. 70,000 and Rs. 80,000 for the months of May through July, respectively.
4. Rent is Rs. 3,000 per month.

5. Wages and salaries are 10% of the previous month's sales.
6. Cash dividends of Rs. 3,000 will be paid in June.
7. Payment of principal and interest of Rs. 4,000 is due in June.
8. A cash purchase of equipment costing Rs. 6,000 is scheduled in July.
9. Taxes of Rs. 6,000 are due in June.

Cash budget for the month of May

Opening balance of cash	Rs. 5,000
Add: receipts	62000
Total amount of cash	67000
Less: payments	(59000)
Closing balance of cash	8000

Receipts = cash sales+ Previous month sales + Previous last 2 months sales + receives other income

$$= 14000 + 36000 + 10000 + 2000 = 62000$$

$$\text{Rs. } 70000 * 20\% = 14000$$

$$\text{Previous month sales} = 60000 * 60/100 = 36000$$

$$\text{Previous last 2 months sales} = 50000 * 20/100 = 10000$$

1. Payments = purchases + Rent + Wages and salaries 10% of the previous month's sales

$$= 50000 + 3,000 + 10\% * 60000 = 59000$$

Cash budget for the month of June

Cash budget for the month of May

Opening balance of cash	Rs. 5,000
Add: receipts	76000
Total amount of cash	81000
Less: payments	(90000)
Closing balance of cash	(9000)

Receipts = cash sales+ Previous month sales + Previous last 2 months sales + receives other income

$$= 14000 + 48000 + 12000 + 2000 = 76000$$

$$= 70000 * 20/100 = 14000$$

$$\text{Previous month sales} = 80000 * 60/100 = 48000$$

$$\text{Previous last 2 months sales} = 60000 * 20/100 = 12000$$

2. Payments = purchases + Rent + Wages and salaries 10% of the previous month's

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sales + Payment of principal and interest + Taxes
 $70000 + 3000 + 7000 + 4000 + 6000 = 90000$

Cash budget for the month of July

Opening balance of cash	Rs. 5,000
Add: receipts	92000

Total amount of cash	97000
Less: payments	(97000)
Closing balance of cash	0

Receipts = cash sales+ Previous month sales + Previous last 2 months sales + receives other income
 $= 60000 + 14000 + 16000 + 2000 = 92000$

$100000 \times 60/100 = 60000$

$70000 \times 20/100 = 14000$

$80000 \times 20/100 = 16000$

Payments = purchases + Rent + Wages and salaries 10% of the previous month's sales + cash purchase of equipment
 $= 80000 + 3000 + 8000 + 6000 = 97000$

Question No: 45 (Marks: 10)

The manufacturing Company estimates its factory overhead to be as follows:

Fixed expense per month	Rs.	Variable rate (Rs.) per direct labor hour
Indirect material	2,000	
Indirect Labor	900	0.2
maintenance	1200	0.3
Heat and Light	300	
Power	200	0.55
Insurance	270	
Taxes	600	
Payroll Taxes	0	0.10
Depreciation	1,350	

Assuming that the direct labor hours for January, February and March are 2,640, 4,740 and 2,370 hours respectively.

Required:

Prepare factory overhead budget for the first quarter.

FOH Budget for the period January to March

Items	Rupees
Indirect material	$2000 \times 3 = 6000$
Indirect labour	$900 \times 0.2 \times 2640 + 900 \times 0.2 \times 4740 + 900 \times 0.2 \times 2370 =$

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	1755000
Maintenance	$1200 \times 0.3 \times 2640 + 1200 \times 0.3 \times 4740 + 1200 \times 0.3 \times 2370$ = 35100000
Heat and light	$300 \times 3 = 900$
Power	$200 \times 0.55 \times 2640 + 200 \times 0.55 \times 4740 + 200 \times 0.55 \times 2370$ = 1072500
Insurance	$270 \times 3 = 810$
Taxes	$600 \times 3 = 1800$
Payroll taxes	0
Depreciation	$1350 \times 3 = 4050$
Total	3794106

Question No: 49 (Marks: 3)

A study has been conducted to determine if one of the departments of Mead Company should be discontinued. The contribution margin in the department is Rs. 150,000 per year. Fixed expenses charged to the department are Rs. 195,000 per year. It is estimated that Rs. 120,000 of these fixed expenses could be eliminated if the department is discontinued. Will it be favorable to discontinue department operations? Support your answer with suitable working.

Solution:

	Old		New
Contribution Margin	= 150 000		-----
Fixed Expense	= (195 000)	-120000	(75000)
Loss / profit:	=(45000)		(75000)

It will be favorable to discontinue department operations.

Question No: 50 (Marks: 3)

The following information is available for Atlas Corporation to prepare a cash budget for the month of September:

- Cash on hand beginning of September Rs. 16,000
- Expected receipts in September Rs. 272,000
- Sales salaries paid Rs. 62,000
- Material purchases (all in cash) Rs. 190,000
- Depreciation Rs. 44,000

Required: Calculate ending cash balance in September. Also show complete working.

Solution:-

Atlas Corporation
Cash Budget
For the month of Sep...

Particulars	Amount in Rs.
Opening Balance	16000
Add: Receipts	272000
Total 1	288000
Less: Payments	
Sales Salaries	62000
Material Purchases	190000
Total 2	252000
C/S	
Total 1- Total 2	36000
Bank O/D	NIL

Question No: 51 (Marks: 5)

The Carter Manufacturing Company estimates its production requirements to be 30,000 units for October, 38,000 units for November and 41,000 units for December. It takes 3 direct labor hours at a rate of Rs. 3 per hour to complete one unit.

Prepare direct Labor budget cost for the last quarter of the year.

Solution:-

Particulars	OCT	NOV	DEC
Hrs/Unit	3	3	3
Units to be manufactured	30000	38000	41000
Hrs to manufacture req. units	90000	114000	123000
Cost per Hr. in Rs.	3	3	3
Cost of manufacturing req. units (Rs)	270000	342000	369000
Total labor cost of the quarter	Rs.981000		

Question No: 52 (Marks: 5)

Data concerning P Co's single product is as follows:

	Rs./unit
Selling price	7.00
Variable cost	3.00
Fixed production cost	4.00
Fixed selling cost	1.00

Budgeted production and sales for the year are 12,000 units.

Required: What will be the company's new Break Even point, to the nearest whole unit if it is expected that the variable production cost per unit will each increase by 10% and fixed cost will rise by 25% and other things remains same.

Note: it is necessary to show complete working

B.E.Sales in units = FC/ CM per unit

Old B.E.Sales in units

$$= 48000 / 4 = 12000$$

New B.E.Sales in units

VC is increased by 10% so now per unit VC is Rs.3.3/Unit

FC is increased by 25% so now new FC is Rs.60000

New CM/ Unit = S/unit – VC/Unit

$$= 7 - 3.3$$

$$= 3.7$$

B.E.Sales in units = FC/CM per unit

$$= 60000 / 3.7$$

$$= 16216 \text{ units (rounded to the nearest whole unit)}$$

B.E.Sales in Rs.= 16216 x 7 = 113512 Rs.

VC = Rs.53512

Particulars	Amount in Rupees
Sales	113512
Less VC	53512
Contribution margin	60000
Less FC	60000
Profit	NIL

Question No: 53 (Marks: 5)

G incorporation a manufacturer of skin care products is considering dropping from its line Moisturizing Cream, which is currently losing money. Following information of G incorporation's three products are given below.

	Cleansers & Toners (Rs)	Moisturizing Cream (Rs)	Eye Care Creams (Rs)
Sales revenue	500,000	300,000	400,000
Less: Variable Cost	230,000	200,000	230,000
Contribution margin	270,000	100,000	170,000
Less: Fixed Cost:			
Separable cost	50,000	59,000	40,000
Common cost	106,000	60,000	85,000
Profit (loss)	114,000	(19,000)	45,000

Required: What do you think that G incorporation should discontinue the product line Moisturizing Cream? Support your answer with complete working.

By dropping the moisturizing line results will be as follows

Differential cost statement

	Current Business (Rs)	Shut down (Rs.)	Difference
Sales revenue	300,000	-----	-----
Less: Variable Cost	200,000	-----	-----
Contribution margin	100,000	-----	(100,000)
Less: Fixed Cost:			
Separable cost	59,000	-----	59000
Common cost	60,000	60,000	-----
Profit (loss)	(19,000)	(60,000)	(41,000)

Loss of contribution Margin = (100,000)

Gain from FC = 59,000

Differential Loss = (41,000)

Earlier we were bearing a loss of Rs. 19,000 now its Rs. 60,000 so we should not suffer from this additional loss of Rs. 41,000 and continue with moisturizing range.

Question No: 49 (Marks: 3)

A company is considering publishing a limited edition book bound in special leather. It has in stock the leather bought some years ago for Rs. 1,000. To buy an equivalent quantity now would cost Rs. 2,000. The company has no plans to use the leather for other purposes, although it has considered the possibilities:

- v Of using it to cover desk furnishings, in replacement for other material which could cost Rs. 900
- v Of selling it if a buyer could be found (the proceeds are unlikely to exceed Rs. 800).

Solution:-

In calculating the likely profit from the proposed book before deciding to go ahead with the project, the leather would not be costed at Rs. 1000. The cost was incurred in the past for some reason which is no longer relevant. The leather exists and could be used on the book without incurring any specific cost in doing so. In using the leather on the book, however, the company will lose the opportunities of either disposing of it for Rs. 800 or of using it to save an outlay of Rs. 900 on desk furnishings.

The better of these alternatives, from the point of view of benefiting from the leather, is the latter. "lost opportunity" cost of Rs 900 will there for be included in the cost of the books for decision making purposes

Also visit

<http://www.scribd.com/doc/30800321/cost-accounting-5>

Question No: 50 (Marks: 3)

Following information is available for preparing the Direct Labour Cost Budget:

- No. of workers required = 10 workers
- Work performance = 160 hours
- Rate = Rs. 40 per hour

Required:

Calculate the estimated amount of direct labour cost to produce 2,400 units based on the above information.

Solution:-

worker (160 hrs @ Rs 40)= Rs 6,400 x 10 workers = 64,000

Question No: 51 (Marks: 5)

Production component	Rates	Per unit Rate
Direct material	2.5 lbs @ Rs. 4.00	Rs. 10.00
Direct Labor	.5 hr @ Rs. 16.00	Rs. 8.00
VOH	.5 hr @ Rs. 4.00	Rs. 2.00
Fixed FOH	Rs. 40,000	Rs. 2.50
Actual Output	16,000 units	
Variable S&A	Rs. 6.00 per unit	
Fixed S&A	Rs. 60,000	
Selling price	Rs. 40	

Assume sales of 18,000 units.

Required: What is the profit under marginal costing method?

ANSWER:-

INCOME STATEMENT

MARGINAL COSTING

FOR THE PERIOD ENDED....

PARTICULARS	AMOUNT IN Rs.	AMOUNT IN Rs.
Sales 18000*40		720,000
CGS:		
Opening inventory NOTE 1 2000*20	40,000	
Cost of goods manufactured 16000 * 20	320,000	
Closing inventory	-	(360,000)
GROSS CM		360,000
Less variable period cost: selling n admin exp 18000*6		(108,000)
NET CM		252,000
Less fixed period cost		
Manufacturing OH	40,000	
Selling n admin OH	60,000	(100,000)
NET PROFIT		<u>152,000</u>

NOTE 1 = Since production is 16000 & sales is 18000, so there must be 2000units lying in opening inventory

Per unit product cost= material + labor +variable OH
 =10 +8+ 2 = 20

Question No: 52 (Marks: 5)

Hussain Corporation annually produces 10,000 units of assembly part number 206. An outside supplier has offered to manufacture the part at Rs. 9 per unit. If Hussain Corporation decides to buy the part, they will be able to rent the existing area for Rs. 8,000 per year. Listed below are Hussain's total costs to produce part 206:

	Rs.	Total (Rs.)
Direct material	2.50	25,000
Direct Labor	4.00	40,000
Variable overhead	2.25	22,500
Fixed Overhead	0.75	7,500
Total	9.50	95,000

Assuming that no additional costs are incurred in purchasing the part, what should be the opportunity cost for Hussain Corporation if it will buy? Support your answer with computations.

VC of making = 8.75 / unit

VC of buying = 9 / unit

Extra cost of buying = 0.5 / unit

Particulars	Amount/Qty
--------------------	-------------------

Units to be made annually	10000units
Extra cost of buying	Rs.5000
Savings from Rent annually	Rs.8000
Available benefit	Rs.3000

Question No: 53 (Marks: 5)

Classify the following expenses as **Financial or Administrative expense** by filling the appropriate boxes?

Expenses	Nature of expense
Salaries of employee	
Interest paid on debts	
Utility Bills	
Depreciation of office equipment	
Interest paid on debentures	

Solution:

Expenses	Nature of expense
Salaries of employee	Admin
Interest paid on debts	Financial
Utility Bills	Admin
Depreciation of office equipment	Admin
Interest paid on debentures	Financial

Question No: 49 (Marks: 3)

Nomi Limited budgets to make 4,000 units of product X and estimates that the standard material cost per unit will be Rs. 6. In fact 3,800 units are produced at a material cost of Rs. 24,700. For the purpose of budgetary control, what will be the actual and budgeted figure of material cost?

Solution:-

Price of the material according to budgeted cost/ unit
 = 3800 units x Rs.6 / unit
 = 22,800 Rs

Price of the material according to the actual cost/ unit
 = 3800 units x Rs.6.5/ unit
 = 24700 Rs

Variance = budgeted – actual
 = 22,800 – 24,700
 = (1900) unfavorable balance

Question No: 50 (Marks: 3)

What is a principle budget factor?

Solution:-

Some factor like labor or material which are short in supply.

This could be because of shortage of material, staff hours, machine capacity even money.

It is the factor which ultimately decides the activity level planned. Like a company wanted to produce 100,000 pieces of computer but skilled labor available is able to produce only.

So labor is principle budget factor in this case.

Question No: 51 (Marks: 5)

Hussain Corporation annually produces 10,000 units of assembly part number 206. An outside supplier has offered to manufacture the part at Rs. 9 per unit. If Hussain Corporation decides to buy the part, they will be able to rent the existing area for Rs. 8,000 per year. Listed below are Hussain's total costs to produce part 206:

	Rs.	Total (Rs.)
Direct material	2.50	25,000
Direct Labor	4.00	40,000
Variable overhead	2.25	22,500
Fixed Overhead	0.75	7,500
Total	9.50	95,000

Assuming that no additional costs are incurred in purchasing the part, what should be the opportunity cost for Hussain Corporation if it will buy? Support your answer with computations.

Solution

VC of making = 8.75 / unit

VC of buying = 9 / unit

Extra cost of buying = 0.5 / unit

Particulars	Amount/Qty
Units to be made annually	10000units
Extra cost of buying	Rs.5000
Savings from Rent annually	Rs.8000
Available benefit	Rs.3000

Question No: 52 (Marks: 5)

Classify the following expenses as **Financial or Administrative expense** by filling the appropriate boxes?

Expenses	Nature of expense
Salaries of employee	?
Interest paid on debts	?
Utility Bills	?
Depreciation of office equipment	?
Interest paid on debentures	?

Solution:-

Expenses	Nature of expense
Salaries of employee	Admin
Interest paid on debts	Financial
Utility Bills	Admin
Depreciation of office equipment	Admin
Interest paid on debentures	Financial

Question No: 53 (Marks: 5)

Data concerning P Co's single product is as follows:

	Rs./unit
Selling price	7.00
Variable cost	3.00
Fixed production cost	4.00
Fixed selling cost	1.00

Budgeted production and sales for the year are 12,000 units.

Required: What will be the company's new Break Even point, to the nearest whole unit if it is expected that the variable production cost per unit will each increase by 10% and fixed cost will rise by 25% and other things remains same.

Note: it is necessary to show complete working

Solution

B.E.Sales in units = FC/ CM per unit

Old B.E.Sales in units
= 48000 / 4 = 12000

New B.E.Sales in units

VC is increased by 10% so now per unit VC is Rs.3.3/Unit

FC is increased by 25% so now new FC is Rs.60000

New CM/ Unit = S/unit – VC/Unit

$$= 7 - 3.3$$

$$= 3.7$$

B.E.Sales in units = FC/CM per unit

$$= 60000 / 3.7$$

$$= 16216 \text{ units (rounded to the nearest whole unit)}$$

B.E.Sales in Rs. = 16216 x 7 = 113512 Rs.

VC = Rs.53512

Particulars	Amount in Rupees
Sales	113512
Less VC	53512
Contribution margin	60000
Less FC	60000
Profit	NIL

Question No: 49 (Marks: 3)

Product "A" has a contribution of Rs. 8 per unit; a contribution margin ratio is 50% and requires 4 machine hours to produce. Product "B" has a contribution of Rs. 12 per unit; a contribution margin ratio is 40% and requires 5 machine hours to produce. If the constraint is machine hours to produce, then which one of the both product a company should produce and sell? Support your answer with suitable workings.

Solution:-

Here Machine hours are the limiting factor so CM will be taken per limiting factor to determine which product to be made.

Sales = $\frac{CM}{C/S \text{ ratio}}$

C/S ratio

$$\text{Sales A} = 8 / 0.5 = 16$$

$$\text{sales B} = 12 / 0.4 = 30$$

Particulars	Product A	Product B
Sales/unit	Rs16	30
VC/unit	8	18
CM/unit	8	12
Hrs req. / unit	4hrs	5hrs
CM / Limiting factor	$8/4 = 2$	$12/5 = 2.4$

So the product with the maximum CM/ limiting factor should ideally be made to get the max benefit.

Question No: 50 (Marks: 3)

Define the term capacity and volume in budgeting?

Solution:-

Capacity is the fixed capability of machine and plant plus the manpower, which the management is committed to and expect the business to operate.

Volume is the term which explains the best utilization of the existing capacity. This is due to the volume differences why flexible budgets are made.

Question No: 51 (Marks: 5)

An automobile manufacturing company anticipates the following unit sales during the first four months of 2008.

January	20000
February	30000
March	25000
April	40000

The company maintains its ending finished goods inventory at 70% of the following month's sale. The January 1 finished goods inventory will be 14000 units.

Required: Prepare a production budget for January through March

Solution:-

PRODUCTION BUDGET
For the months Jan- Mar 2008

	JAN	FEB	MAR
Units to be sold	20000	30000	25000
Add: C/S units	14000	21000	17500
Units available to be sold	34000	51000	42500
Less: O/S units	(14000)	(14000)	(21000)
Units to be produced	20000	37000	21500

Question No: 52 (Marks: 5)

Golden Company sells its product for Rs. 42 per unit. The company's unit product cost based on the full capacity of 400,000 units is as follows:

Direct materials	Rs. 8
Direct labor	10
Manufacturing overhead	12

Unit product cost	Rs. 30
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A special order offering to buy 40,000 units has been received from a foreign distributor. The only selling costs that would be incurred on this order would be Rs. 6 per unit for shipping. The company has sufficient idle capacity to manufacture the additional units. Two-thirds of the manufacturing overhead is fixed and would not be affected by this order. Assume that direct labor is an avoidable cost in this decision. In negotiating a price for the special order, calculate the minimum acceptable selling price per unit?

Solution:-

the minimum price with no profit is rs 30 per unit

direct material, plus direct labour = 18

two third overhead are fixed and one third are variable, this means over head cost of 4 rs per unit is variable, add them with variable cost

then variable cost will be 22

now add selling price per unit, which is rs 6

now 28 rs per unit is the minimum price that company would accept, below this price there will be loss for the company

how ever there would be no profit at this price as well

profit means contribution margin

ok

direct labour = 10 rs

direct material = 8 rs

variable over head = 4 rs

selling cost = 6 rs

total variable cost = $10 + 8 + 4 + 6 = 28$

so 28 is the minimum price to cover the variable cost

thus 28 is the minimum acceptable price

according to cost accounting, minimum price should cover the all variable expenses,

Question No: 53 (Marks: 5)

Data concerning P Co's single product is as follows:

	Rs./unit
Selling price	7.00
Variable cost	3.00
Fixed production cost	4.00
Fixed selling cost	1.00

Budgeted production and sales for the year are 12,000 units.

Required: What will be the company's new Break Even point, to the nearest whole unit if it is expected that the variable production cost per unit will each increase by 10% and fixed cost will rise by 25% and other things remains same.

Note: it is necessary to show complete working

B.E.Sales in units = FC/ CM per unit

Old B.E.Sales in units

$$= 48000 / 4 = 12000$$

New B.E.Sales in units

VC is increased by 10% so now per unit VC is Rs.3.3/Unit

FC is increased by 25% so now new FC is Rs.60000

New CM/ Unit = S/unit – VC/Unit

$$= 7 - 3.3$$

$$= 3.7$$

B.E.Sales in units = FC/CM per unit

$$= 60000 / 3.7$$

$$= 16216 \text{ units (rounded to the nearest whole unit)}$$

B.E.Sales in Rs.= 16216 x 7 = 113512 Rs.

VC = Rs.53512

Particulars	Amount in Rupees
Sales	113512
Less VC	53512
Contribution margin	60000
Less FC	60000
Profit	NIL

Question No: 50 (Marks: 3)

If:

- Company's sales forecast for 3rd quarter, ending September 30, was 54,300 units.
- The beginning inventory was 13,000 units.
- Ending inventory was 12,200 units.

Then:

Prepare production budget for 3rd quarter?

Production Budget for 3rd quarter ending September 30

Sales forecast = 54,300

Add Ending Inventory	= 12,200
Total Need	= 66,500
Less: Beginning inventory	= 13,000
Required Production	= 53,500

Question No: 51 (Marks: 5)

Garrett Company sells hand-crafted furniture. One item it sells is a small table that sells for Rs. 30 per unit. The variable costs related to the table, including product and shipping costs, are Rs. 18 per unit. Total fixed costs for the company are Rs. 60,000. Assume the tables are the only product the company sells this year and **draw a CVP graph** to represent the company's sales and expenses. From this graph, compute the approximate breakeven point in rupees and units.

Sale Price	= 30
Variable cost	= 18
Contribution margin	= 12
Break even in unit	= $60,000 / 12 = 5000$
Break even in rupees	= $5000 \times 30 = 150,000$

Question No: 52 (Marks: 5)

A Company manufactures two products A and B. Forecasts for first 7 months is as under:

Month	Sales in Units	
	A	B
January	1,000	2,800
February	1,200	2,800
March	1,610	2,400
April	2,000	2,000
May	2,400	1,600
June	2,400	1,600
July	2,000	1,800

No work in process inventory has been estimated in any month however finished goods inventory shall be on hand equal to half the sales to the next month, in each month. This is constant practice.

Budgeted production and production costs for the year 1999 will be as follows:

Production units	22,500	24,000
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Direct Materials (per unit)	12.5	19
Direct Labor (per unit)	4.5	7
F.O.H. (apportioned)	Rs. 66,000	Rs 96,000

Prepare for the six months period ending June 1999, a production budget for **‘Product A’**

	January	February	March	April	May	June
Budgeted sales in units	1000	1200	1610	2000	2400	2400
Ending inventory	600	805	1000	1200	1200	1000
Total need	1600	2005	2610	3200	3600	3400
Opening Inv	600	600	805	1000	1200	1200
Required Production	1000	1405	1805	2200	2400	2200

Budgeted Production = 1000+1405+1805+2200+2400+2200 = 11010

Direct Material = 11010 x 12.50 = 137,625

Direct labor = 11010 x 4.50 = 49545

FOH = [66000 / 22500] 11010 x 2.9333 = 32296

Production Budget Cost = 137625+49545+32296 = 219466

Question No: 53 (Marks: 5)

Golden Company sells its product for Rs. 40 per unit. The company's unit product cost based on the full capacity of 600,000 units is as follows:

Direct materials	Rs. 10
Direct labor	15
Manufacturing overhead	12
Unit product cost	Rs. 37

A special order offering to buy 50,000 units has been received from a foreign distributor. The only selling costs that would be incurred on this order would be Rs. 10 per unit for shipping. The company has sufficient idle capacity to manufacture the additional units.

Two-thirds of the manufacturing overhead is fixed and would not be affected by this order. Assume that direct labor is an avoidable cost in this decision. In negotiating a price for the special order, what is the minimum acceptable selling price per unit?

direct labor = 10
direct material = 8
variable over head = 4
selling cost = 6

total variable cost = $10 + 8 + 4 + 6 = 28$
so 28 is the minimum price to cover the variable cost
thus 28 is the minimum acceptable price

Question No: 49 (Marks: 3)

Define the term capacity and volume in budgeting?

Solution:-

Capacity is the fixed capability of machine and plant plus the manpower, which the management is committed to and expect the business to operate.

Volume is the term which explains the best utilization of the existing capacity. This is due to the volume differences why flexible budgets are made.

Question No: 50 (Marks: 3)

Your Company regularly uses material X and currently has in stock 500 Kg for which it paid Rs. 1,500 two weeks ago. If this ever to be sold as raw material, it could be sold today for Rs. 2.00 per Kg. You are aware that the material can be bought in open market for Rs. 3.25 per Kg but it must be purchased in quantities of 1,000 Kg. What would be the relevant cost for material X?

SOLUTION:-

AS this is regular used item case

So,

Replacement cost= Relevant cost

Replacement Cost= $\text{Rs.}3.25 \times \text{Rs.}1000$

Relevant Cost= Replacement Cost= Rs.3250

Question No: 51 (Marks: 5)

Ali Company produces and sells Amrat Cola to retailers. The Cola is bottled in 2-litter plastic bottles. The estimated budgeted sales for the year 2009 would be Rs. 360,000 and the estimated Profit for the year 2009 would be Rs 10,000.

The Margin of safety Ratio is calculated as 20%.

Required: Breakeven Sales for the year 2009

Solution:-

Absolute amount of mos = $360,000 \times 20\% = 72,000$

MOS = budgeted sales – break even sales

Break even sales = Budgeted sales – MOS

= $360,000 - 72,000 = 288,000$

Question No: 52 (Marks: 5)

Golden Company sells its product for Rs. 42 per unit. The company's unit product cost based on the full capacity of 400,000 units is as follows:

Direct materials	Rs. 8
Direct labor	10
Manufacturing overhead	12
Unit product cost	Rs. 30

A special order offering to buy 40,000 units has been received from a foreign distributor. The only selling costs that would be incurred on this order would be Rs. 6 per unit for shipping. The company has sufficient idle capacity to manufacture the additional units. Two-thirds of the manufacturing overhead is fixed and would not be affected by this order. Assume that direct labor is an avoidable cost in this decision. In negotiating a price for the special order, calculate the minimum acceptable selling price per unit?

Solution:-

the minimum price with no profit is rs 30 per unit

direct material, plus direct labour = 18

two third overhead are fixed and one third are variable, this means over head cost of 4 rs per unit is variable, add them with variable cost

then variable cost will be 22

now add selling price per unit, which is rs 6

now 28 rs per unit is the minimum price that company would accept, below this price there will be loss for the company

how ever there would be no profit at this price as well
profit means contribution margin

ok

direct labour = 10 rs

direct material = 8 rs

variable over head = 4 rs

selling cost = 6 rs

total variable cost = $10 + 8 + 4 + 6 = 28$

so 28 is the minimum price to cover the variable cost

thus 28 is the minimum acceptable price

according to cost accounting, minimum price should cover the all variable expenses,

Question No: 53 (Marks: 5)

A Company manufacturers two products A and B. Forecasts for first 7 months is as under:

Month	Sales in Units	
	A	B
January	1,000	2,800
February	1,200	2,800
March	1,610	2,400
April	2,000	2,000
May	2,400	1,600
June	2,400	1,600
July	2,000	1,800

No work in process inventory has been estimated in any moth however finished goods inventory shall be on hand equal to half the sales to the next month, in each month. This is constant practice.

Budgeted production and production costs for the year 1999 will be as follows:

Production units	22,500	24,000
Direct Materials (per unit)	12.5	19
Direct Labor (per unit)	4.5	7
F.O.H. (apportioned)	Rs. 66,000	Rs 96,000

Prepare for the six months period ending June 1999, a production budget for ‘**Product B**’

January	February	March	April	May	June	
Budgeted sales in units	2800	2800	2400	2000	1600	1600
Ending inventory	1400	1200	1000	800	800	900
Total need	4200	4000	3400	2800	2400	2500
Opening Inv	1400	1400	1200	1000	800	800
Required Production	2800	2600	2200	1800	1600	1700

Budgeted Production = 2800+2600+2200+1800+1600+1700=12700

Direct Material = 12700 x 19 = 241,300

Direct labor = 12700 x 7 = 88900

FOH = [96000/24000] 12700 X 4 = 50800

Budgeted Production Cost = 241300 + 88900 + 50800 = 381,000

Question No: 49 (Marks: 3)

Product "A" has a contribution of Rs. 8 per unit; a contribution margin ratio is 50% and requires 4 machine hours to produce. Product "B" has a contribution of Rs. 12 per unit; a contribution margin ratio is 40% and requires 5 machine hours to produce. If the constraint is machine hours to produce, then which one of the both product a company should produce and sell? Support your answer with suitable workings.

Solution:-

Here Machine hours are the limiting factor so CM will be taken per limiting factor to determine which product to be made.

Sales= $\frac{CM}{C/S \text{ ratio}}$

Sales A= $8 / 0.5 = 16$

sales B = $12 / 0.4 = 30$

Particulars	Product A	Product B
Sales/unit	Rs16	30
VC/unit	8	18
CM/unit	8	12
Hrs req. / unit	4hrs	5hrs
CM / Limiting factor	$8/4 = 2$	$12/5 = 2.4$

So the product with the maximum CM/ limiting factor should ideally be made to get the

max benefit.

Question No: 50 (Marks: 3)

Define the term capacity and volume in budgeting?

Solution:-

Capacity is the fixed capability of machine and plant plus the manpower, which the management is committed to and expect the business to operate.

Volume is the term which explains the best utilization of the existing capacity. This is due to the volume differences why flexible budgets are made.

Question No: 51 (Marks: 5)

An automobile manufacturing company anticipates the following unit sales during the first four months of 2008.

January	20000
February	30000
March	25000
April	40000

The company maintains its ending finished goods inventory at 70% of the following month's sale. The January 1 finished goods inventory will be 14000 units.

Required: Prepare a production budget for January through March

Solution:-

PRODUCTION BUDGET
For the months Jan- Mar 2008

	JAN	FEB	MAR
Units to be sold	20000	30000	25000
Add: C/S units	14000	21000	17500
Units available to be sold	34000	51000	42500
Less: O/S units	(14000)	(14000)	(21000)
Units to be produced	20000	37000	21500

Question No: 52 (Marks: 5)

Golden Company sells its product for Rs. 42 per unit. The company's unit product cost based on the full capacity of 400,000 units is as follows:

Direct materials	Rs. 8
Direct labor	10
Manufacturing overhead	12
Unit product cost	Rs. 30

A special order offering to buy 40,000 units has been received from a foreign distributor. The only selling costs that would be incurred on this order would be Rs. 6 per unit for shipping. The company has sufficient idle capacity to manufacture the additional units. Two-thirds of the manufacturing overhead is fixed and would not be affected by this order. Assume that direct labor is an avoidable cost in this decision. In negotiating a price for the special order, calculate the minimum acceptable selling price per unit?

Solution:-

the minimum price with no profit is rs 30 per unit

direct material, plus direct labour = 18

two third overhead are fixed and one third are variable, this means over head cost of 4 rs per unit is variable, add them with variable cost

then variable cost will be 22

now add selling price per unit, which is rs 6

now 28 rs per unit is the minimum price that company would accept, below this price there will be loss for the company

how ever there would be no profit at this price as well

profit means contribution margin

ok

direct labour = 10 rs

direct material = 8 rs

variable over head = 4 rs

selling cost = 6 rs

total variable cost = $10 + 8 + 4 + 6 = 28$

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thus 28 is the minimum acceptable price

according to cost accounting, minimum price should cover the all variable expenses,

Question No: 53 (Marks: 5)

Data concerning P Co's single product is as follows:

	Rs./unit
Selling price	7.00
Variable cost	3.00
Fixed production cost	4.00
Fixed selling cost	1.00

Budgeted production and sales for the year are 12,000 units.

Required: What will be the company's new Break Even point, to the nearest whole unit if it is expected that the variable production cost per unit will each increase by 10% and fixed cost will rise by 25% and other things remains same.

Note: it is necessary to show complete working

B.E.Sales in units = FC/ CM per unit

Old B.E.Sales in units

$$= 48000 / 4 = 12000$$

New B.E.Sales in units

VC is increased by 10% so now per unit VC is Rs.3.3/Unit

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$$= 7 - 3.3$$

$$= 3.7$$

B.E.Sales in units = FC/CM per unit

$$= 60000 / 3.7$$

$$= 16216 \text{ units (rounded to the nearest whole unit)}$$

B.E.Sales in Rs.= 16216 x 7 = 113512 Rs.

VC = Rs.53512

Particulars	Amount in Rupees
Sales	113512
Less VC	53512
Contribution margin	60000
Less FC	60000
Profit	NIL

Question No: 49 (Marks: 3)

Define the term capacity and volume in budgeting?

Solution:-

Capacity is the fixed capability of machine and plant plus the manpower, which the management is committed to and expect the business to operate.

Volume is the term which explains the best utilization of the existing capacity. This is due to the volume differences why flexible budgets are made.

Question No: 50 (Marks: 3)

Your Company regularly uses material X and currently has in stock 500 Kg for which it paid Rs. 1,500 two weeks ago. If this ever to be sold as raw material, it could be sold today for Rs. 2.00 per Kg. You are aware that the material can be bought in open market for Rs. 3.25 per Kg but it must be purchased in quantities of 1,000 Kg. What would be the relevant cost for material X?

SOLUTION:-

Since the materials have already been purchased therefore the relevant cost would be higher of the following:

current resale value = $2 * 500 = 1000$

value they would obtain if put to alternative use = nil

therefore relevant cost of material X is Rs. 1000

Question No: 51 (Marks: 5)

Ali Company produces and sells Amrat Cola to retailers. The Cola is bottled in 2-litter plastic bottles. The estimated budgeted sales for the year 2009 would be Rs. 360,000 and the estimated Profit for the year 2009 would be Rs 10,000.

The Margin of safety Ratio is calculated as 20%.

Required: Breakeven Sales for the year 2009

Solution:-

Absolute amount of mos = $360,000 * 20\% = 72,000$

MOS = budgeted sales – break even sales

Break even sales = Budgeted sales – MOS

= $360,000 - 72,000 = 288,000$

Question No: 52 (Marks: 5)

Golden Company sells its product for Rs. 42 per unit. The company's unit product cost based on the full capacity of 400,000 units is as follows:

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thus 28 is the minimum acceptable price

according to cost accounting, minimum price should cover the all variable expenses,

Question No: 53 (Marks: 5)

A Company manufactures two products A and B. Forecasts for first 7 months is as under:

Month	Sales in Units	
	A	B
January	1,000	2,800
February	1,200	2,800
March	1,610	2,400
April	2,000	2,000
May	2,400	1,600
June	2,400	1,600
July	2,000	1,800

No work in process inventory has been estimated in any month however finished goods inventory shall be on hand equal to half the sales to the next month, in each month. This is constant practice.

Budgeted production and production costs for the year 1999 will be as follows:

Production units	22,500	24,000
Direct Materials (per unit)	12.5	19
Direct Labor (per unit)	4.5	7
F.O.H. (apportioned)	Rs. 66,000	Rs 96,000

Prepare for the six months period ending June 1999, a production budget for **‘Product B’**

Ans) Units to be produced during first 6 months
 Product B = 12000 Units*

*Half of the annual proposed Production

Production Budget for the period ending June

	Product B
Cost of Raw Materials	Rs 228,000
Direct Labor	84000
FOH	48000
	360,000
- Beginning Finished Goods	42,000 (1400 x 30)
	318,000
+ Ending Finished Goods	27000 (900 x 30)

Cost of units to produced	345,000
Product B Materials + Labor + FOH 19 + 7 + 4 Rs 30 per unit FOH Rate: $96000/24000 = \text{Rs } 4$ (product B)	